June 25, 2026 04:00 AM GMT

Morgan Stanley European Capital Goods
25th June 2026

Industrial capex > production. A case for selective broadening out

M O R G A N S T A N L E Y R E S E A R C H
Europe

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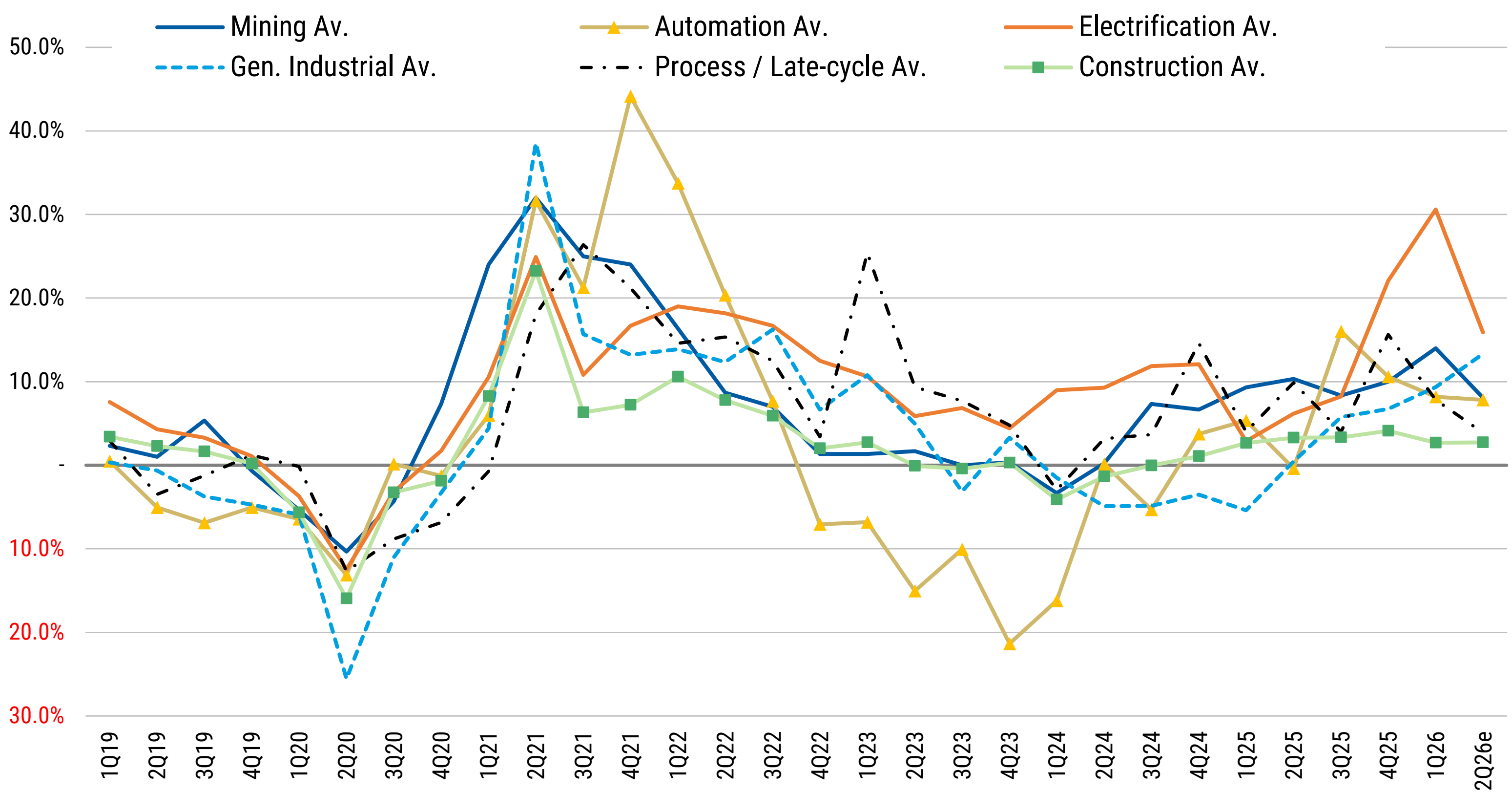
Capex resilience. Customers learning to live with uncertainty

- Reminiscent of 2022. Data center, strategic capex and price will protect nominal sector earnings. The bigger sector risks are 1) EBITA margins and cost pressure, and 2) multiples, particularly if interest rates start moving higher.
- Capex ‘green-shoots’, in particular in US and in Asia. Customers ‘looking through’
- Less risk of an industrial demand collapse from here, given demand for many short-cycle companies has not grown volumes versus 2019 levels.
- Cost inflation is back. This time affecting Electricals more than Mechanicals. Some concerns across Signify, Vestas, Weir and Rexel.

Selective in Electricals / Mechanicals. Keep our quality growth skew.

- Electricals: we prefer Schneider (OW). Best balance of growth vs valuation. We also stay OW Legrand and view the recent sell-off as overdone.
- We like upstream mining. Since March-26, we have preferred Epiroc (OW) to Sandvik (EW). Too early to buy the mid-stream names.
- Stocks for a broadening out: Atlas Copco (OW), Knorr Bremse (OW), Spirax (OW). Risk reward on Siemens (EW) also looks positive here into 2027.
- We stay cautious on Wartsila (UW), Signify (UW), and Kone (UW).

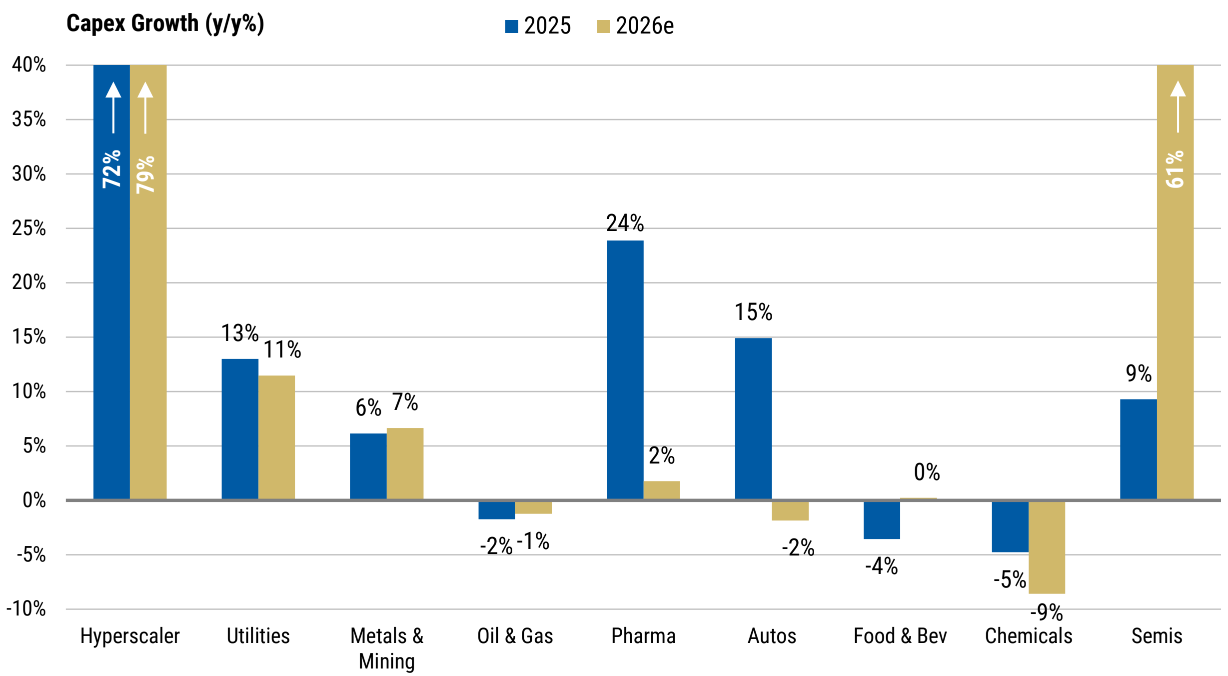
End market order growth trends. Electrification order growth has likely peaked. Process / Construction is in no mans land



Source: Company data. Visible Alpha Consensus, Morgan Stanley Research. Mining = Epiroc, Sandvik SMR, Weir Minerals, Automation = Siemens DI, ABB Robots and Discrete, Schneider Industry sales, Electrification = Siemens SI, ABB Electrification, Schneider Energy management, Industrial = Sandvik Machining, ABB motion, Atlas IT, SKF sales, Process = Alfa Laval Energy, Sulzer, ABB Process, GEA, Wartsila. Siemens hardware orders used for CY2Q24.

Global capex in 2026. Still a thematic world. Capex growth (based on analyst ests) is still confined to a smaller number of sub-sectors. Process is a soft spot.

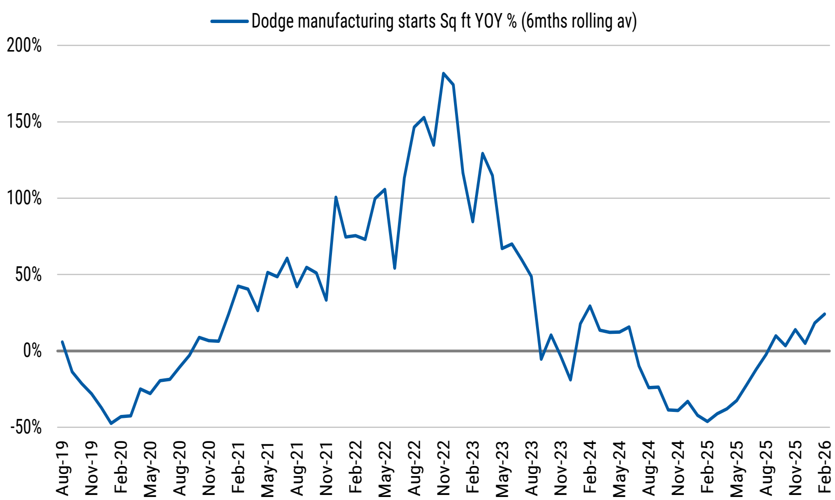
We see a mixed picture for capex into 2026. Hyperscaler, and Semis are bright spots. We see relatively higher risks in O&G, Pharma and Chemicals



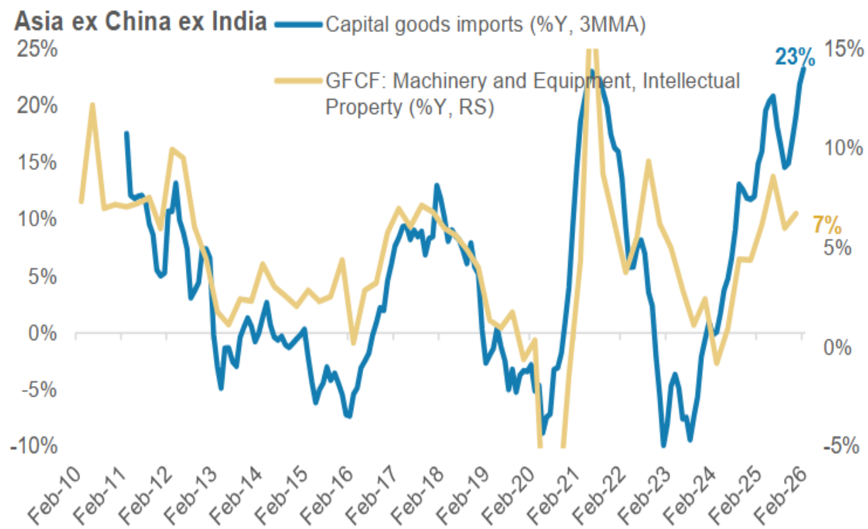
Source: FactSet. Visible Alpha, Rysted, Morgan Stanley Research estimates (e)

Capex green shoots. We see this in US manufacturing starts, and Asia (ex China) Cap Goods imports, which lead Machinery gross capital formation.

US Dodge manufacturing starts. After many headlines on US 'reshoring' we are starting to see manufacturing starts grow again, which was a driver in 2021-22.



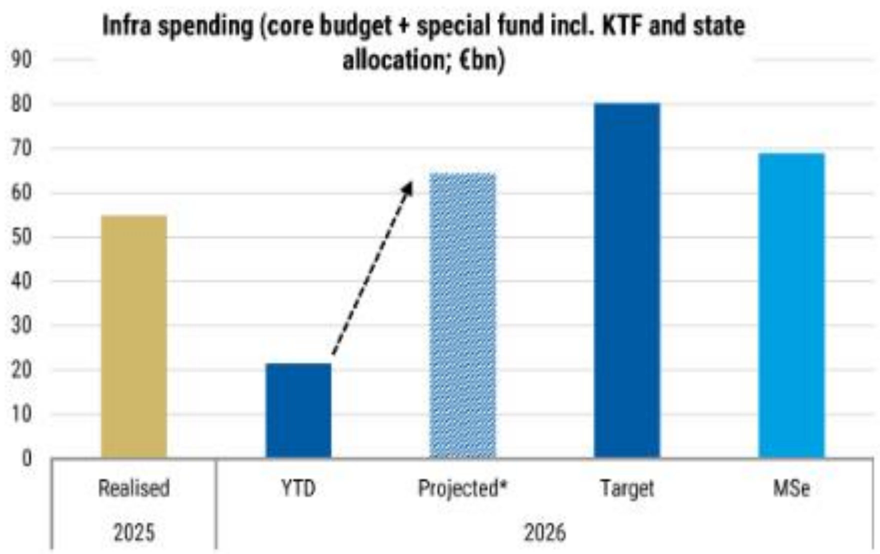
Our Asia economists see an emerging Asia (ex China) capex cycle. Capital Goods imports have picked up, and this should translate into greater gross fixed capital formation for machinery.



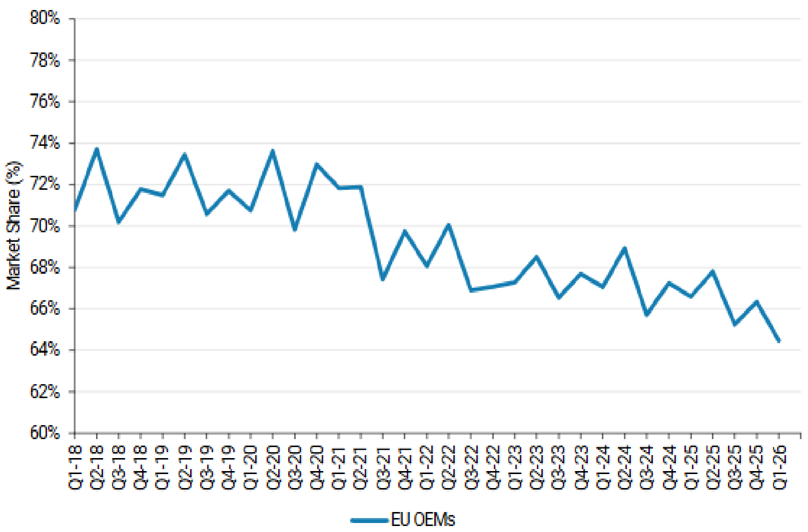
Source: DODGE Data, Haver, Morgan Stanley Research

European Infra / Capex still has challenges. German Infra spending is taking longer, and European manufacturers (eg Auto) are still seeing challenges

German Infrastructure budget. Even with a German fiscal plan, the rate of Infra spending is falling behind expectations

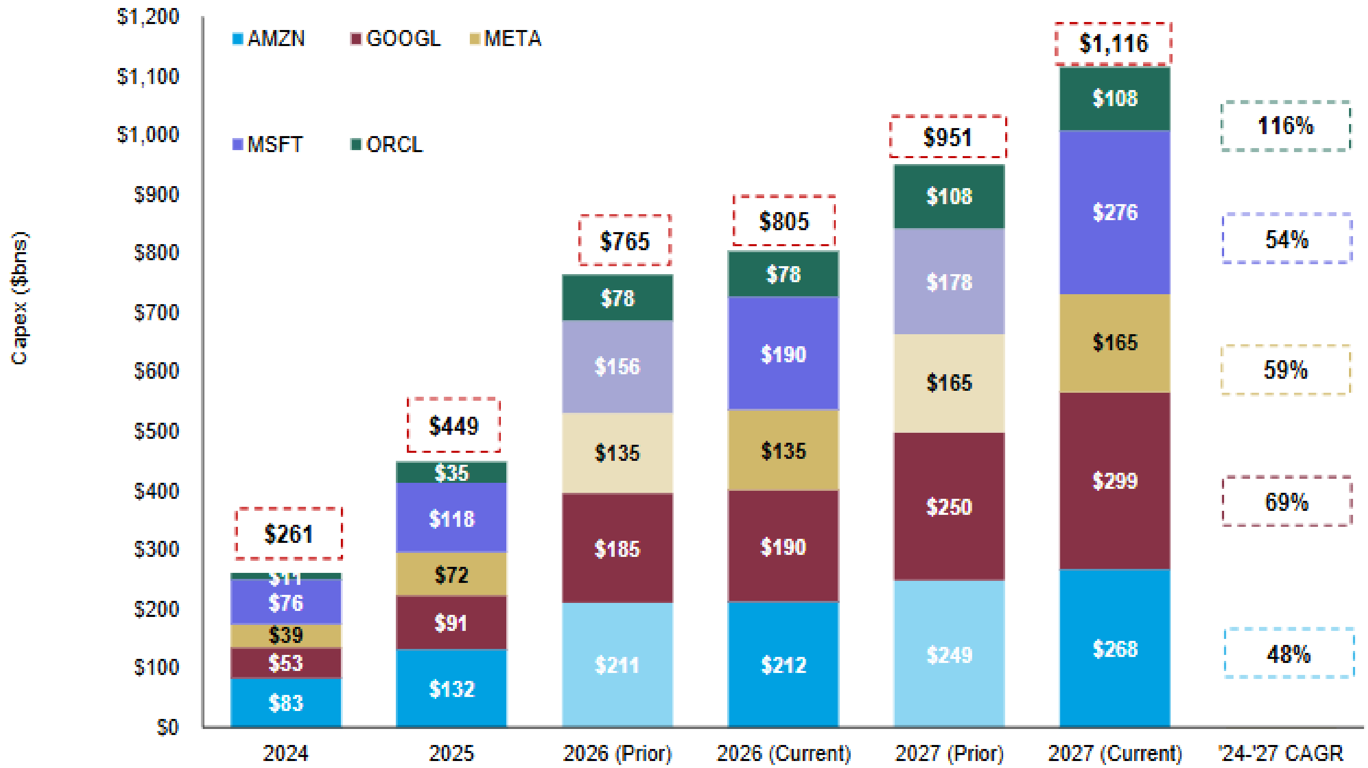


European Auto OEM's market share. Market share relative to global peers is continuing to increase. This is affecting EU Auto capex, a big European Industrial capex market



*Source: Ministry of Finance, Bundesbank, Company Data Morgan Stanley Research estimates. Note: *Bundesbank estimate. "core budget" refers to spending classified as expenditures for investment. **The core budget indicates no direct hospital outlays in line with spending responsibility by insurances and regions. ***We approximate other digitalization spending based on related items in the infra special fund. This likely presents a lower bound as spending is spread across budget chapters.*

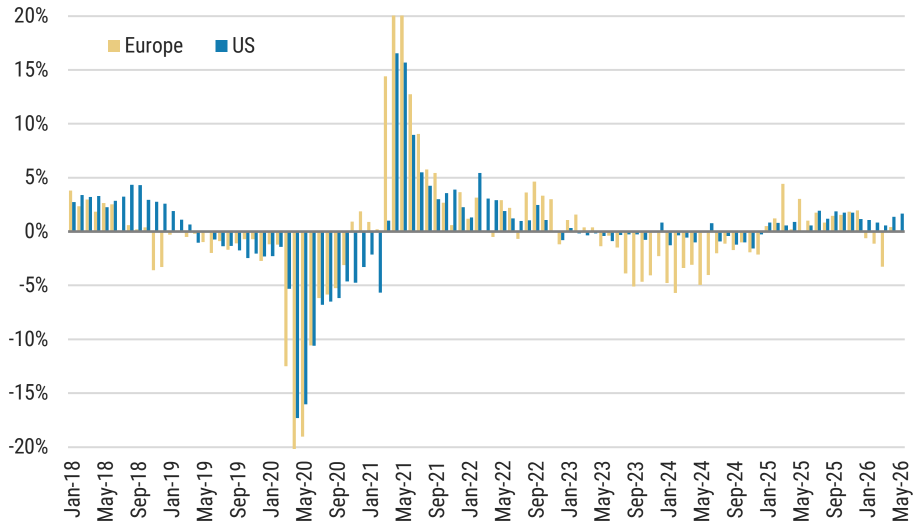
Hyperscaler capex still stands out, and data centers are still the main growth driver for Electricals. 79% growth in 2026e, and 39% in 2027e



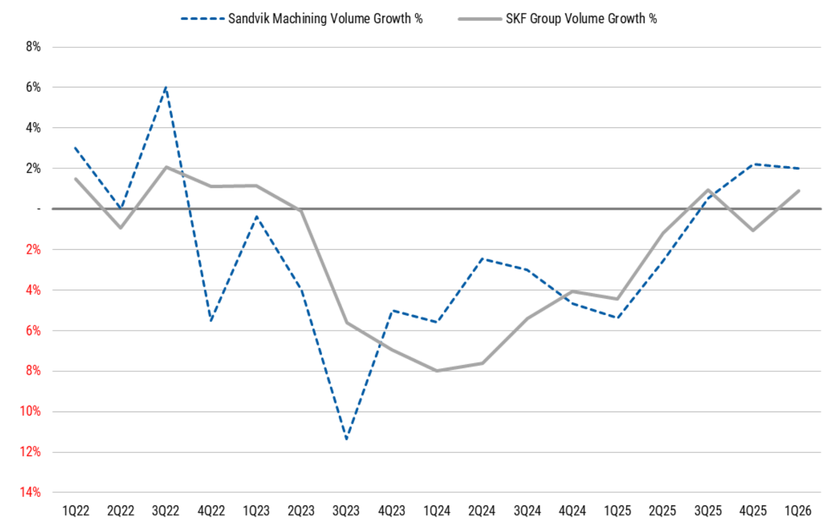
Source: Company Data, Morgan Stanley Research estimates

European and US IP. We are less fearful of a sharp Cap Goods volume slowdown. We are already coming out of a 2023-24 Industrial production recession in Europe. But we think risks are higher for the 'production / consumer' linked companies in our coverage.

EU and US Industrial production. We are coming off low levels, while the US has moved broadly sideways in 2023-25.



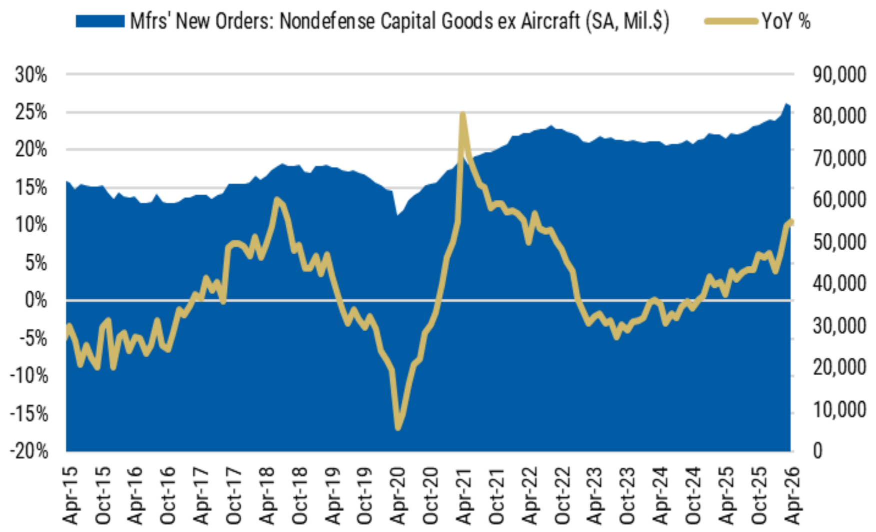
Sandvik Machining volume growth has been negative for the majority of the last 3 years.



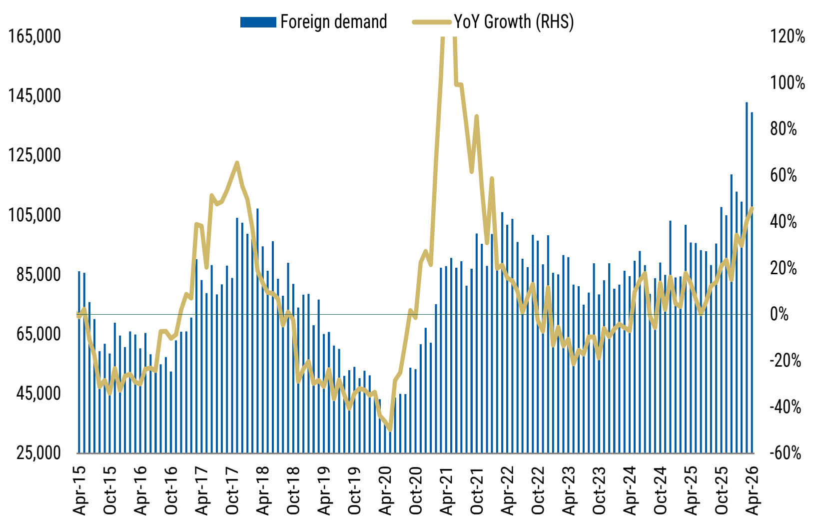
Source: Haver, Company Data, Morgan Stanley Research

Short-cycle data across US and Asia is still delivering strong growth rates. In particular, we would highlight US durable goods orders and Japan machine tool orders.

US Durable goods orders. These have continued to accelerate into 2Q26, which suggests to us that we are not seeing any major snap-back from potential pre-buying

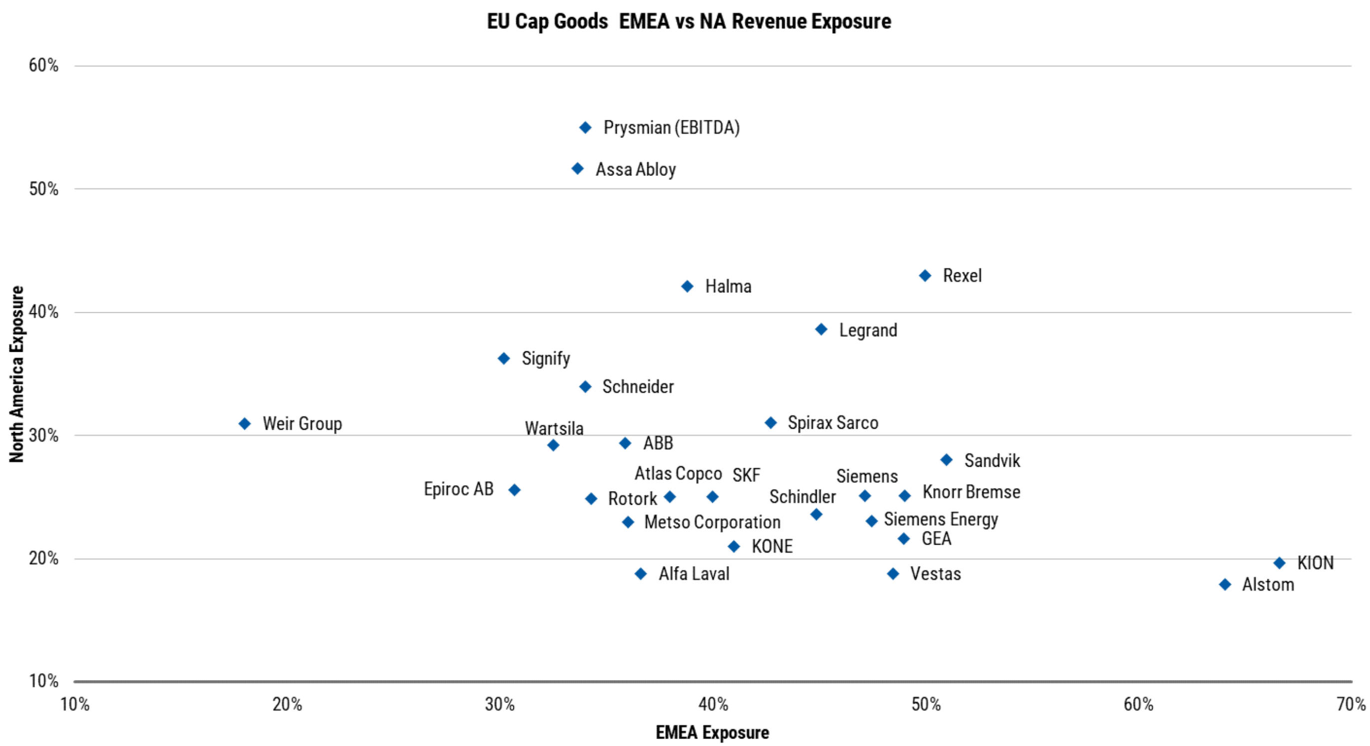


Japan machine tool orders. These continue to deliver attractive growth rates, suggesting a continued strong backdrop for Factory Automation in our view.



Source: Haver, JMBTA, Morgan Stanley Research

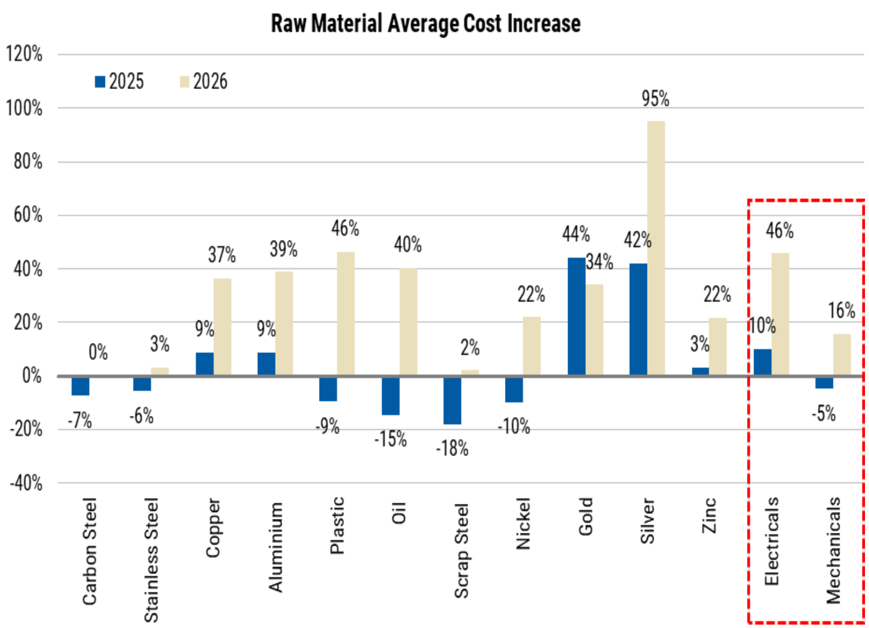
EMEA revenue exposure vs North America. We prefer US exposure over EU at this point in the cycle, given favourable short-cycle data and scope for incremental capex



Source: Company Data, Morgan Stanley Research

EBITA margins – Arguably a bigger risk than growth. In 2022, companies with backlogs saw margin pressure. In 2026, Electricals costs are rising faster

Raw material average cost increases, and raw mats cost increases YOY in 2026 for Electricals and Mechanicals. Raw materials are typically 5-10% of Cap Goods company costs

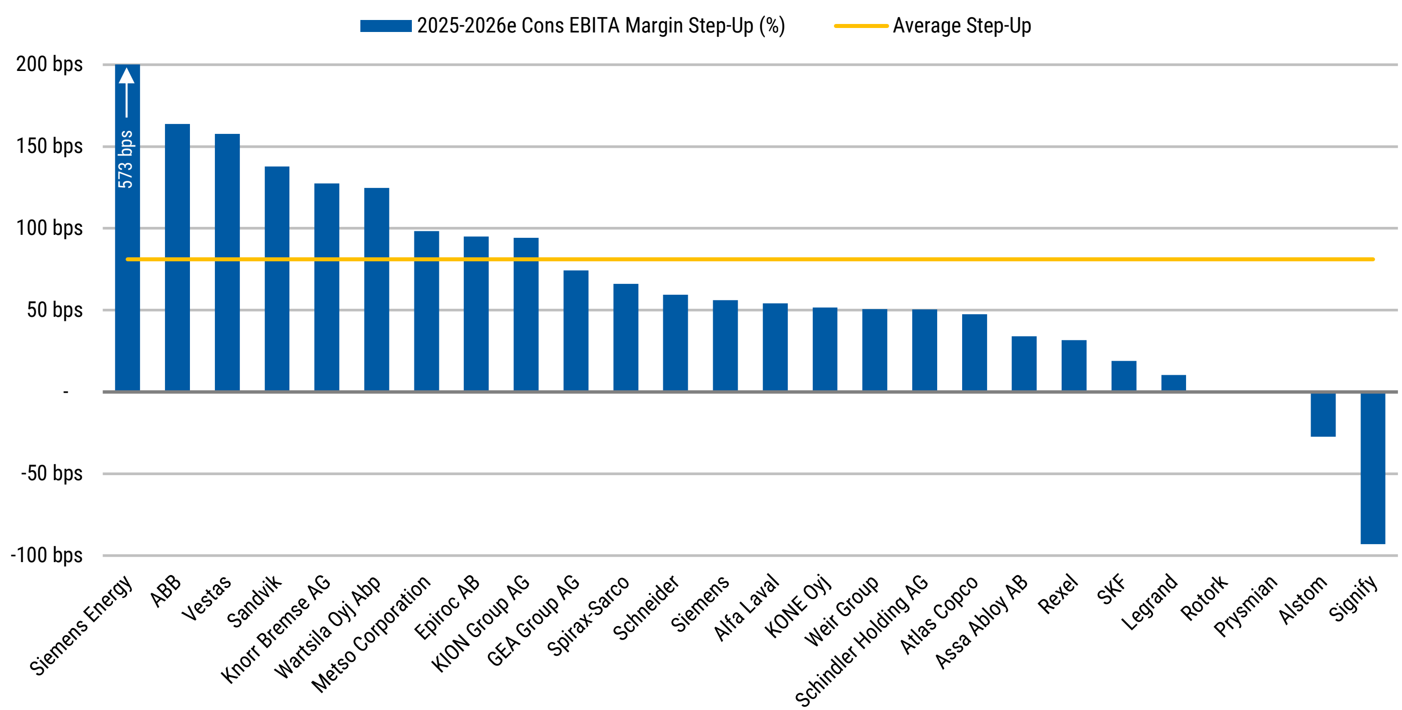


Costs for Industrial companies have continued to rise for Industrials across a number of cost buckets. We think prices will need to rise ~4% in 2026e.

	% of sales	2025	2026e
Raw materials	6%	2%	27%
Components	30%	3.0%	3.5%
Wages	25%	2.9%	3.5%
Freight	5%	8.2%	6.0%
D&A	3%	3.0%	3.0%
Other costs	13%	2.5%	3.0%
Electricity	1%	-0.1%	25.0%
Cap Goods Annual cost inflation	**82%**	**2.5%**	**4.4%**

Source: Haver, Datastream, Morgan Stanley Research

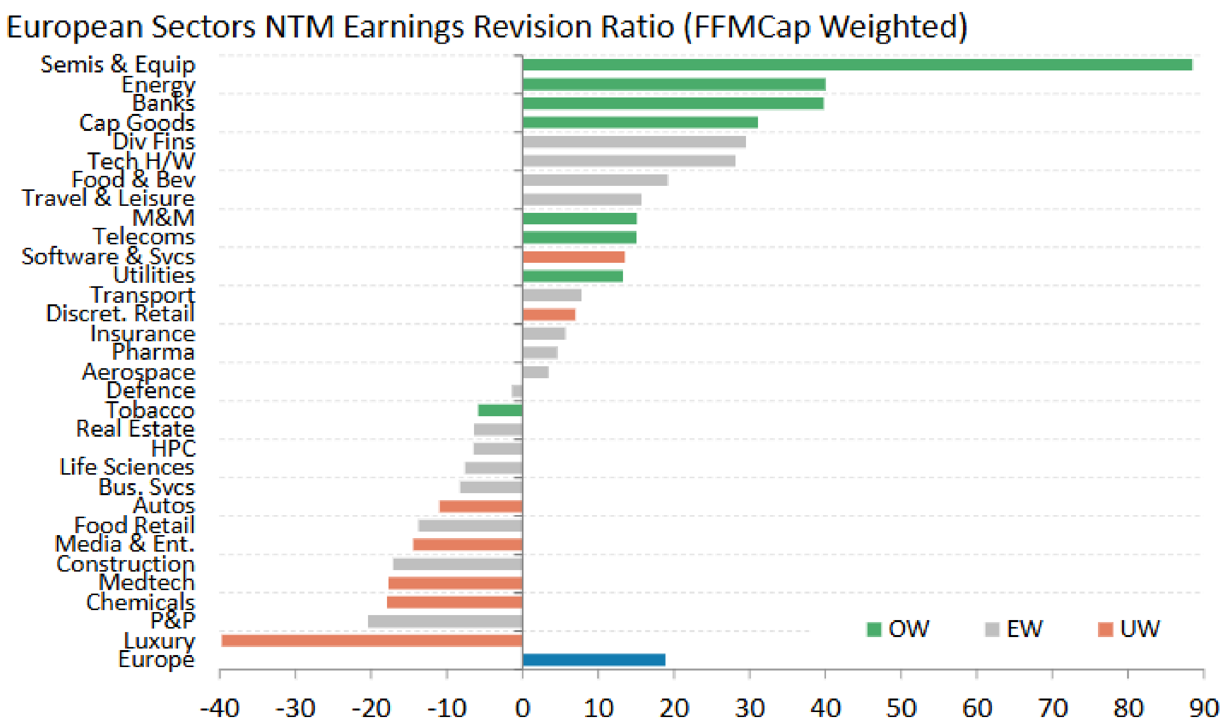
EBITA margins – 2026 YOY increase in consensus margins (bps)



Source: Company Data, Visible Alpha, Morgan Stanley Research

European sectors consensus EPS revisions (45 days). Cap Goods has seen relatively favourable EPS revisions versus the rest of the market.

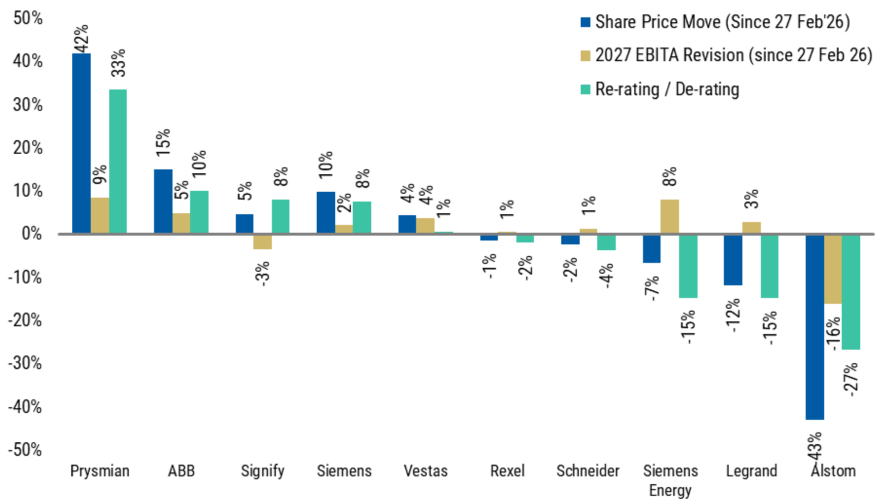
We show cyclical (sectors) vs Defensives (sectors) across the broader European market. We have seen a pull-back, but it has been relatively modest so far compared to 'typical cyclical pullbacks'.



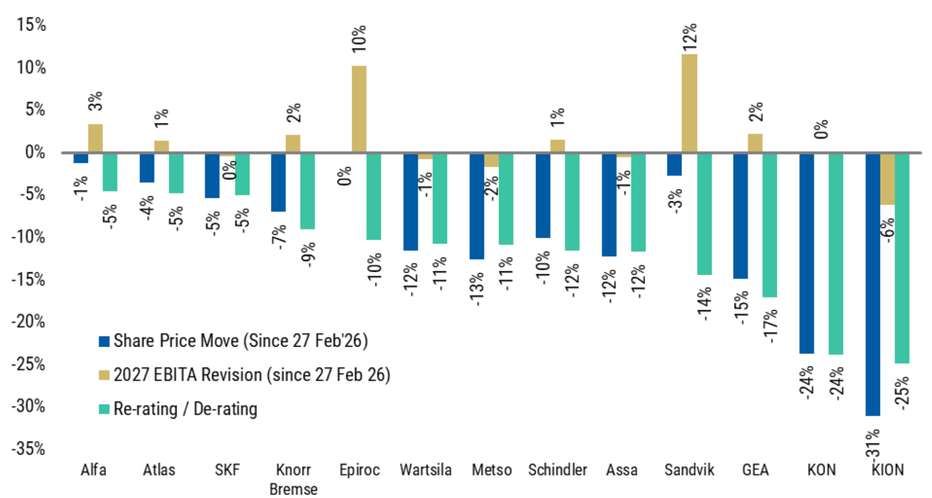
Source: Datastream, Morgan Stanley Research

Cap Goods EBITA revisions and multiple re-rating / de-rating since the start of the Iran conflict. Electricals have seen upgrades and re-rating. Mechanicals, a 10-25% de-rating

Electricals have mostly seen small upgrades to 2027 consensus, and this has largely combined with multiple re-rating. Schneider has lagged, while Prysmian, Signify and ABB have led the re-rating



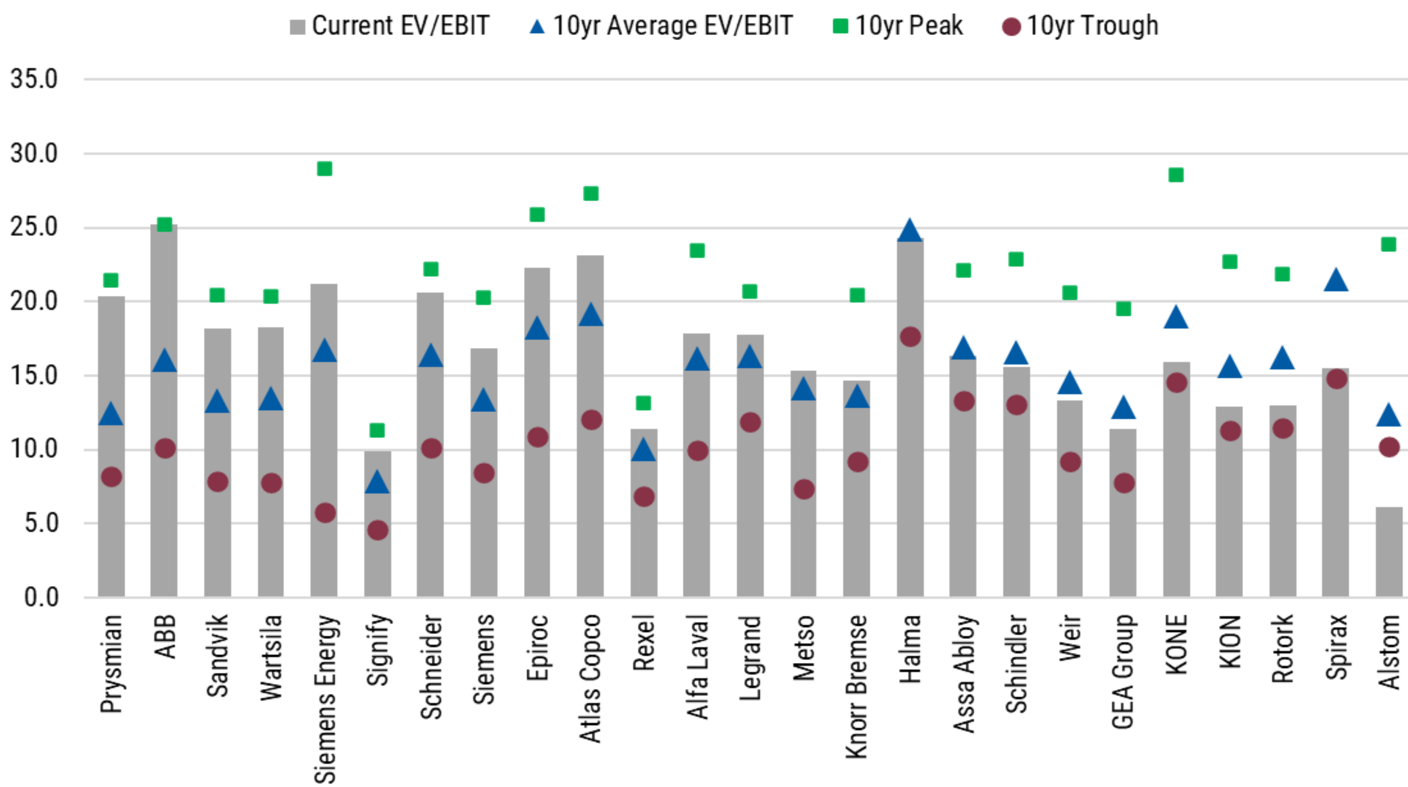
Mechanicals. 93% of mechanicals de-rated since the start of the Iran conflict. The majority of companies have de-rated by 10%-22% on concerns over global growth



Source: Visible Alpha, Datastream, Morgan Stanley Research

Cap Goods Multiple vs 10-Year Average. 70% of stocks in our coverage are at or above their 10-year average valuations.

Left to right. The stocks on the left are trading at a high current valuation vs their ten-year average. Stocks on the right are relatively cheaper vs ten-year average. The thematic stocks (grid, power, data centre) are all relatively expensive versus history. We continue to like the risk/reward at Schneider, Epiroc, Siemens Energy, Legrand, Atlas Copco and Knorr Bremse. We remain Underweight on Wartsila, Signify and Kone



Source: Datastream, Morgan Stanley Research

Fundamental Views: What to Own – What to Avoid. We keep a quality growth bias.

Atlas Copco
legrand
Epiroc
Rexel
KNORR-BREMSE
Spirax Group
Schneider Electric
SIEMENS energy

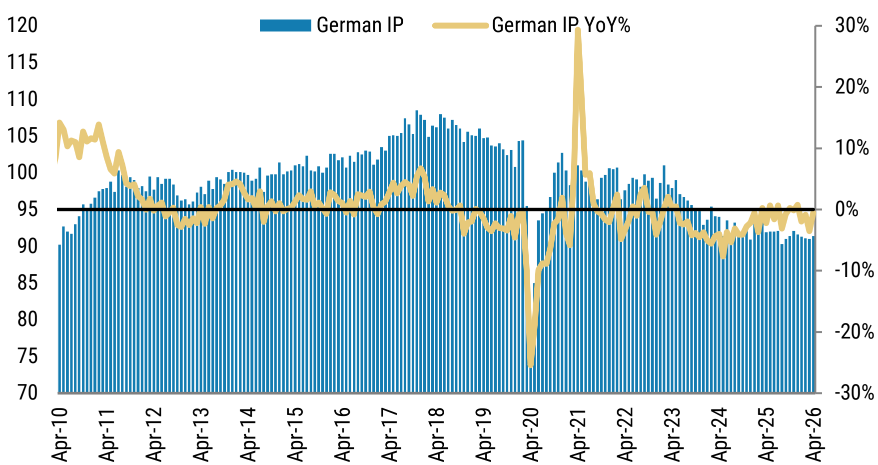
KONE
signify
WÄRTSILÄ

Source: Morgan Stanley Research

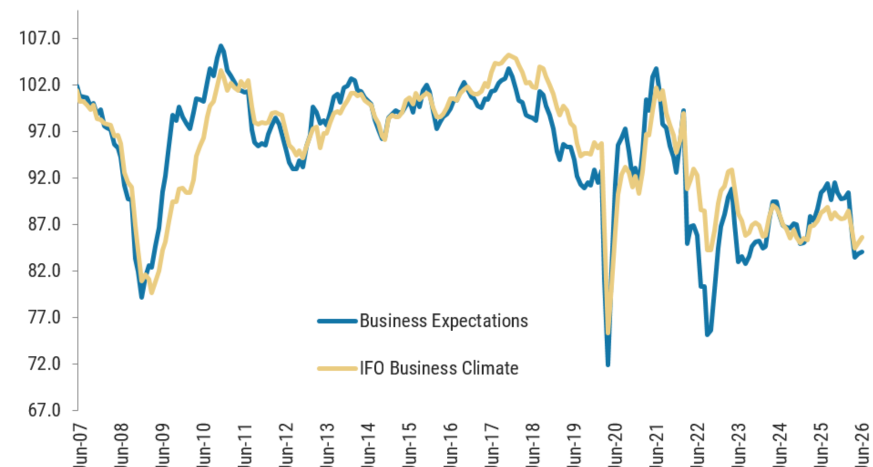
Industrial data. Holding up so far. US / Asia are reassuring, while Europe is moving sideways

Europe. Soft data like the IFO has weakened, with the German IFO declining -3.1% YoY in June, despite a small MoM improvement

German Industrial is now back in negative territory YOY since January. April IP was -0.5% YoY.



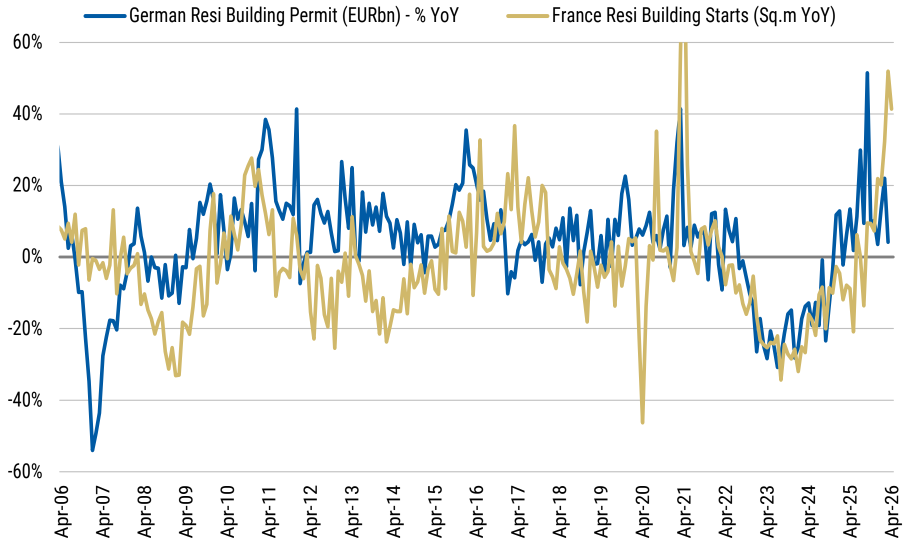
German IFO business expectations have dipped. They are not yet at 2022 lows but have deteriorated.



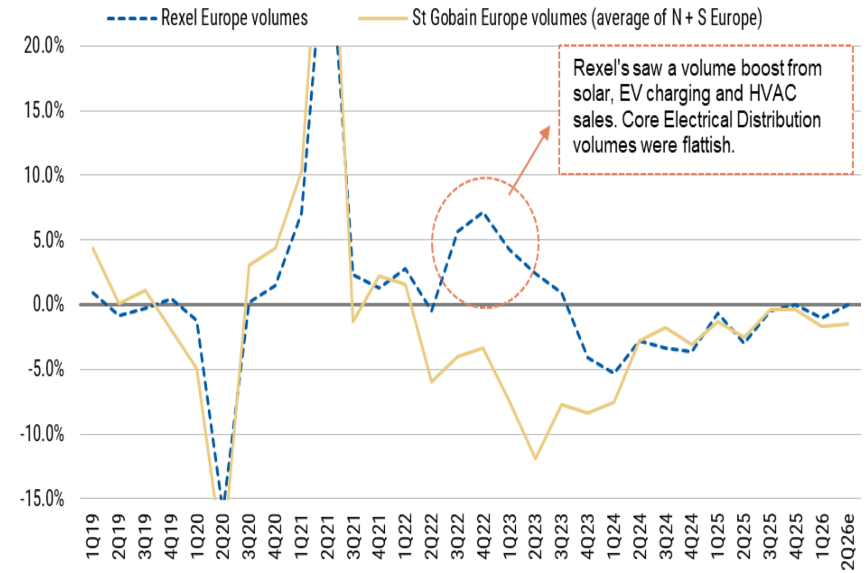
Source: Haver, Datastream, Morgan Stanley Research

Europe. Resi construction starts (Germany) and permits (France) are still nicely positive. Companies (RXL, St Gobain) see a slower 1Q26 start (weather)

German and French residential permits are still showing positive signs.



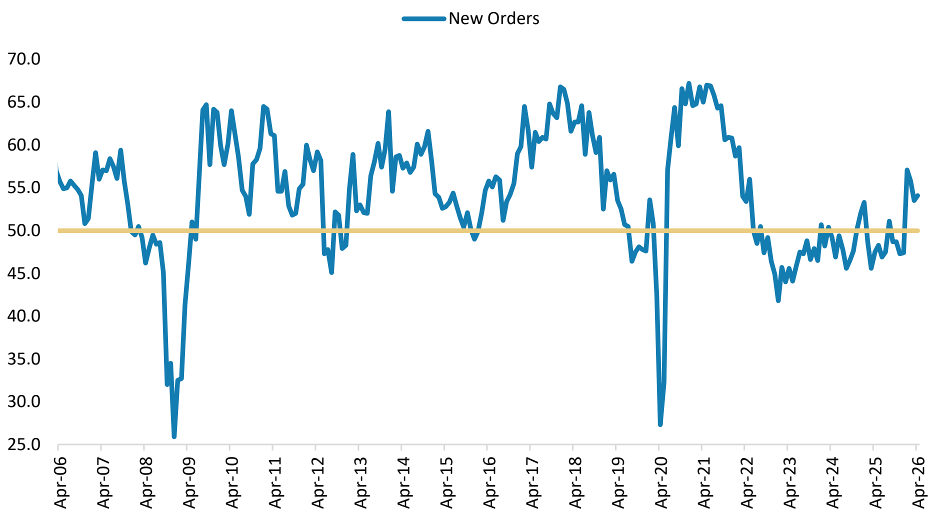
Companies (Rexel, St Gobain) had a slower start to 1Q26 with volumes again turning slightly negative (partially weather)



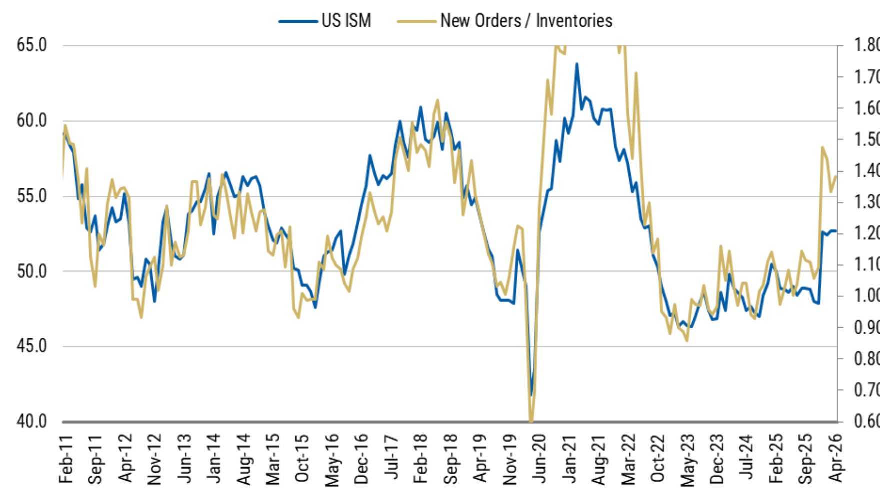
Source: Haver, Company Data, Morgan Stanley Research. St Gobain is covered by Cedar Ekblom.

US. The ISM new orders showed some moderation in March from a much-improved Feb. New orders / Inventory do not suggest any major cause for concern.

US ISM new orders. A modest recovery in May, after a March pull back. Still nicely above 50 suggesting US industrial resilience.



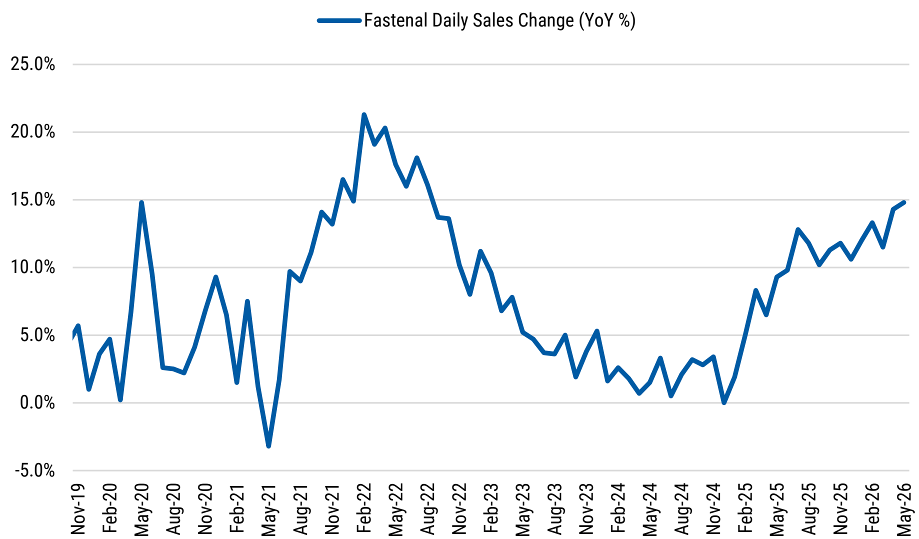
The US ISM new orders to inventory remains well above the US ISM level. We do not see the US Industrial recovery as being derailed.



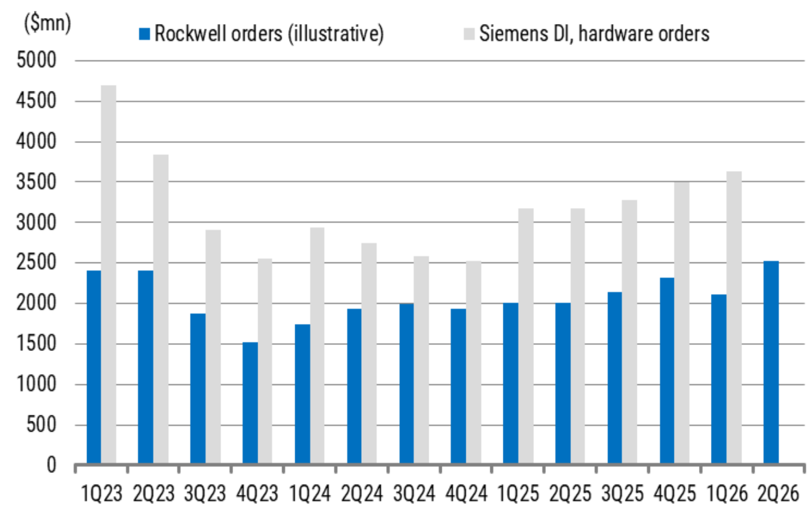
Source: Haver, Morgan Stanley Research

Hard US Data. Fastenal April sales growth (14.3%) continued on a recovery path. Rockwell's orders also increased materially QoQ (~20%) in the US.

Fastenal Daily sales growth. No signs of a slowdown. May (14.8%) vs Apr (14.3%) vs Mar (11.5%)



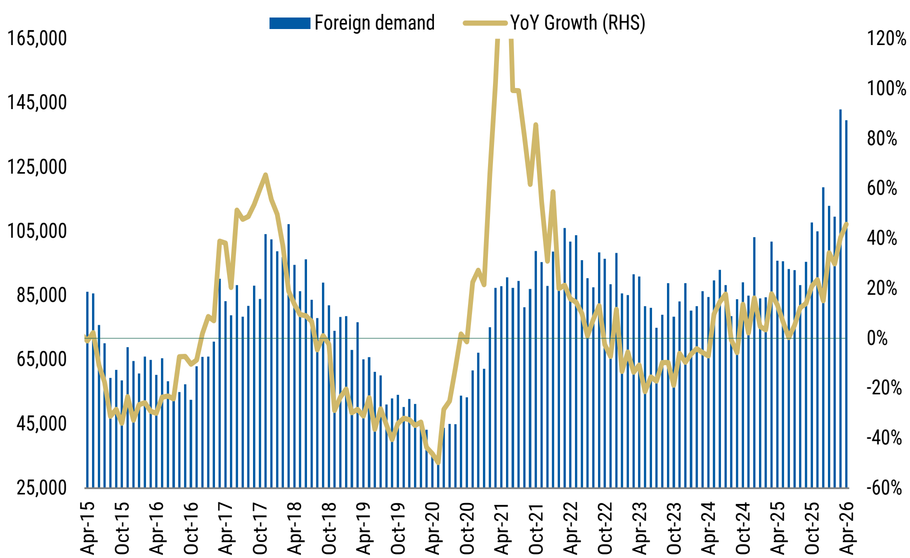
Rockwell orders were +20% QoQ, with the company pointing to some project capex unlock in the quarter across end markets like Automative and Food and Beverage.



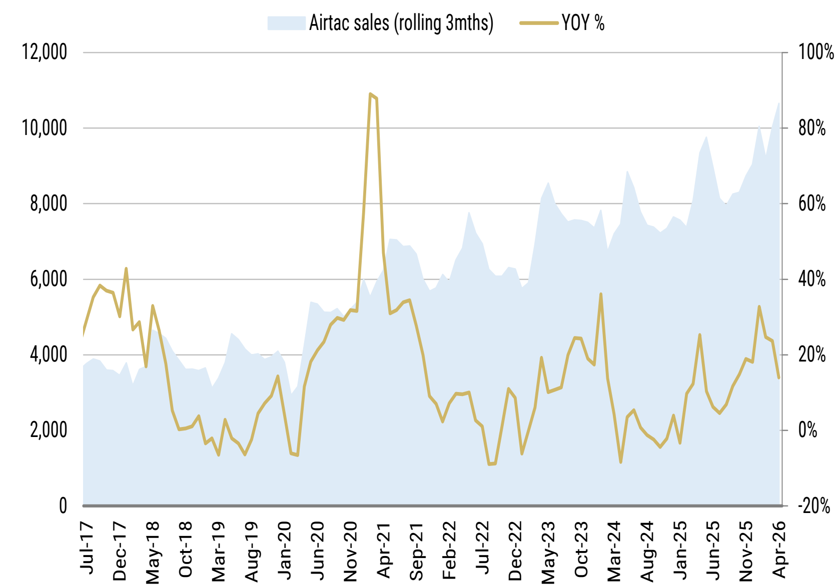
Source: Dodge data, US Census Bureau, Company Data, Morgan Stanley Research. Rockwell and Fastenal are covered by Christopher Snyder.

Asia short-cycle data. Foreign Japan Machine Tool orders have accelerated through 1Q26, while Airtac sales were still +25% YOY in April.

Japan Machine Tool orders. Foreign demand grew at 46% in April, compared to 35% on average in Jan - Mar.



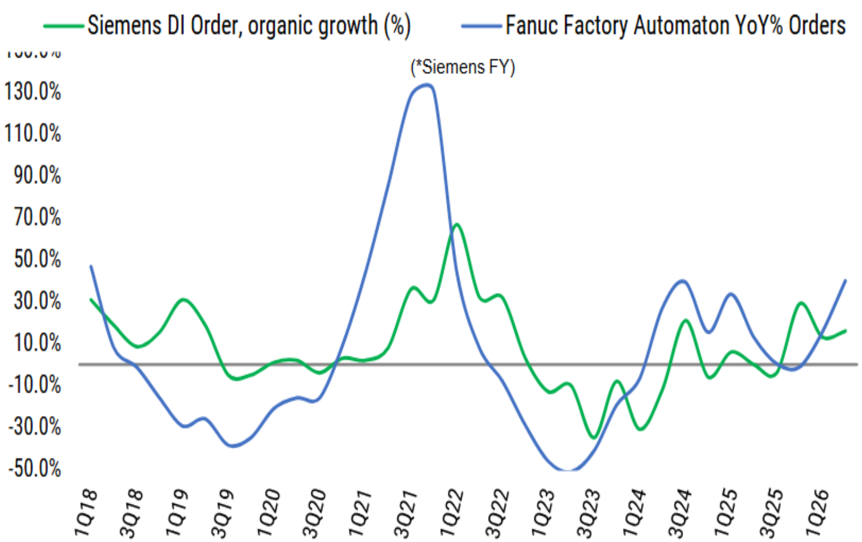
Airtac sales. Overall 1Q26 sales growth was +11% QoQ and +24% YOY. Shipments to battery, general machinery and electronics was strong in March



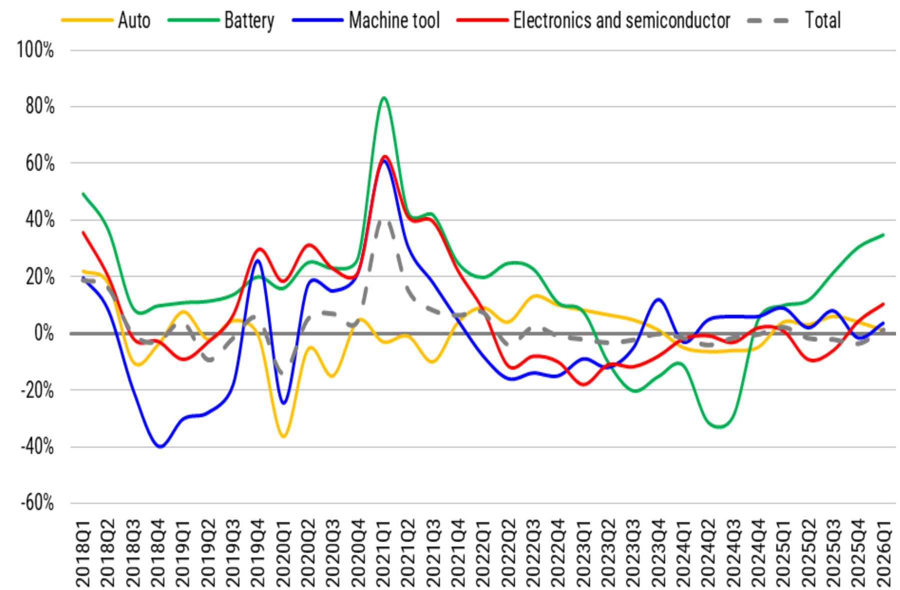
Source: JMBTA, Company Data, Morgan Stanley Research. AirTAC is covered by Derrick Yang.

Asia Automation (including Fanuc Factory Automation) is strong. This illustrates continued Asia investments.

Fanuc factory automation orders saw a strong YOY increase in calendar 1Q26. Siemens order intake did not see the same intake, with Siemens lagging our expectation on China growth



MIR China Automation data. This shows the YOY change in total China automation spend by end market. We can see particular strength in Battery and Electronics.



Source: Company data. MIR. Fanuc is covered by Lisa Jiang.

Pre-buying debate. Is the March / April demand resilience real, or is it more pre-buy ahead of price rises? We have seen instances of companies highlighting pre-buy.

Company	Commentary
Metso	*"... with Aggregates... in this order intake, we see a clear pattern that some of the orders are placed not only for the second quarter but also for the second half of the year, so sort of a pre-buying phenomena visible in that regard."*
Kion	*"The increase in new business contained pull-forward effects related to the price increases announced for early April 2026 intended to offset rising costs resulting from the Iran war. "*
Sandvik	*"Also solid demand in general industry. This is partly driven by prebuying, but also we are seeing early signs of an improved underlying sentiment in the market."*
Flowserve	*"With the dynamics in the Middle East... we're seeing folks trying to think about expanding capacity or doing things a little bit differently or potentially accelerating projects, and a lot of this is around energy security... customers talking about doing things differently about increasing capacity or actual expansions and even new projects."*
Carrier	*"April movement was better than we thought. And I think part of that was probably people trying to beat the price."*
3M	*"And then when you put all that together, it gives us a sense that perhaps there's some advanced buying from these price increases that are going out."*
Wacker Chemie	*"We had a solid start to the year and even surpassed our own expectations due to pull-forward effects... stemming from the conflict in the Middle East..."*
BASF	*"You really saw an uptick in the volumes... it's difficult to evaluate now, are we talking about restocking effects? Or is this really an underlying demand development?"*

Source: Company Transcripts, Morgan Stanley Research

Key ideas, positioning and valuation

Stock Selection – Screen

Overweight Ideas

- **Schneider (OW, PT €300):** Best in class topline growth, and productivity accelerating group margin expansion in 2026/27.
- **Rexel (OW, PT €42):** Upside to FY26 organic growth guidance from pricing. Mid-term margin upside from self-help.
- **Knorr Bremse (OW, PT €116):** Solid backdrop for Rail end market, with continued cost optimization supporting group margin expansion beyond 14%. Balance sheet optionality.

- **Siemens Energy (TP, OW, PT € 200)**: Outstanding visibility with some modest upside to consensus. However, we continue to get closer to the peak in Gas orders, in our view.
- **Epiroc (OW, PT SEK 300) :** Consensus margin downgrades done, and a multi-year order growth story.
- **Atlas Copco (OW, PT SEK 200):** VT recovery on semi capex growth, Compressor Energy efficiency tailwinds, with balance sheet optionality.
- **Legrand (OW, PT €166):** Upside to 2026 organic growth estimates, and M&A contributions in 2025-26 above trend.
- **Spirax (OW, PT GBp 8,500):** Headwinds from semis / biopharma becoming growth tailwinds, and helping margin mix

Margins

End Market Exposure

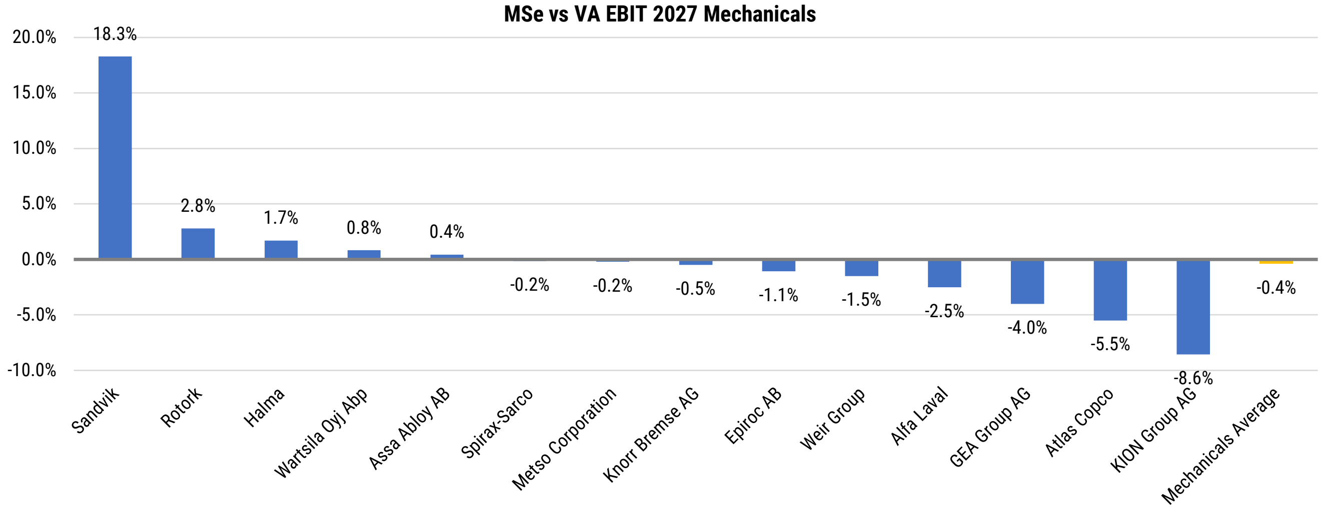
- **Signify (TP, UW, PT €15) :** Organic growth lagging peers. Pricing pressure can lead to EBITA margins down YOY in 2026. Slow start to the year in 1Q26 and risk to the dividend.

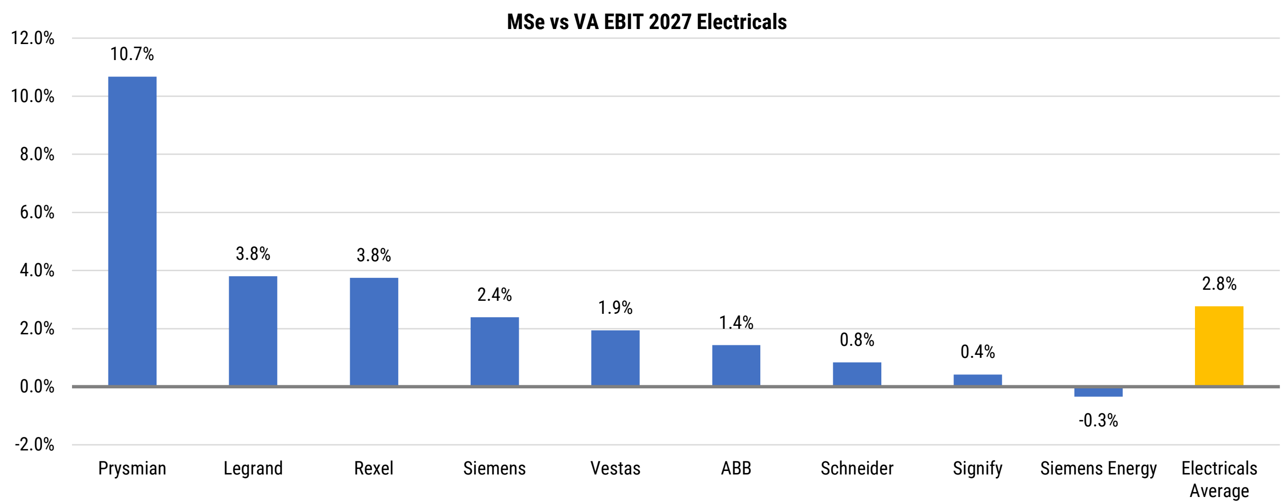
- **KONE (TP, UW, PT €46.6):** Full valuation relative to EPS growth CAGR. China remains a drag to growth in 2026, and ISP competition in service continues.
- **Wartsila (TP, UW, PT €29):** Peak valuation, with limited consensus upside. Increased competition in Energy, and Marine set to sequentially weaken through 2026.

Underweight Ideas

Source: Morgan Stanley Research

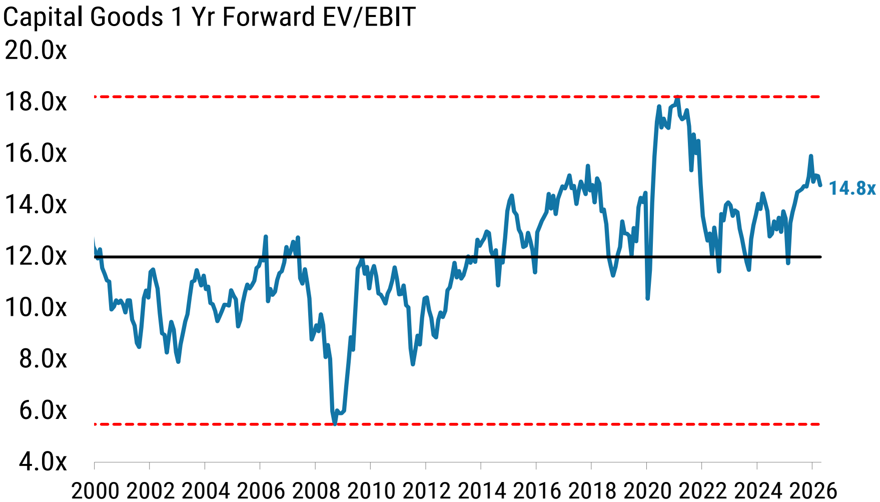
MS vs Consensus for Electricals and Mechanicals (2027 EBIT)

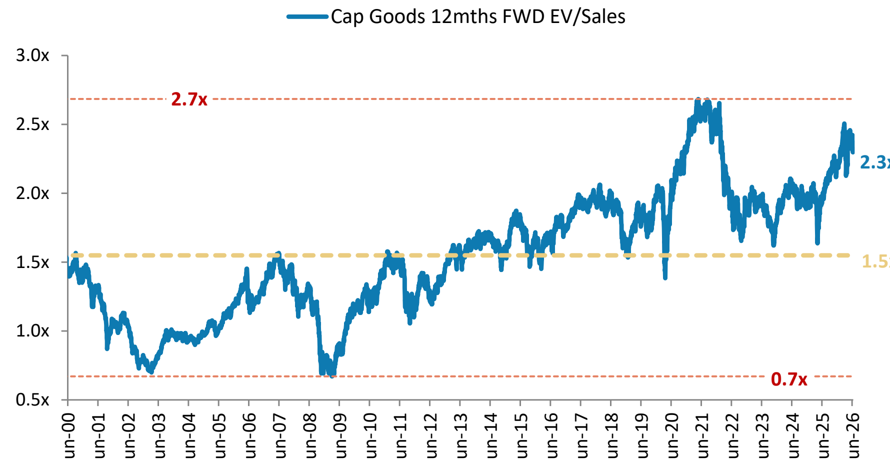


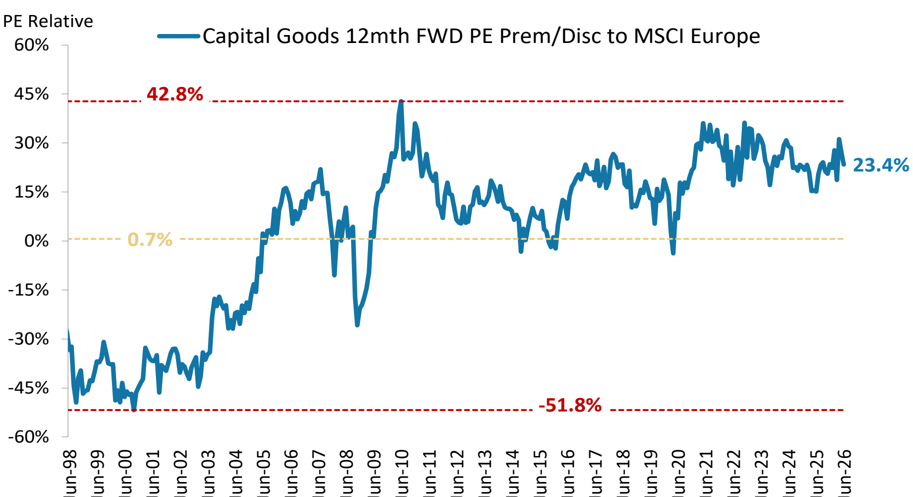


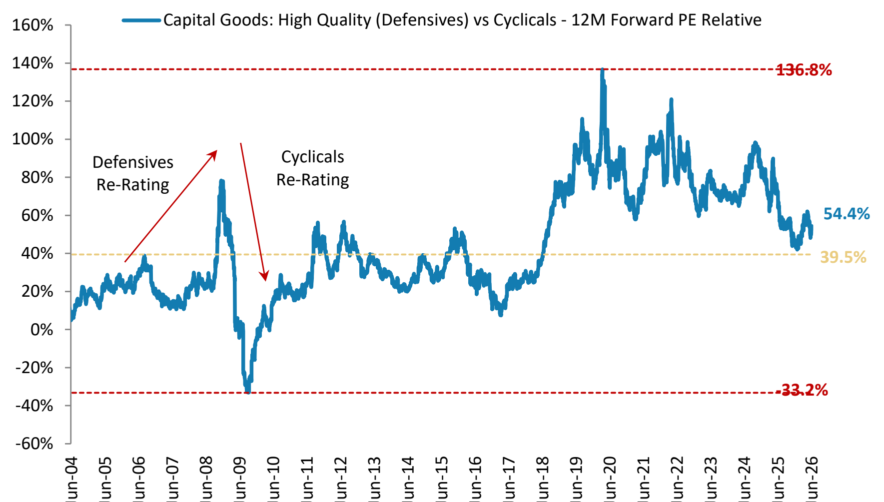
Source: Visible Alpha, Morgan Stanley Research estimates (e)

Sector valuation. Trading at a 23% premium vs the market. Defensives have also de-rated vs cyclicals through 2025. This also indicates expectations of a cyclical recovery





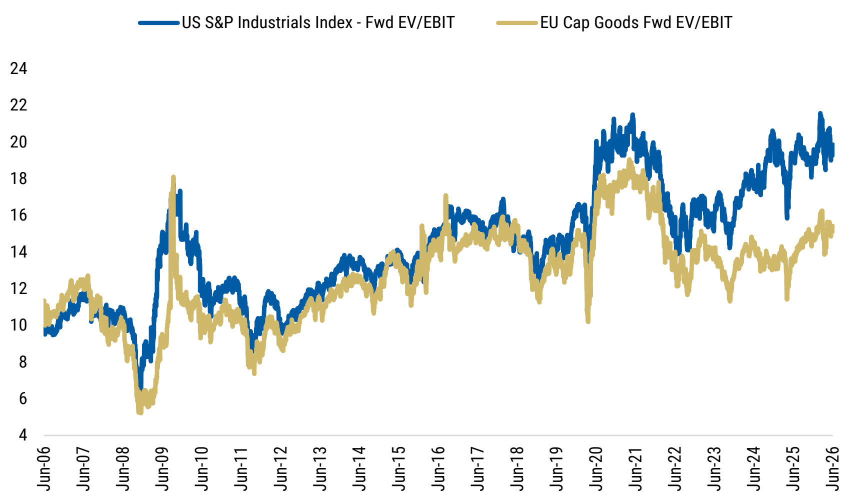




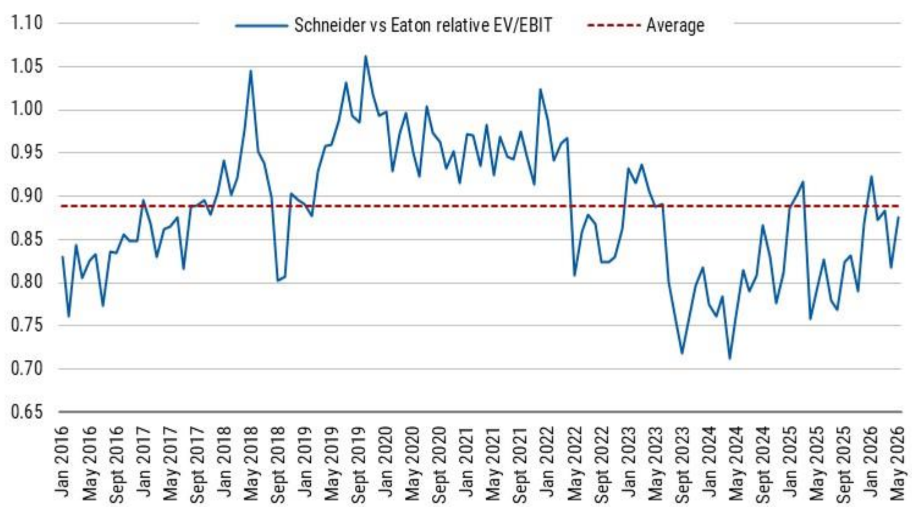
Source: Datastream, Morgan Stanley Research

European vs US Industrials valuation dispersion. Still a lot of room for Europe to close the gap in a continued Iran conflict de-escalation.

US Cap Goods back to a peak premium vs its EU peers.



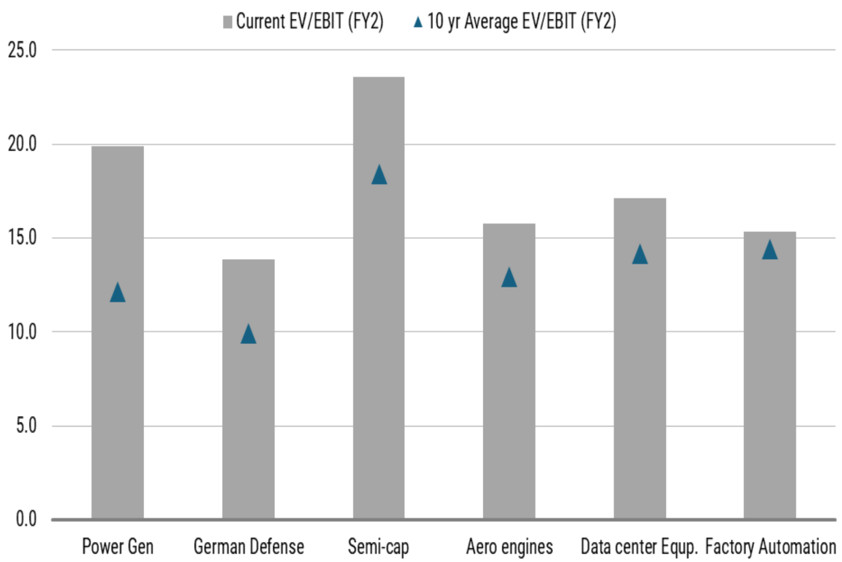
The 'European' discount is most notable in 1) Siemens Energy vs GE Vernova, 2) Siemens vs Rockwell, and 3) Schneider vs Eaton.

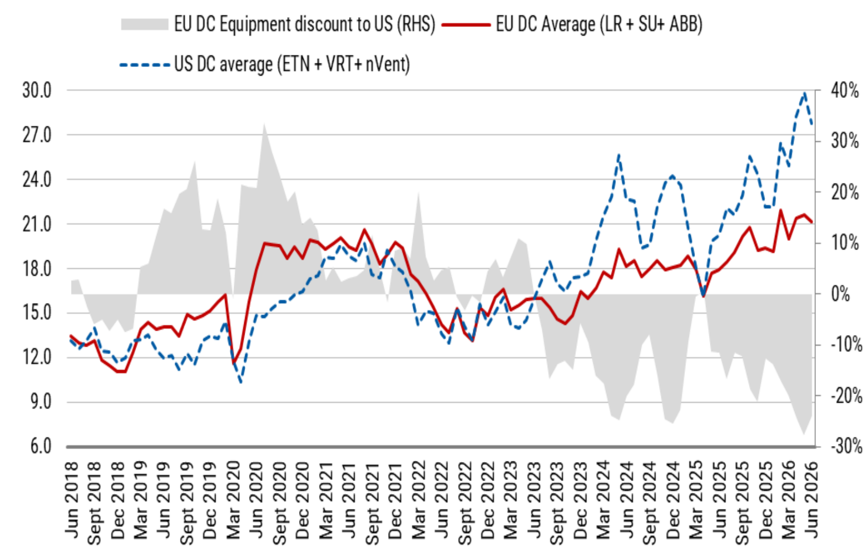


Source: Datastream, Morgan Stanley Research. Note: GE Vernova is covered by David Arcaro; Rockwell and Eaton are covered by Christopher Snyder.

Thematic valuations within Industrials (2028 EV/EBIT). Semi-cap (22x) at a premium. Defence (14x), Electrification (15.5x) and Aero Engines (16x) more tightly grouped.

Electrification stocks (ABB, SU, LR) are trading on similar multiples to Aero Engines. Power Gen is a 20% premium to Defence.

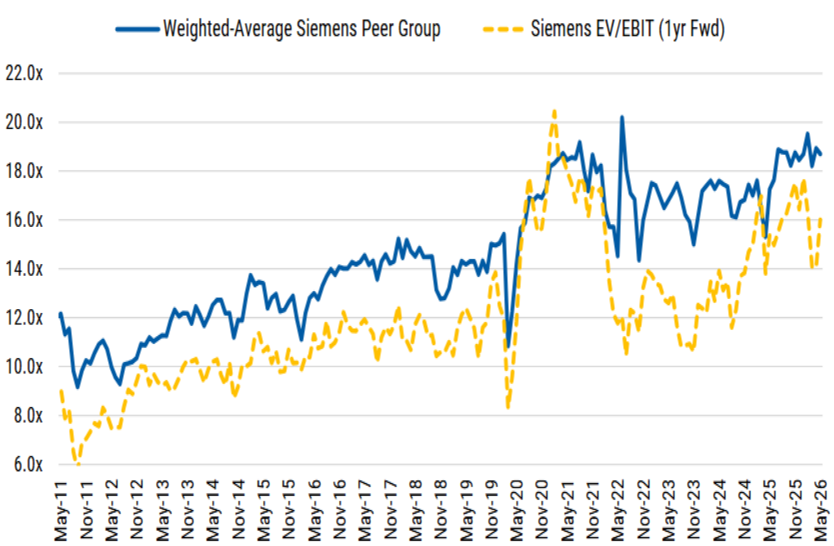




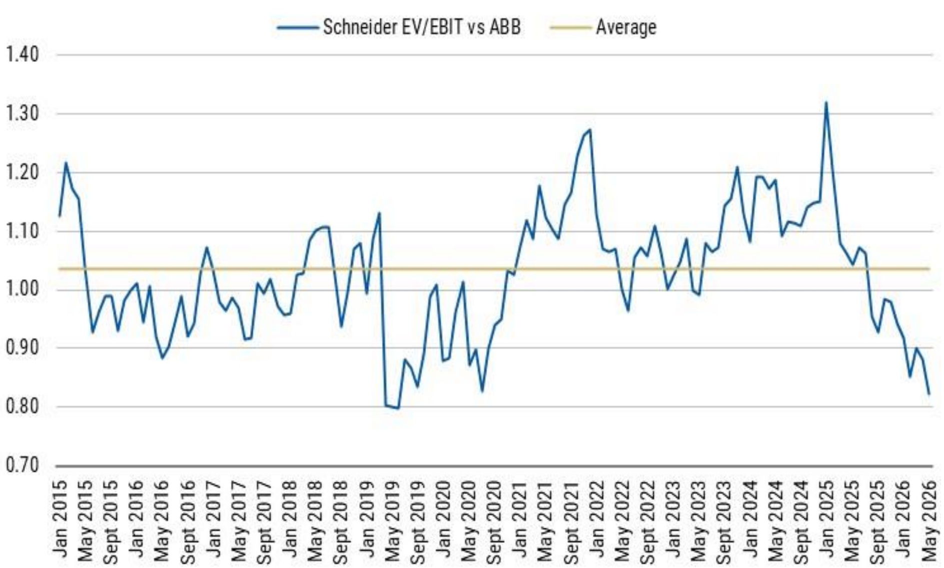
Source: Datastream, Morgan Stanley Research

Digging into company valuations. Siemens is back to a -14% discount to its theoretical SOTP, while Schneider screens as attractive vs ABB

Siemens EV/EBIT vs a weighted average of its peer group (weighted by Siemens' divisional exposure). Siemens is back to trading at an 14% discount to its theoretical SOTP

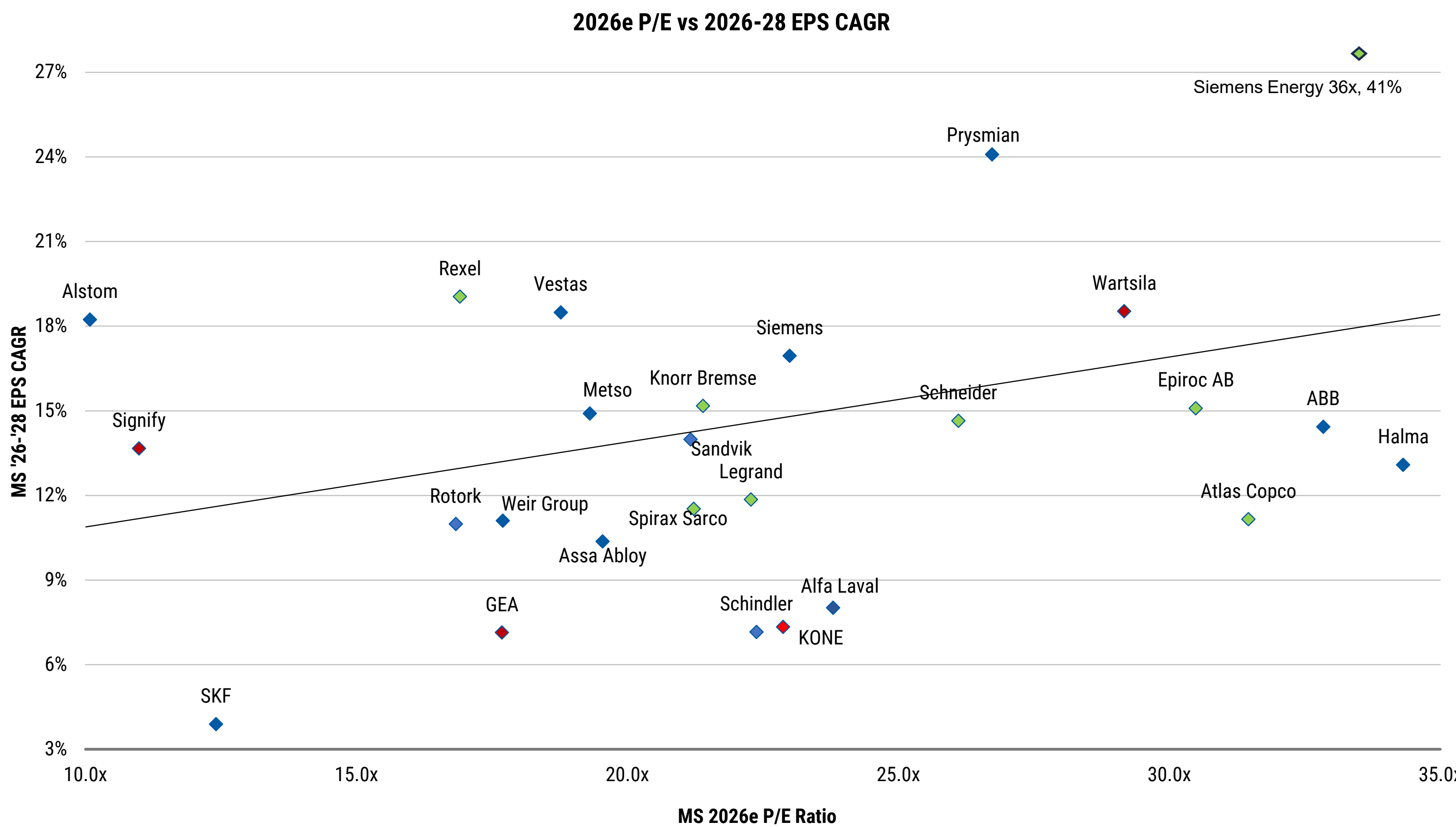


Schneider vs ABB relative EV/EBIT. Schneider is trading at a c.20% discount to ABB on consensus EV/EBIT. Schneider screens as relatively attractive.



Source: Datastream, Morgan Stanley Research

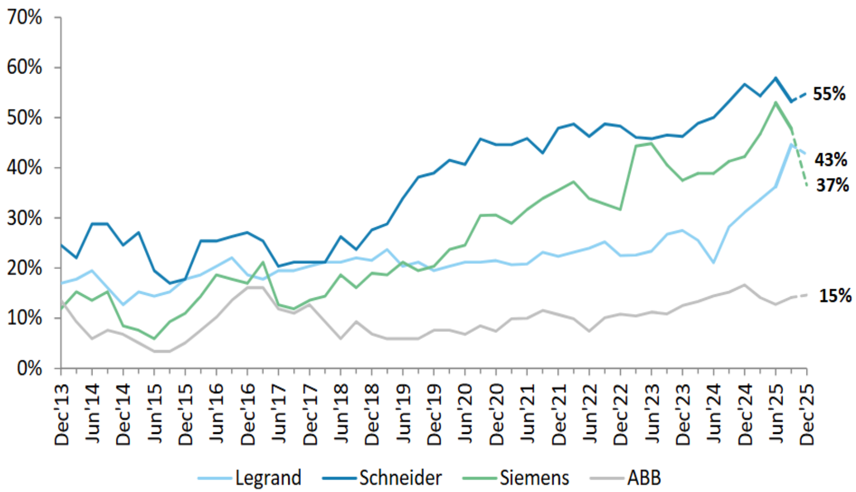
2026e P/E multiple vs 2026-28e EPS CAGR. We see an attractive combination of valuation and EPS growth at Rexel and KBX.



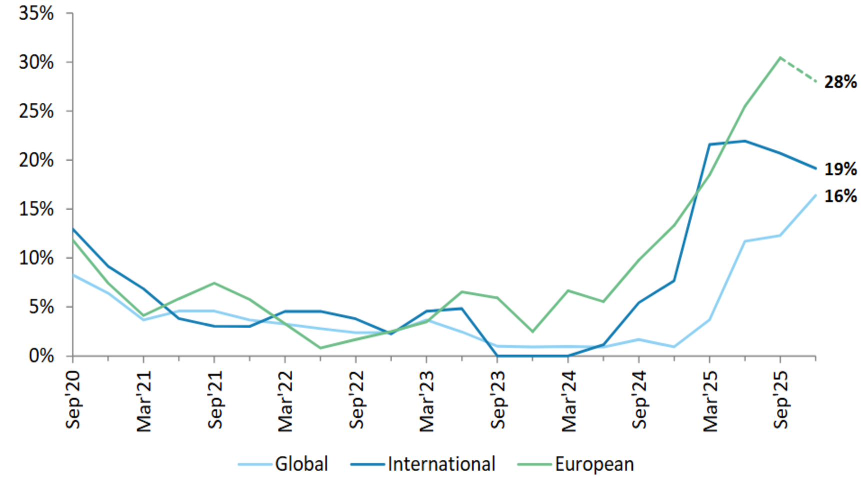
Source: Datastream, Morgan Stanley Research estimates (e)

Long-only positioning data in the sector. Schneider well owned, but Legrand is catching up. Siemens Energy remains below large-cap electricals in ownership.

European Fund Positioning in Legrand, Schneider, Siemens & ABB: % of Funds OW

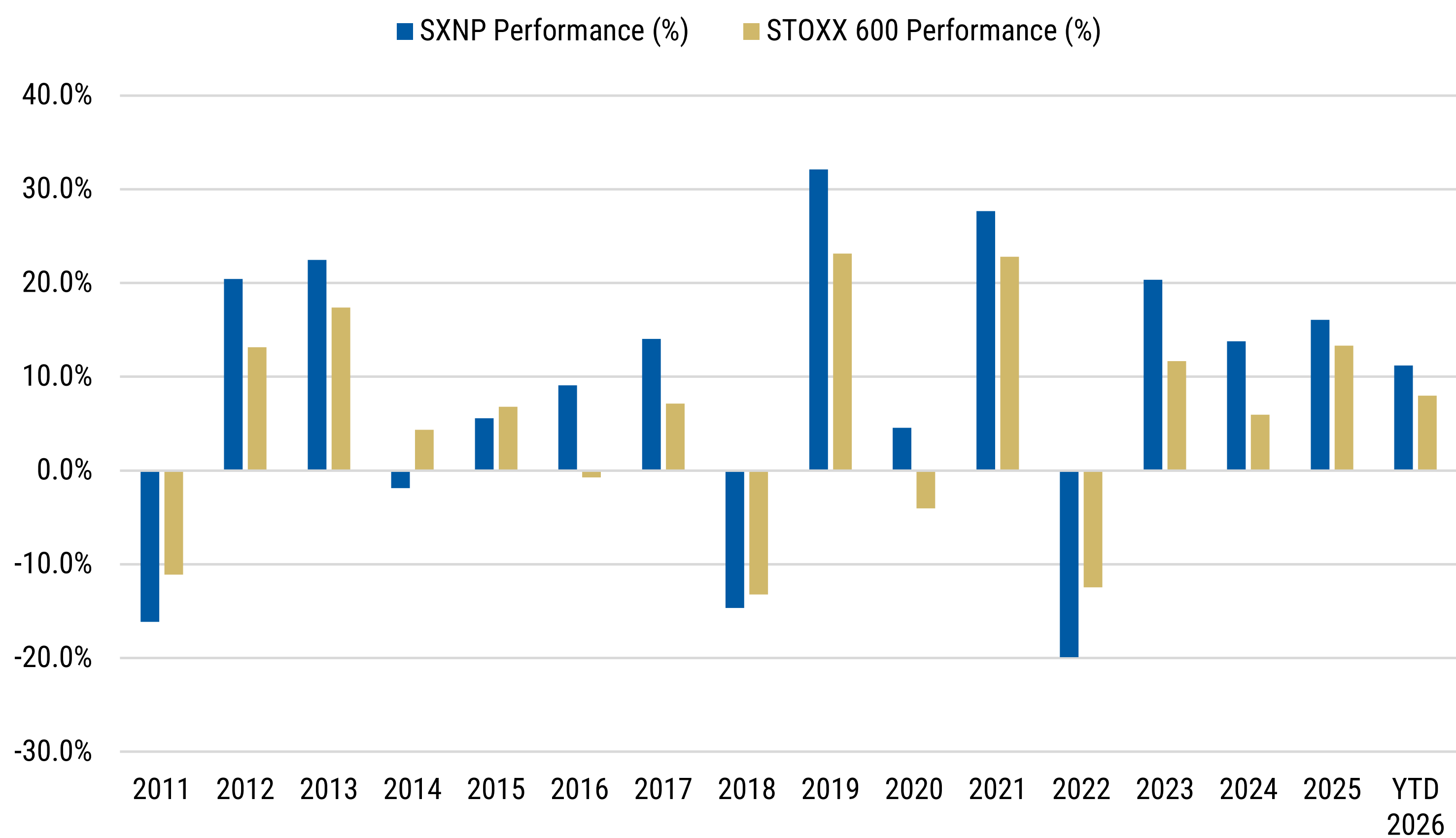


Fund Positioning in Siemens Energy: % of Funds OW



Source: Factset, Morgan Stanley Research. Note: Our sample group of funds varies month to month, so is not directly comparable, though there is a c. 90% overlap in funds; December data for European funds are preliminary.

Capital Goods: Sector performance versus the European Stoxx 600. Since 2016, the sector has only underperformed the market in 2/10 years, ie 20% of the time.



Source: Datastream, Morgan Stanley Research

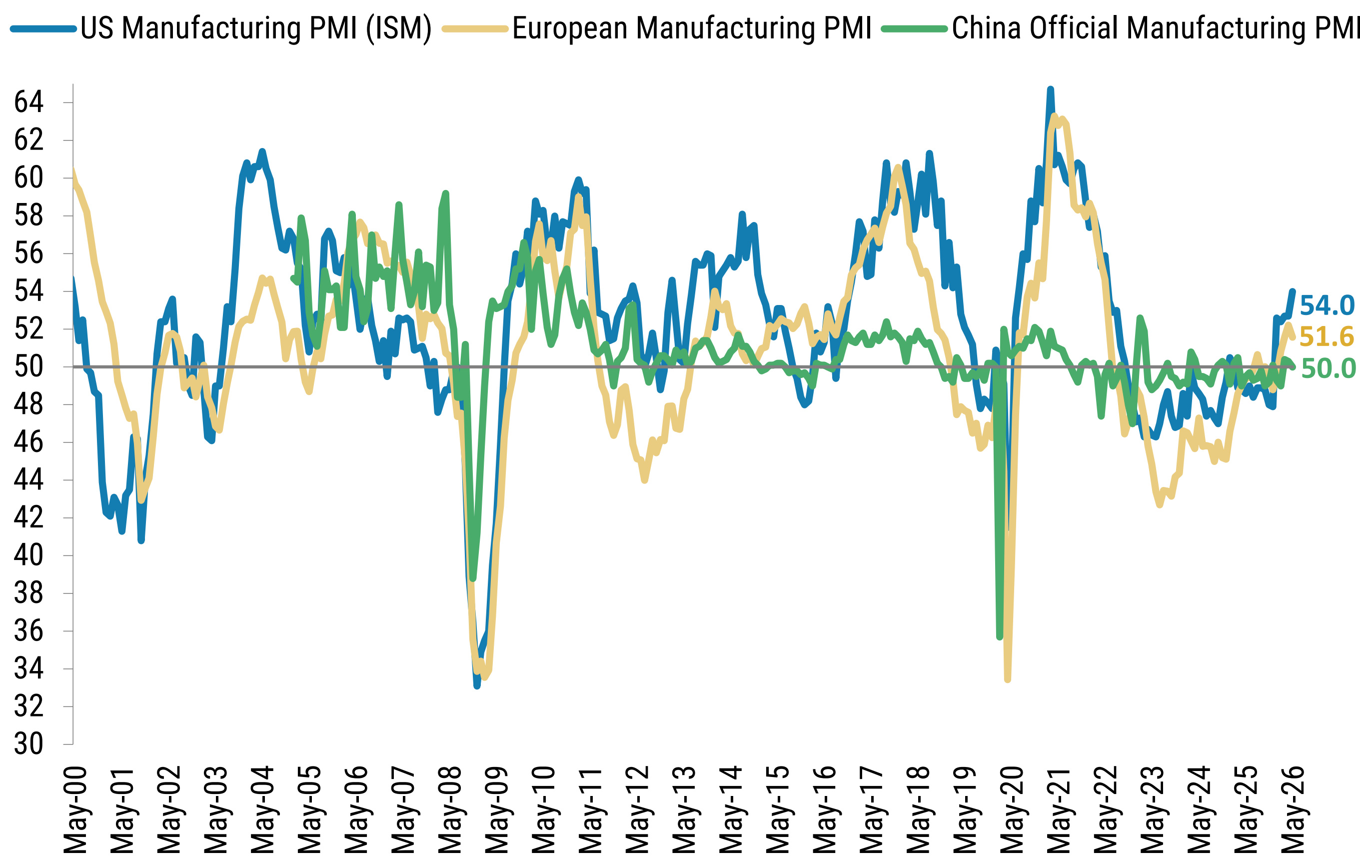
Capital Goods Comp Sheet

	Currency	MS	Share	MS	% Upside/	Mkt Cap	P/E			EV/Sales			EV/EBITDA			EV/EBIT			Dividend Yield (%)			FCF Yield (%)			Relative to SXNP				Relative to SXNP(EUR)			
	Price	Rating	Price	PT	(Downside)	EUR (in bn)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	1M	3M	6M	12M	1M	3M	6M	12M
Electricals																																
ABB	CHF	E	86.1	74.0	-14.1%	169.8	34.1	29.3	26.0	5.1	4.5	4.2	22.2	19.3	17.2	24.7	21.5	19.0	1.6%	1.9%	2.1%	2.7%	3.1%	3.4%	0.9%	23.0%	37.1%	68.6%	-0.4%	21.7%	38.2%	72.4%
Alstom	EUR	E	16.2	22.0	36.0%	7.9	8.6	7.2	5.9	0.4	0.4	0.3	5.4	4.2	3.2	nm	nm	nm	0.0%	0.0%	0.0%	7.0%	10.0%	13.0%	-6.0%	-42.4%	-43.3%	-30.2%	-6.0%	-42.4%	-43.3%	-30.2%
Legrand	EUR	O	146.8	166.0	13.1%	39.0	24.5	21.8	19.6	4.0	3.6	3.3	17.0	15.0	13.5	19.3	17.1	15.5	2.0%	2.2%	2.5%	4.1%	4.9%	5.3%	-5.7%	-0.9%	7.1%	18.5%	-5.7%	-0.9%	7.1%	18.5%
Prysmian	EUR	E	148.4	140.0	-5.6%	42.5	27.6	20.5	17.9	2.0	1.8	1.6	14.9	11.6	10.1	19.6	14.7	12.6	0.7%	0.9%	1.0%	3.2%	3.8%	4.7%	-2.8%	46.4%	64.1%	148.9%	-2.8%	46.4%	64.1%	148.9%
Rexel	EUR	O	37.1	42.0	13.1%	11.0	17.2	13.9	12.2	0.7	0.7	0.6	9.0	8.0	7.1	11.9	10.4	9.1	2.9%	3.2%	3.7%	4.4%	5.7%	7.2%	-0.7%	4.0%	3.1%	33.1%	-0.7%	4.0%	3.1%	33.1%
Schneider	EUR	O	279.5	300.0	7.3%	163.2	27.5	23.6	20.9	4.0	3.6	3.2	19.6	16.8	14.6	21.6	18.5	16.0	1.6%	1.9%	2.2%	3.1%	3.8%	4.3%	2.0%	4.9%	9.9%	13.2%	2.0%	4.9%	9.9%	13.2%
Siemens	EUR	E	272.3	260.0	-4.5%	211.0	23.7	19.8	17.3	2.8	2.5	2.3	16.1	13.6	11.9	19.4	16.0	13.8	2.1%	2.2%	2.4%	4.2%	4.8%	5.5%	-0.5%	18.9%	6.0%	12.3%	-0.5%	18.9%	6.0%	12.3%
Siemens Energy	EUR	O	162.5	200.0	23.1%	118.1	37.6	25.9	19.1	3.1	2.6	2.2	NM	NM	NM	26.8	18.2	13.1	1.3%	1.9%	2.6%	6.4%	5.7%	6.5%	-9.2%	0.2%	26.1%	68.0%	-9.2%	0.2%	26.1%	68.0%
Signify	EUR	U	17.8	15.0	-15.9%	2.7	9.6	8.5	7.4	0.6	0.6	0.6	5.7	5.1	4.7	8.0	7.1	6.5	8.4%	8.9%	9.1%	13.7%	13.6%	15.1%	-15.1%	-10.0%	-22.0%	-34.9%	-15.1%	-10.0%	-22.0%	-34.9%
Vestas	DKK	E	175.4	196.0	11.7%	23.5	NM	NM	NM	1.0	0.9	0.9	8.1	6.5	5.7	13.8	10.3	9.0	1.0%	1.3%	1.4%	5.0%	5.0%	6.7%	-11.7%	0.2%	-5.8%	55.1%	-11.8%	0.1%	-5.8%	54.7%
UK Engineers																																
Halma	GBp	E	39.0	44.5	14.0%	17.0	30.5	26.9	NM	5.2	4.6	4.2	21.0	18.5	16.6	23.0	20.1	18.0	0.9%	1.0%	1.1%	2.9%	3.3%	3.8%	-16.4%	-5.6%	1.1%	6.0%	-16.2%	-5.3%	2.4%	5.1%
Rotork	GBp	E	3.1	3.5	14.3%	2.9	16.9	15.0	13.7	3.0	2.7	2.4	12.2	10.5	9.3	13.4	11.3	10.0	3.1%	3.8%	4.2%	6.2%	6.6%	6.9%	-3.1%	-10.5%	-14.2%	-21.7%	-2.8%	-10.2%	-13.1%	-22.4%
Spirax Group	GBp	O	68.0	85.0	25.0%	5.8	21.2	18.7	17.0	3.2	3.0	2.8	13.0	11.7	10.6	15.5	13.9	12.5	2.7%	3.1%	3.4%	4.4%	4.9%	5.5%	-4.4%	-7.1%	-8.1%	-1.3%	-4.1%	-6.7%	-6.9%	-2.1%
Weir Group	GBp	E	23.6	28.0	18.8%	7.1	17.9	15.9	14.5	2.7	2.4	2.2	11.4	10.3	9.3	13.1	11.7	10.6	2.0%	2.2%	2.4%	4.8%	5.3%	6.0%	-7.8%	-24.5%	-25.6%	-21.6%	-7.5%	-24.2%	-24.5%	-22.2%
Mechanicals																																
Alfa Laval AB	SEK	E	546.2	485.0	-11.2%	20.2	24.5	22.8	21.0	3.4	3.2	3.0	16.0	14.7	13.5	18.3	16.9	15.4	1.8%	2.0%	2.2%	3.4%	3.9%	4.3%	-2.8%	-2.6%	9.9%	21.6%	-4.8%	-5.1%	7.0%	21.9%
Assa Abloy AB	SEK	E	329.6	365.0	10.7%	32.8	19.4	17.4	15.9	2.8	2.5	2.4	13.3	12.1	11.2	15.3	13.8	12.7	2.1%	2.3%	2.6%	5.1%	5.2%	5.8%	-4.0%	-9.6%	-15.8%	-5.1%	-6.0%	-11.9%	-18.0%	-4.8%
Atlas Copco	SEK	O	190.6	200.0	4.9%	83.2	31.3	27.6	25.0	5.6	5.1	4.6	20.0	18.0	16.3	24.7	21.6	19.3	1.7%	1.8%	2.0%	2.9%	3.2%	3.4%	5.7%	7.9%	7.0%	10.2%	3.5%	5.2%	4.2%	10.5%
Epiroc AB	SEK	O	263.5	300.0	13.9%	28.6	30.1	25.3	22.8	5.0	4.4	4.0	19.3	16.2	14.4	23.8	19.8	17.6	1.5%	1.8%	2.1%	3.3%	3.4%	4.2%	-2.3%	8.0%	19.6%	10.3%	-4.3%	5.2%	16.5%	10.6%
GEA Group AG	EUR	E	58.8	60.0	2.0%	9.6	18.2	17.1	16.0	1.7	1.6	1.5	10.1	9.3	8.5	13.0	12.0	10.9	2.4%	2.7%	3.1%	3.7%	5.2%	5.4%	6.5%	-12.0%	-5.8%	-17.1%	6.5%	-12.0%	-5.8%	-17.1%
KION Group AG	EUR	E	40.9	48.0	17.3%	4.0	10.9	8.9	7.5	0.6	0.5	0.5	3.4	3.0	2.7	7.7	6.3	5.2	2.3%	2.9%	3.6%	16.7%	17.5%	17.9%	-9.3%	-20.0%	-47.3%	-20.4%	-9.3%	-20.0%	-47.3%	-20.4%
Knorr Bremse AG	EUR	O	103.5	116.0	12.1%	16.7	21.9	18.4	16.5	2.2	2.0	1.8	11.3	9.9	8.7	15.2	13.1	11.5	1.8%	2.2%	2.5%	4.7%	5.9%	6.5%	2.0%	-5.5%	1.1%	7.7%	2.0%	-5.5%	1.1%	7.7%
Kone Oyj	EUR	U	49.4	46.6	-5.7%	26.2	23.2	21.8	20.1	2.1	2.1	2.0	14.2	13.4	12.5	17.0	15.9	14.7	4.2%	4.5%	4.8%	3.4%	3.5%	3.6%	-4.2%	-20.4%	-26.7%	-28.5%	-4.2%	-20.4%	-26.7%	-28.5%
Metso Corporation	EUR	E	14.9	16.5	10.7%	12.3	19.5	16.7	14.7	2.4	2.1	1.9	12.5	10.8	9.4	14.0	12.0	10.6	2.7%	2.8%	2.8%	5.5%	5.9%	5.9%	-5.5%	-5.3%	-6.7%	23.3%	-5.5%	-5.3%	-6.7%	23.3%
Sandvik	SEK	E	393.0	410.0	4.3%	44.2	21.3	16.2	16.3	3.4	2.7	2.7	13.5	10.7	10.8	17.2	12.9	13.0	2.2%	2.9%	2.9%	3.8%	5.2%	6.6%	0.9%	5.0%	24.1%	70.2%	-1.2%	2.3%	20.9%	70.6%
Schindler Holding AG	CHF	E	266.4	269.0	1.0%	30.9	22.7	20.9	19.8	2.0	1.9	1.8	12.6	11.4	10.5	15.8	14.3	13.1	2.5%	2.7%	2.9%	4.7%	5.2%	5.6%	1.0%	-8.3%	-19.2%	-25.4%	-0.2%	-9.3%	-18.5%	-23.5%
SKF	SEK	++	247.7	++	NA	10.1	12.9	12.3	12.0	1.3	1.2	1.2	7.6	7.2	6.9	9.4	8.9	8.5	3.2%	3.4%	3.4%	5.4%	5.9%	5.5%	1.5%	5.2%	-6.4%	1.3%	-0.6%	2.5%	-8.9%	1.6%
Wartsila Oyj Abp	EUR	U	32.7	29.0	-11.3%	19.3	28.8	24.0	20.5	2.7	2.4	2.2	16.9	14.2	12.2	20.2	16.7	14.3	2.1%	2.5%	2.9%	2.4%	2.5%	2.6%	-9.7%	-7.9%	-1.1%	48.8%	-9.7%	-7.9%	-1.1%	48.8%
Averages																																
Electricals							21.6	18.9	16.3	2.4	2.1	1.9	13.1	12.0	11.4	18.3	14.9	12.7	2.2%	2.4%	2.7%	5.4%	6.0%	7.2%	-2.7%	4.5%	4.1%	14.6%	-2.9%	4.5%	4.1%	14.6%
UK Engineers							21.6	19.1	15.1	3.5	3.2	2.9	14.4	12.7	11.5	16.3	14.3	12.8	2.2%	2.5%	2.8%	4.6%	5.0%	5.5%	-5.1%	-6.3%	-3.5%	2.3%	-4.8%	-6.0%	-2.2%	1.5%
Mechanicals							21.9	19.2	17.6	2.7	2.4	2.3	13.9	12.3	11.2	16.3	14.2	12.8	2.4%	2.7%	2.9%	5.0%	5.6%	5.9%	-1.5%	-1.3%	2.2%	4.9%	-2.6%	-2.0%	0.8%	5.1%
Cap Goods							21.8	19.1	16.8	2.7	2.4	2.2	13.7	12.3	11.3	17.0	14.4	12.8	2.3%	2.6%	2.8%	5.1%	5.7%	6.3%	-2.4%	0.1%	2.1%	7.3%	-3.0%	-0.2%	1.5%	7.3%

++ Stock Rating, Price Target, or Estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time. Source: Company Data, Datastream, Morgan Stanley Research. Priced at 23/06/26 close. NA = not applicable, NM = not meaningful

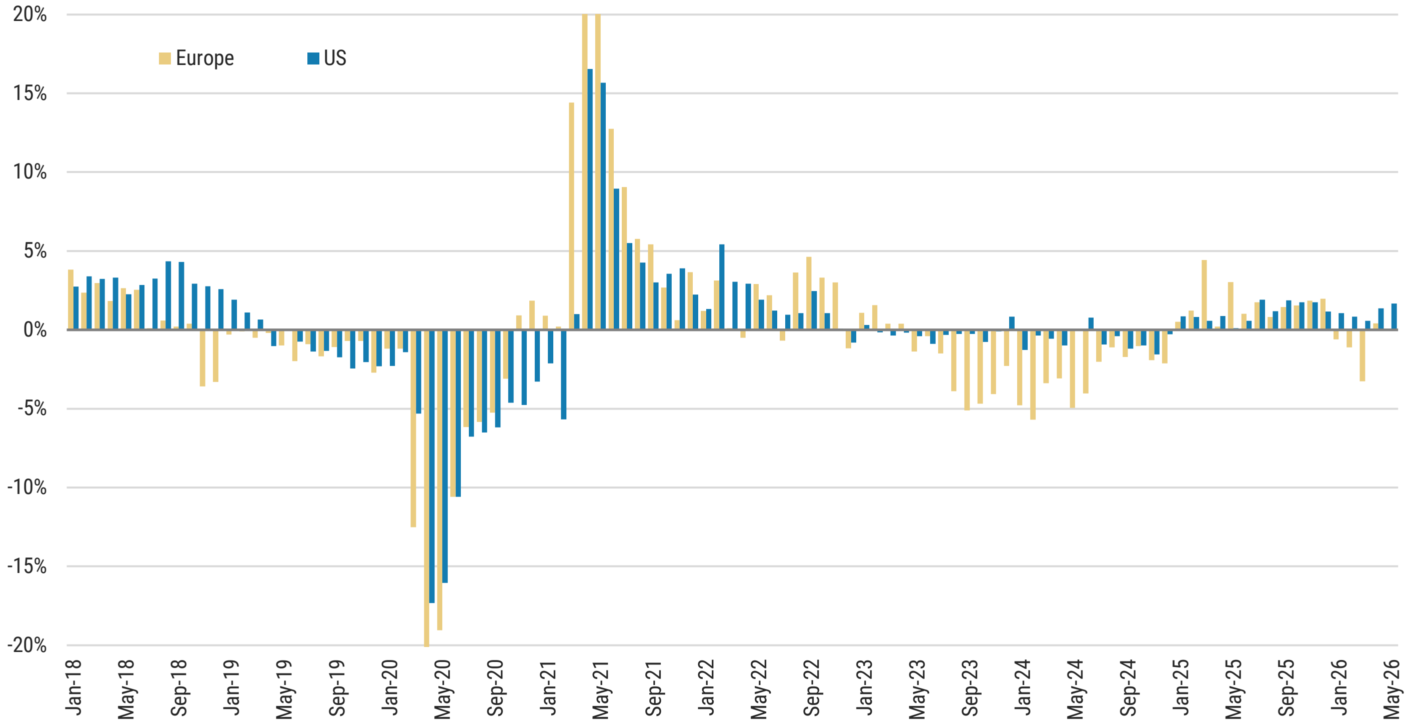
The Industrial Cycle

Regional PMIs. US May'26 reading of 54.0 vs 51.6 for EU. However, US new orders did moderate from the prior month within the overall PMI



Source: Haver, Morgan Stanley Research

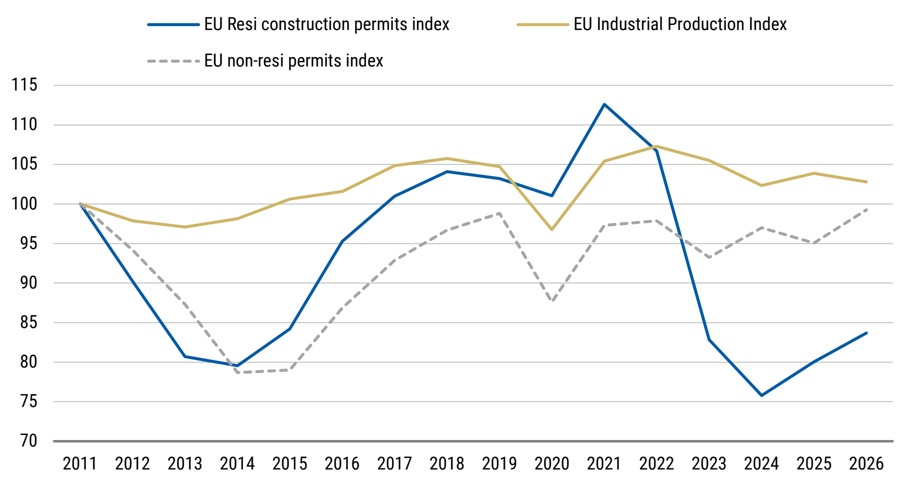
European IP is already at depressed levels. Part of this is structural, but we think it is less clear that current events result in another material leg down.



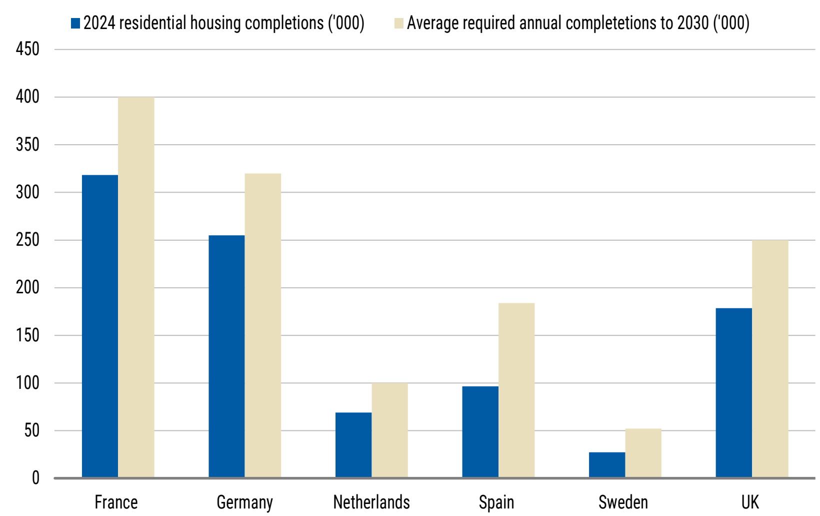
Source: Haver, Morgan Stanley Research

EU Construction. Residential is coming off a sharp downturn, and Europe is structurally underbuilding houses. However, slower rate cuts in Europe will slow the recovery

EU Industrial production index vs EU Construction indicator. No European Industrial production growth in the last 15 years, but less depressed than EU residential permits.



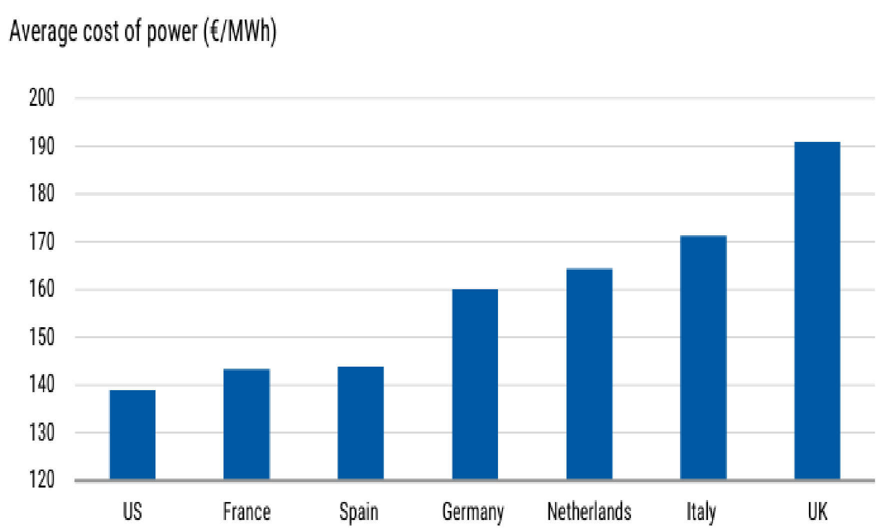
EU Residential housing completions, versus average annual required completions in 2025-30. Europe is under-building in most major EU countries vs actual needs by ~30%.



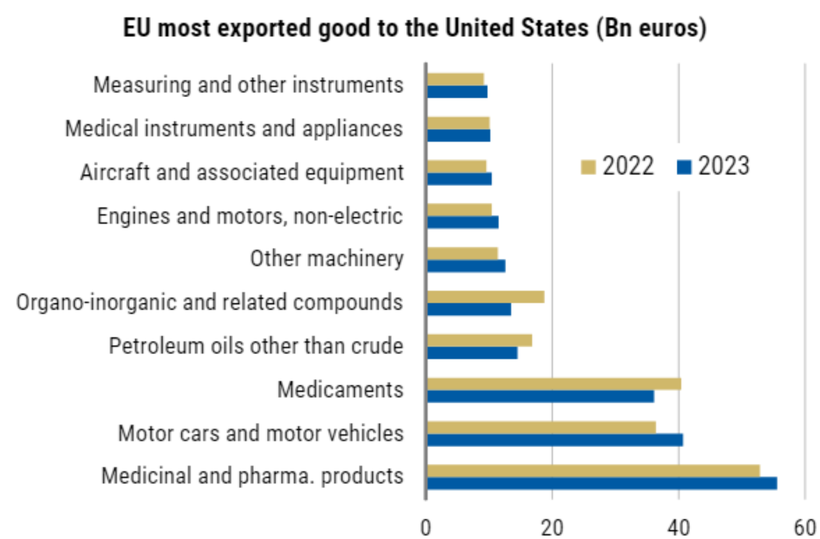
Source: Haver, Morgan Stanley Research

Structural EU manufacturing headwinds remain. Higher European power prices, US tariffs on European Goods, and Europe losing production share globally.

Average cost of power in Europe vs US. We see this as one of the factors that is disincentivizing investment into European manufacturing capacity. This will remain as a headwind in the mid-term.

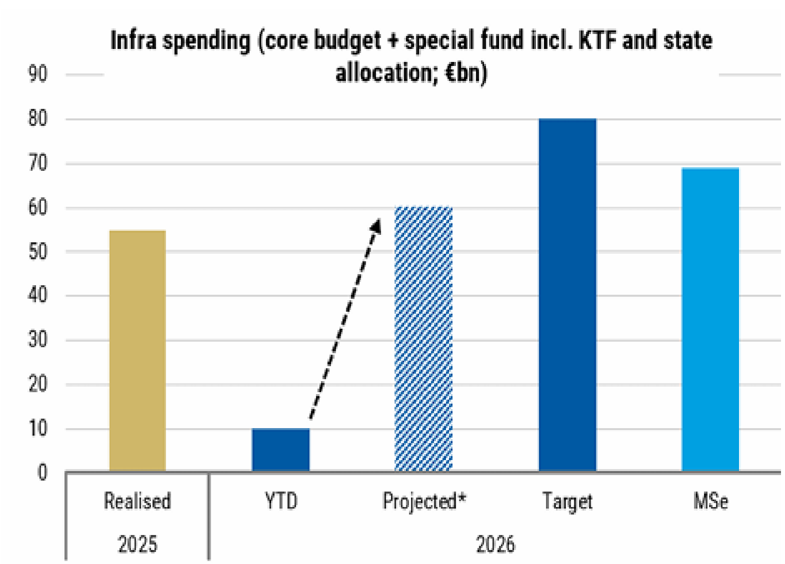


EU most exported goods to the US. Pharma/ Medicine and Auto are the most exported categories.



Source: Haver, Morgan Stanley Research estimates (e)

German Fiscal spending. MS estimates point to a 25bps tailwind for 2026 GDP. But the incremental spending in the budget so far is less than expected.

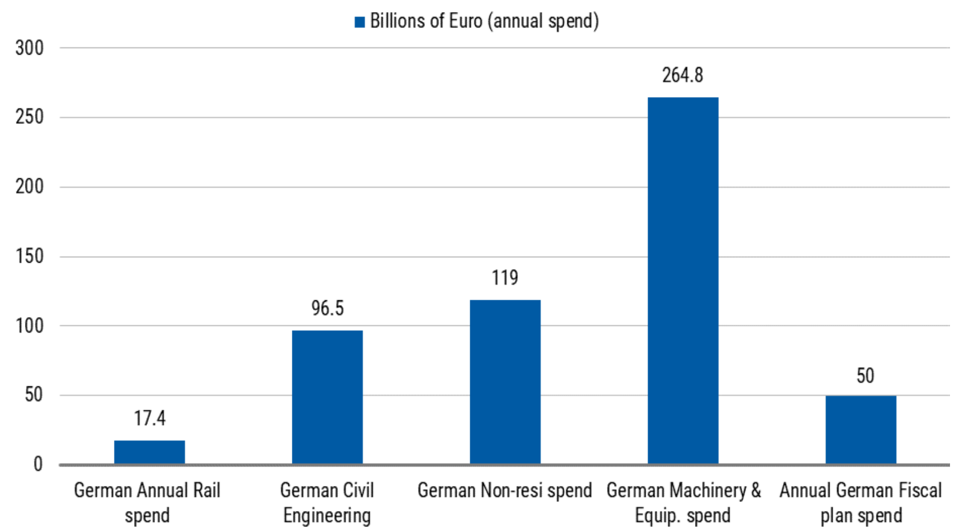


	2024 (realized)	2026 (planned)			Additional vs. 2024
	Core budget	Core budget	Infra. fund	Total	
Estimate of additional infra. spending by central gov. (all areas)*					17.2
of which					
Transport	30.5	13.7	21.3	35.0	4.5
of which railway	16.1	2.6	16.3	18.9	2.8
of which roads	9.6	6.8	5.0	11.8	2.2
Hospitals	0.0**	0.0**	6.0	6.0	6.0
Digitalisation	2.7***	0.5***	8.5	8.5	5.9
of which broadband	1.2	0	2.3	2.3	1.1
of which other (incl. public admin. and R&D)	1.5***	0.5***	6.2	6.2	4.7

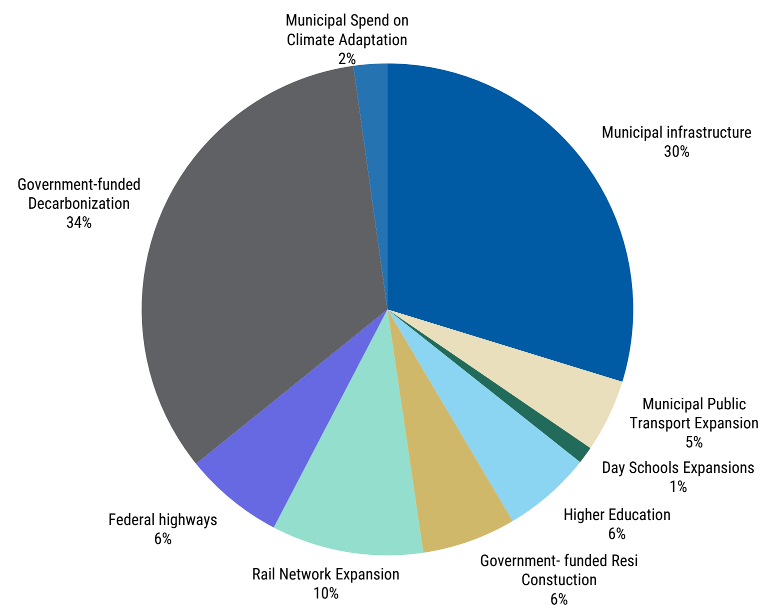
*Source: Ministry of Finance, Bundesbank, Morgan Stanley Research estimates. Note: *Bundesbank estimate. "core budget" refers to spending classified as expenditures for investment. **The core budget indicates no direct hospital outlays in line with spending responsibility by insurances and regions. ***We approximate other digitalization spending based on related items in the infra special fund. This likely presents a lower bound as spending is spread across budget chapters.*

German €500bn fiscal plan. €50bn pa compares to €216bn German non-resi and civil engineering spend. We expect a balanced split for spending

Annual spend in Germany across various end markets. This puts the potential €50bn per year German fiscal plan spend into context.



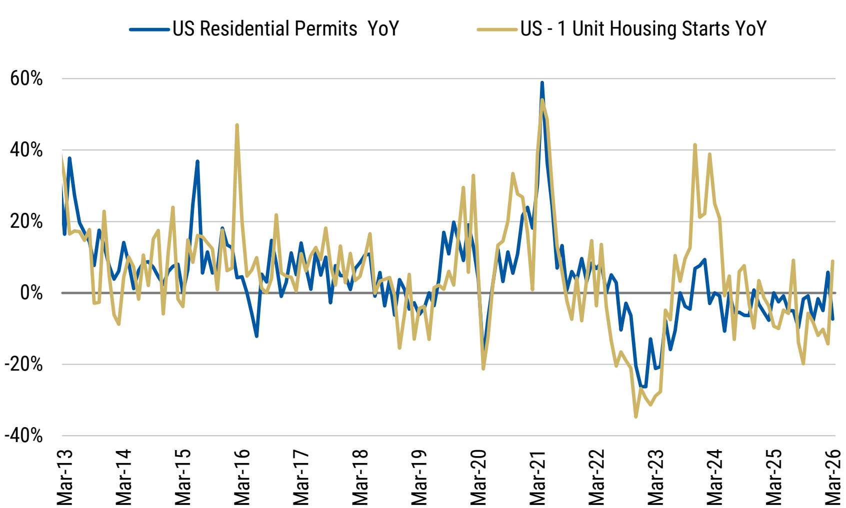
Potential split of the German spending plan by end market (based on a German public policy paper). Decarbonisation includes building renovation, grid and renewables.



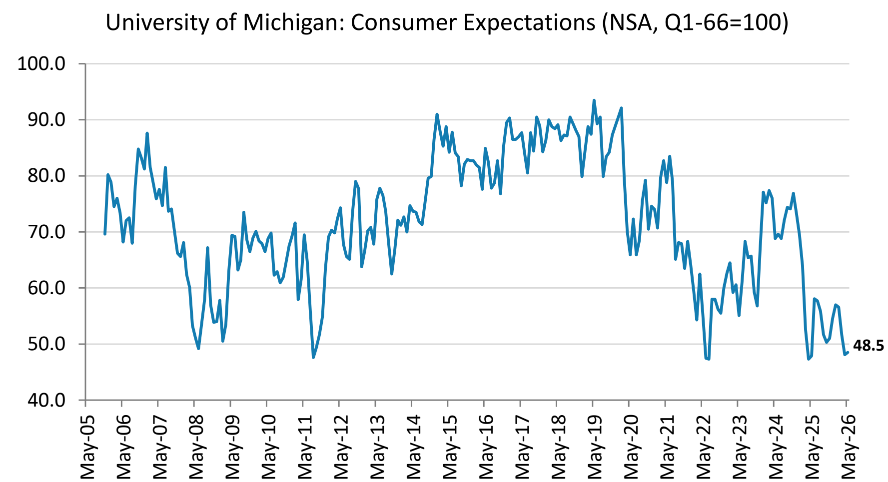
Source: Euroconstruct, Destatis , Institut Der Deutschen Wirtschaft, Morgan Stanley Research.

US: The k-shaped economy also affects industrials. US residential construction remains weak, while consumer confidence has taken another step back.

US residential construction. A weak year so far, with permitting and new starts remaining subdued.

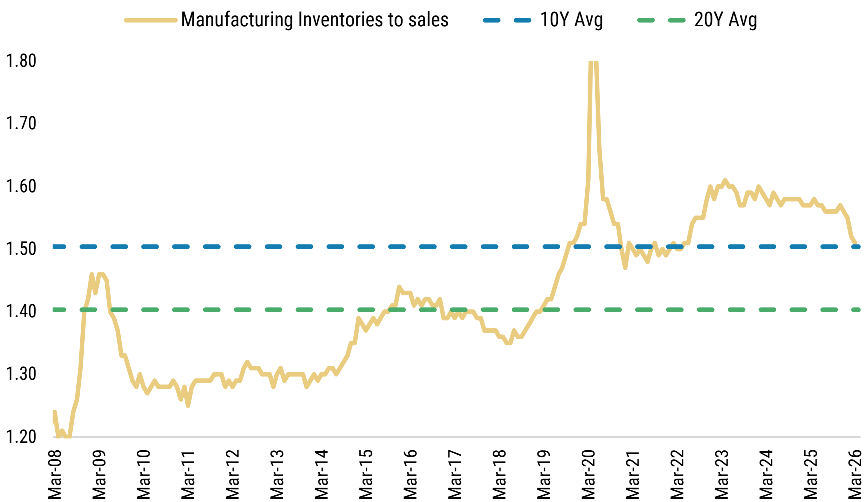


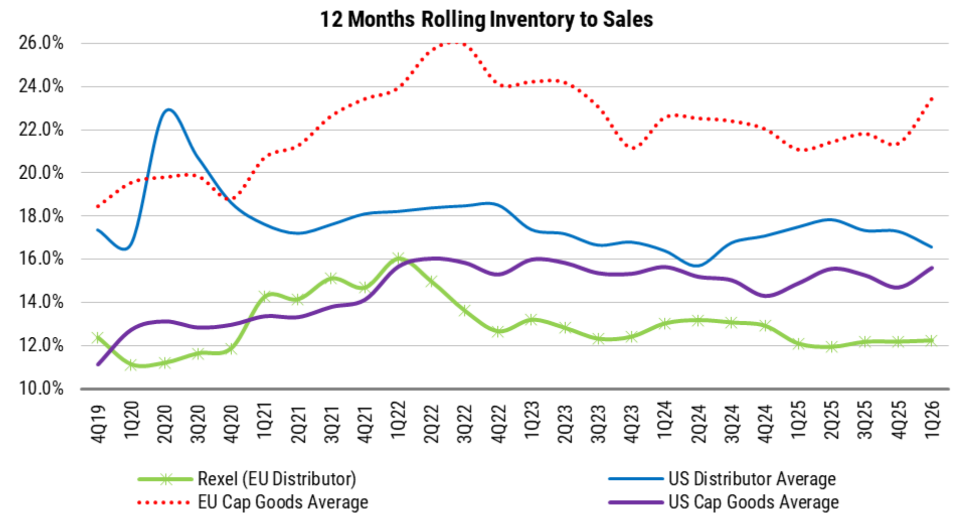
University of Michigan Consumer expectations. This took another step down in March, suggesting continued pressure for the US consumer.



Source: Haver, Datastream, Morgan Stanley Research

Inventory levels. Not a major cause for concern. Still about long-run trend levels, but US inventory levels moderated in 3Q and 4Q.

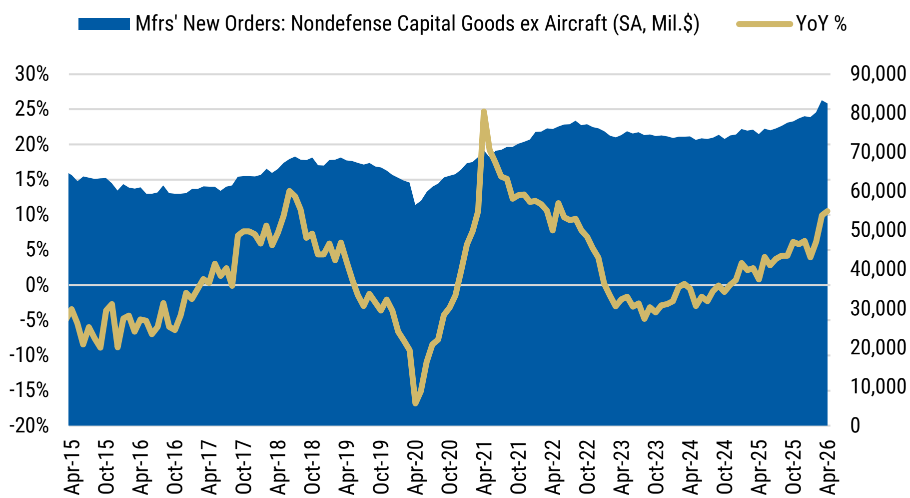




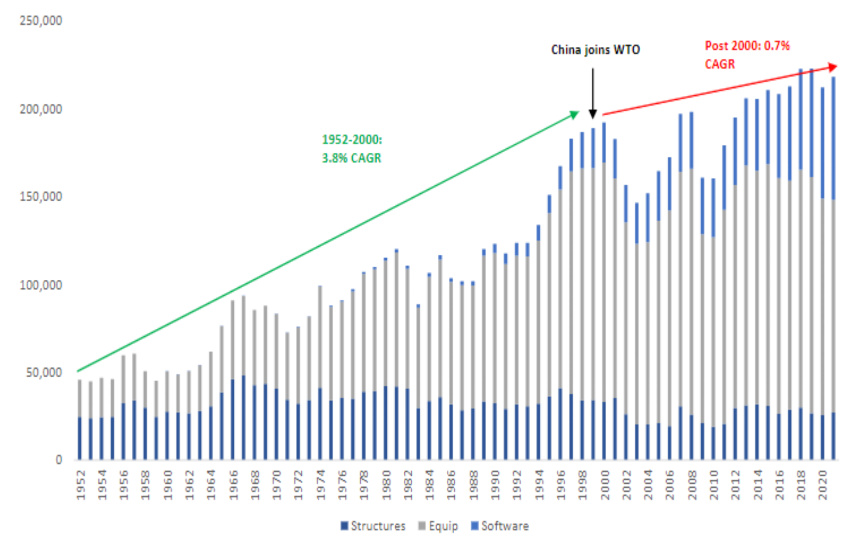
Source: Federal Reserve Bank of St Louis, Company data, Morgan Stanley Research

US Industrial. US durable goods orders accelerated in March. US Manufacturing investment has plateaued since 2000. But we expect a re-acceleration in 2026-30.

US Durable goods orders (Cap Goods ex aero) grew at 9.5% in March, and accelerated from 6% in Feb



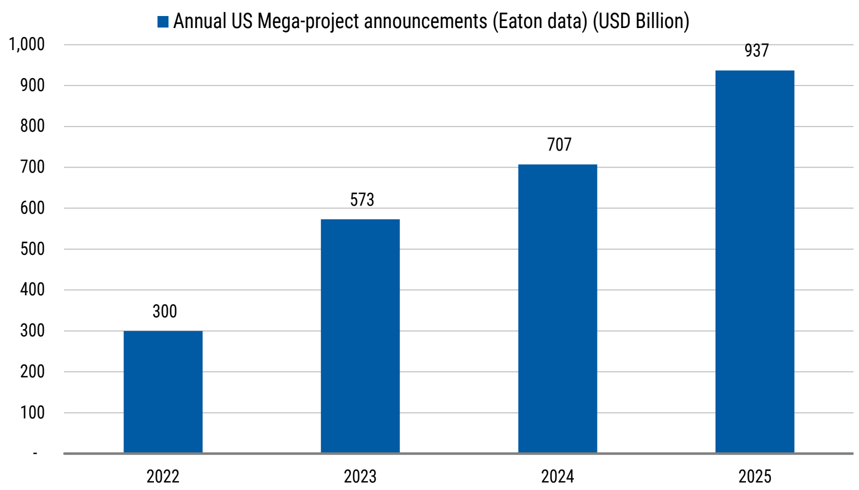
US manufacturing investment ($bn). Investment has slowed significantly post 2000. Incremental investments are now going into the US.



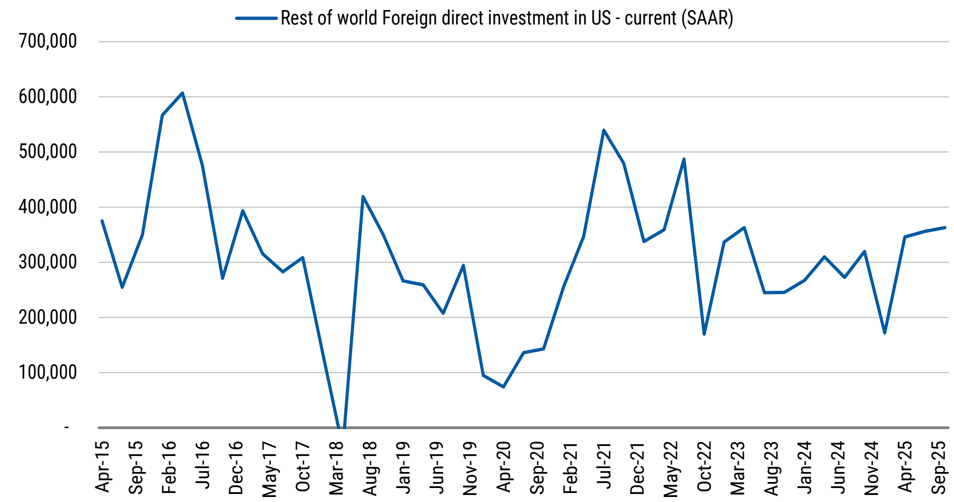
Source: US Census Bureau, Morgan Stanley research

US Reshoring. Projects are being announced, but these have been slow to work through to company revenues. ROW FDI in US slowed after a 2022-23 pick-up

Annual Eaton Mega-project announcements tracked by Eaton. These have continued to rise, but we think more recently this has been limited to data centers, while some projects in clean energy have been cancelled.



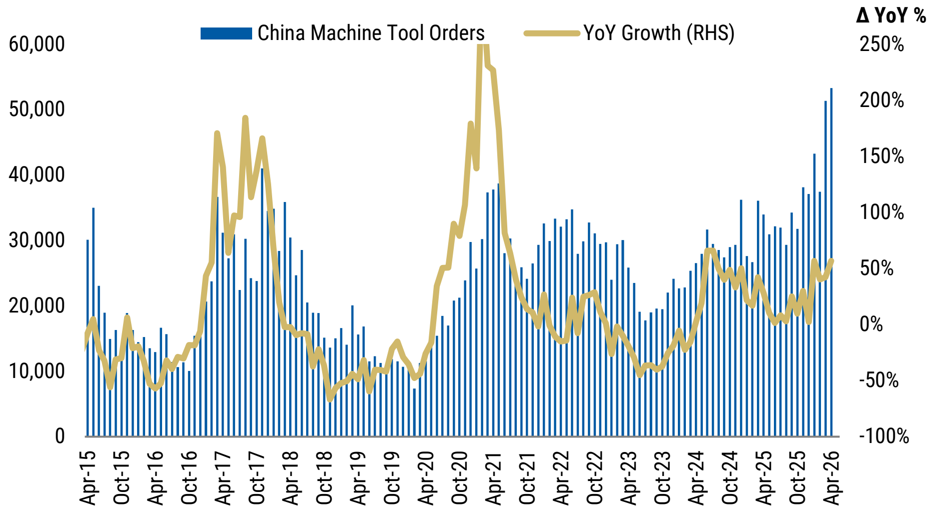
Foreign direct investment in the US. This moderated in 2023-24, after an initial wave of Auto, Battery and semis investments. Tariffs have created uncertainty, and delayed investment plans.



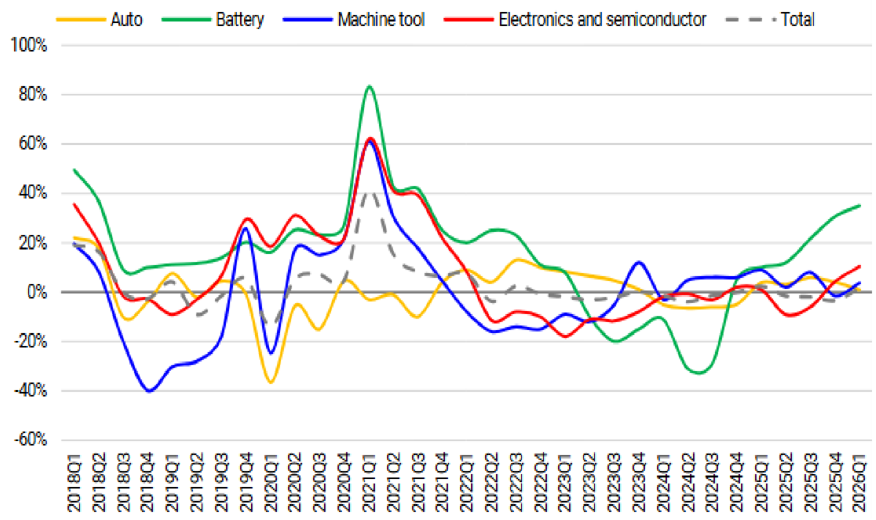
Source: Company data. US Census Bureau, Morgan Stanley Research

China: Automation data in China has been solid. Battery investment remains the stand-out Automation end market in China.

Machine tool orders into China. Still growing strongly in April at +57% YOY.



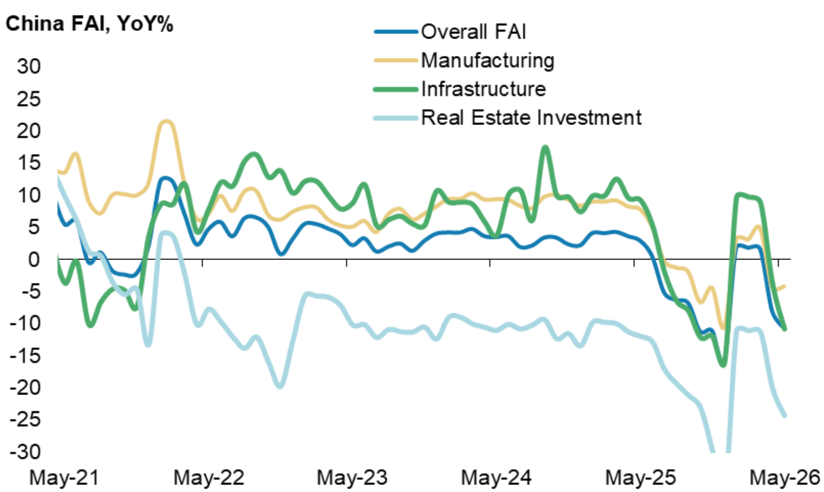
China Automation trends by end market. Battery stands out as having inflected positively in 1Q26.



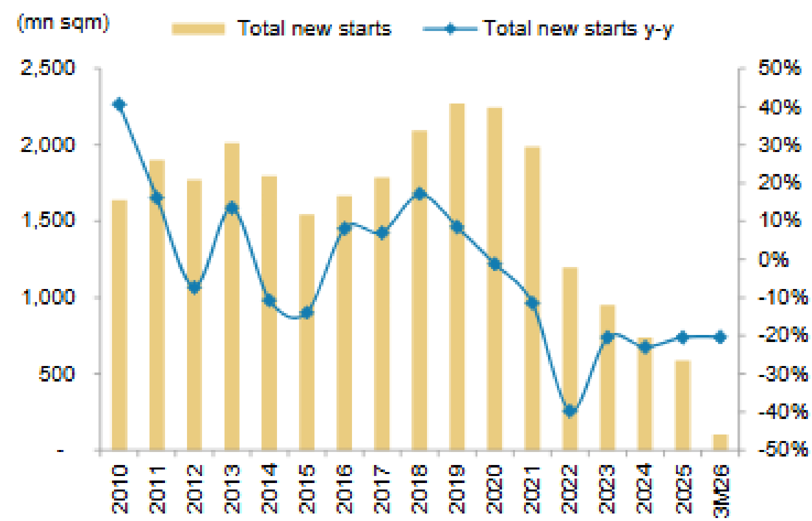
Source: JMBTA, MIR, Morgan Stanley Research

China. Top-down data (eg FAI) has weakened recently, but overall, we continue to think China Industrial is in much better shape than construction.

China Fixed Asset investment YOY growth. China FAI weakened materially in May 2026 and remains well below historic levels

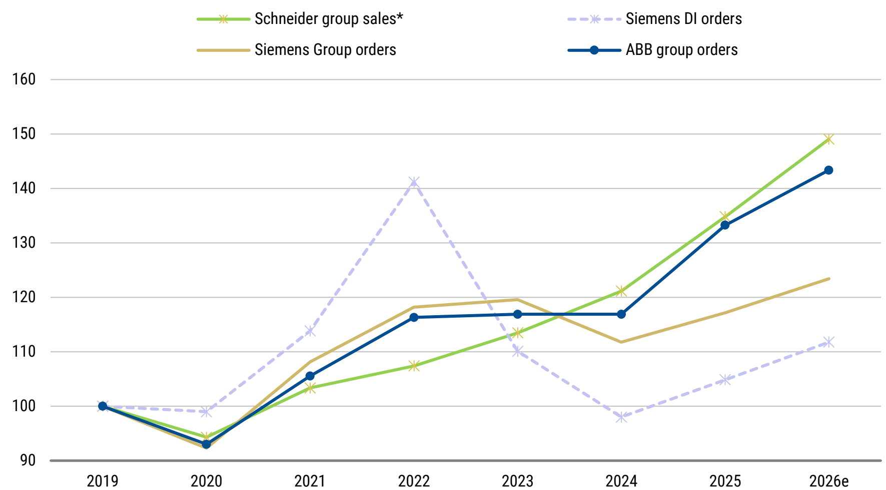


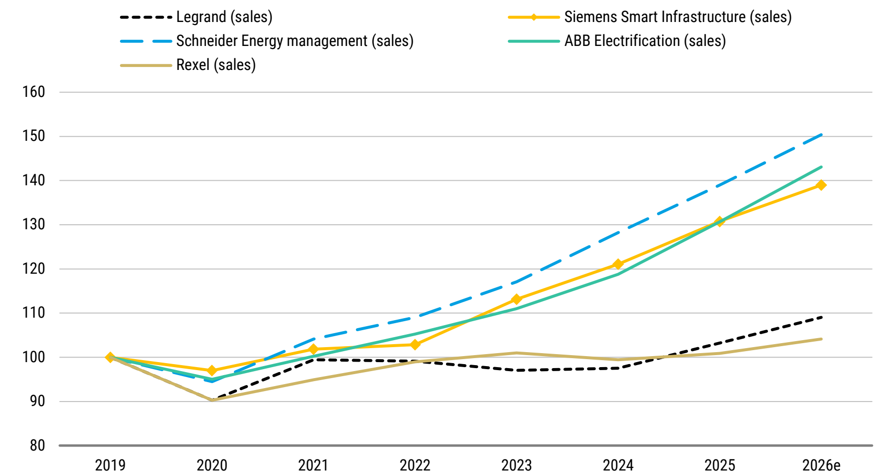
China housing starts. These are down c.20% in the first 3 mths of 2026. We expect continued weakness.



Source: NBS, CEIC, CREIS, Morgan Stanley Research

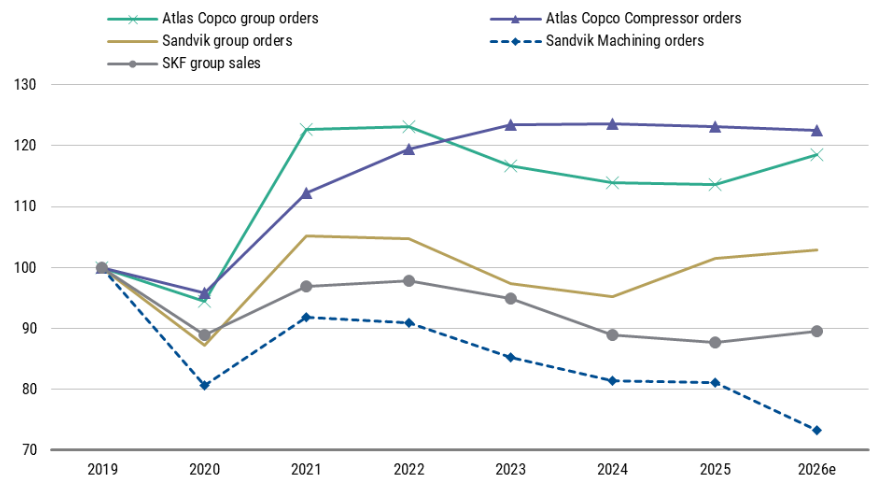
Order volumes (or sales) vs 2019 levels after excluding price. Schneider's sales have grown at a 5% volume CAGR since 2019. Legrand and Rexel sales have lagged.

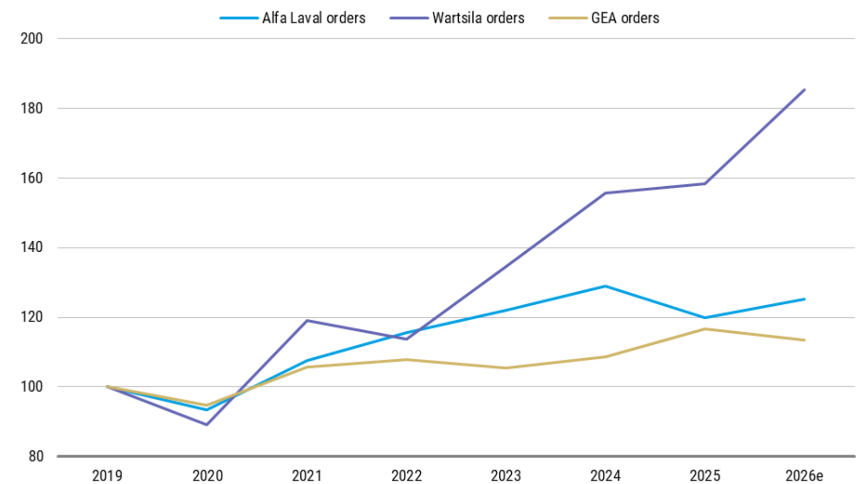




Source: Company Data, Morgan Stanley Research estimates (e)

Mechanicals. Order volumes (ex price) in Marine names have seen a bigger uptick than any other end market. Short-cycle volumes are much more depressed.



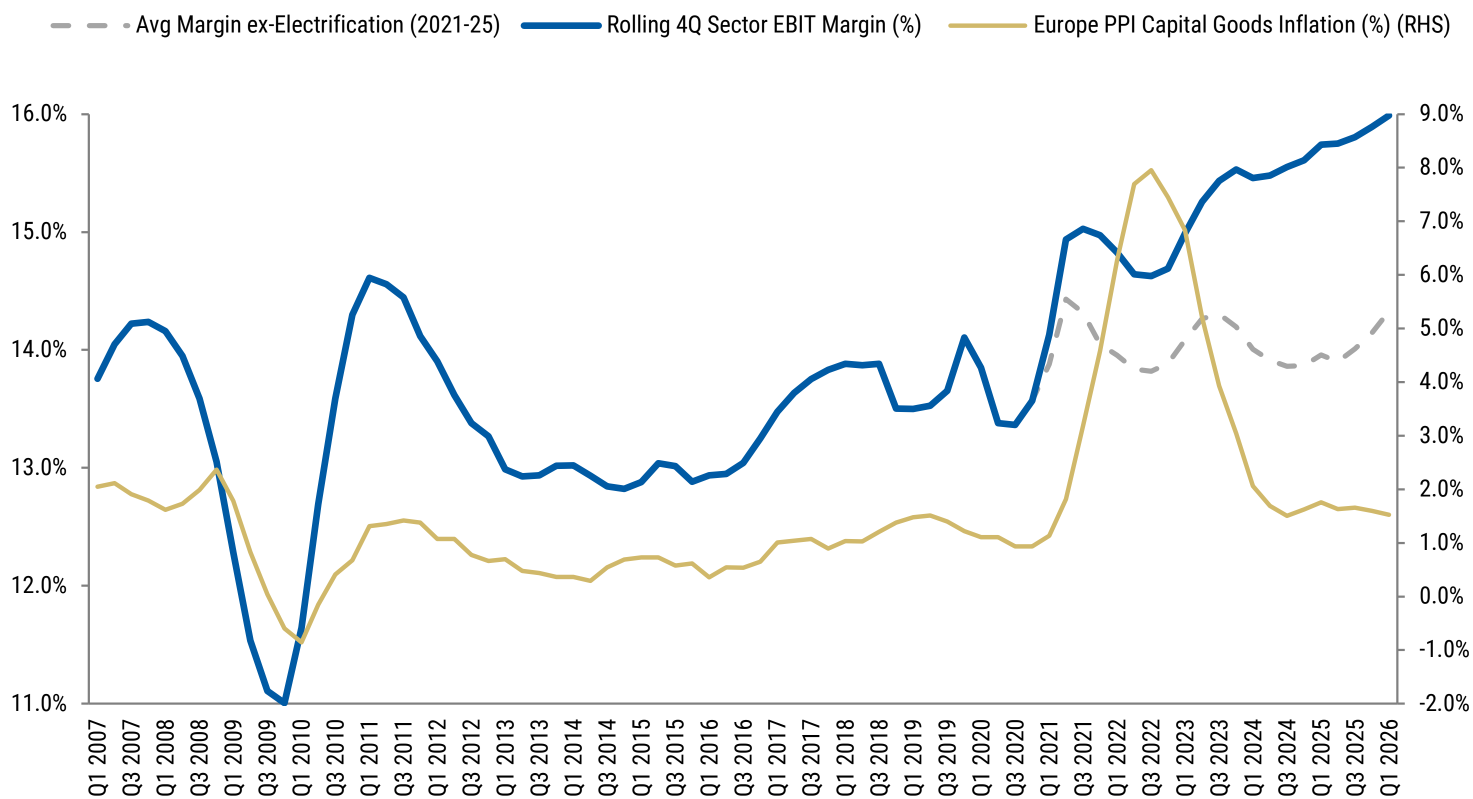


Source: Company Data, Morgan Stanley Research estimates (e)

Sector Margin and Balance Sheets

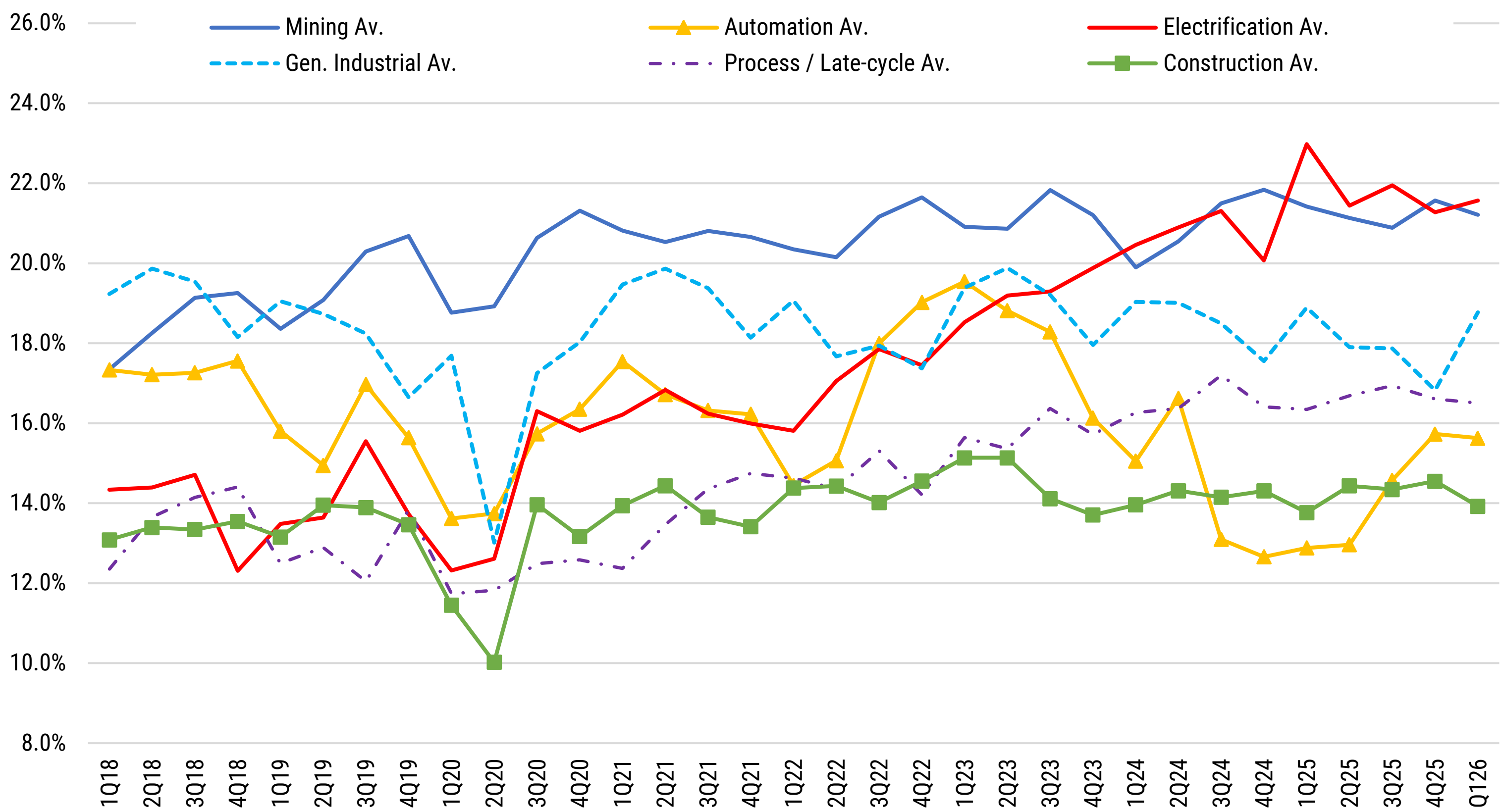
Cap Goods EBITA margins. These have continued to move higher with inflation. However, pricing is resilient, and cost inflation is in check.

EBITA margins vs Cap Goods PPI inflation. Cap Goods margins have moved higher in inflation. More recently this has been driven by electrification, while the Cap Goods margin excluding inflation has actually been moving lower in the last three quarters.



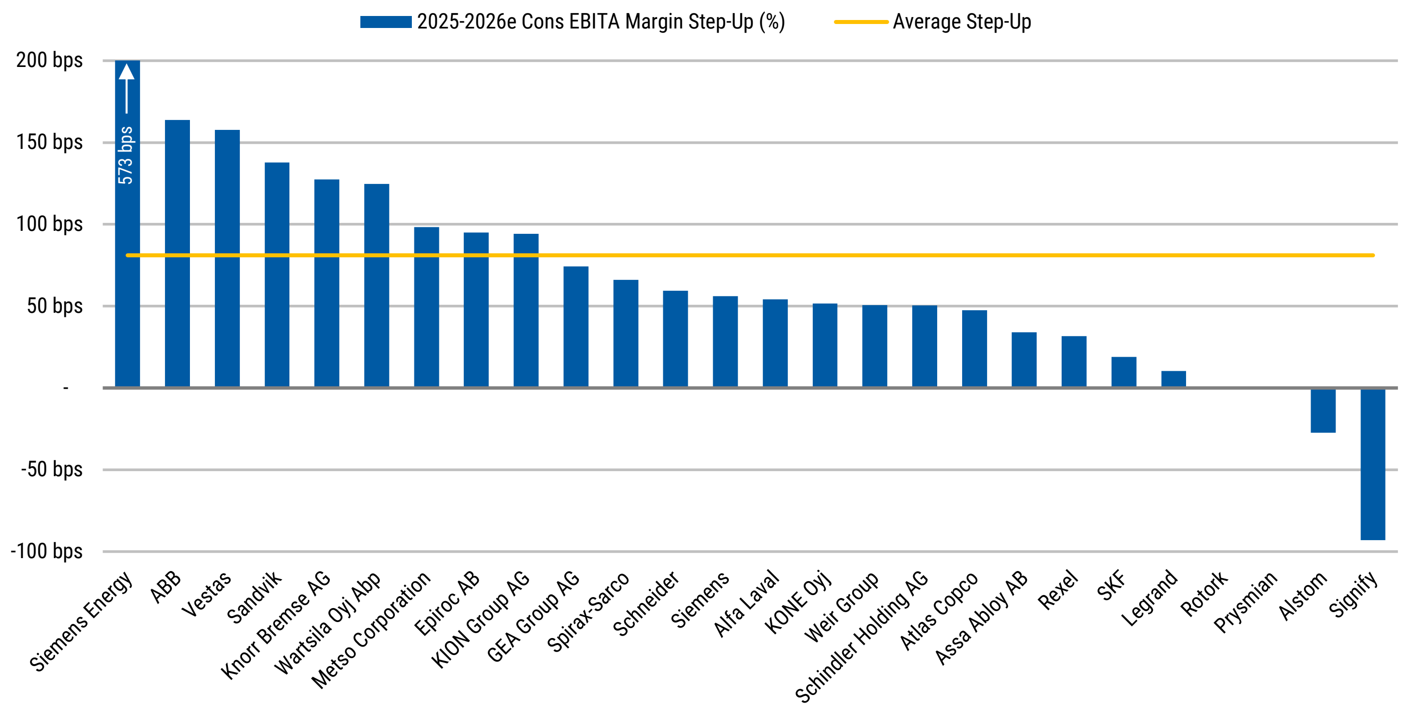
Source: Company Data, Morgan Stanley Research

End Market EBIT Margins. Total sector margins are up, but end markets have diverged. Automation has recovered, and Electrification has corrected.



Source: Company Data, Morgan Stanley Research

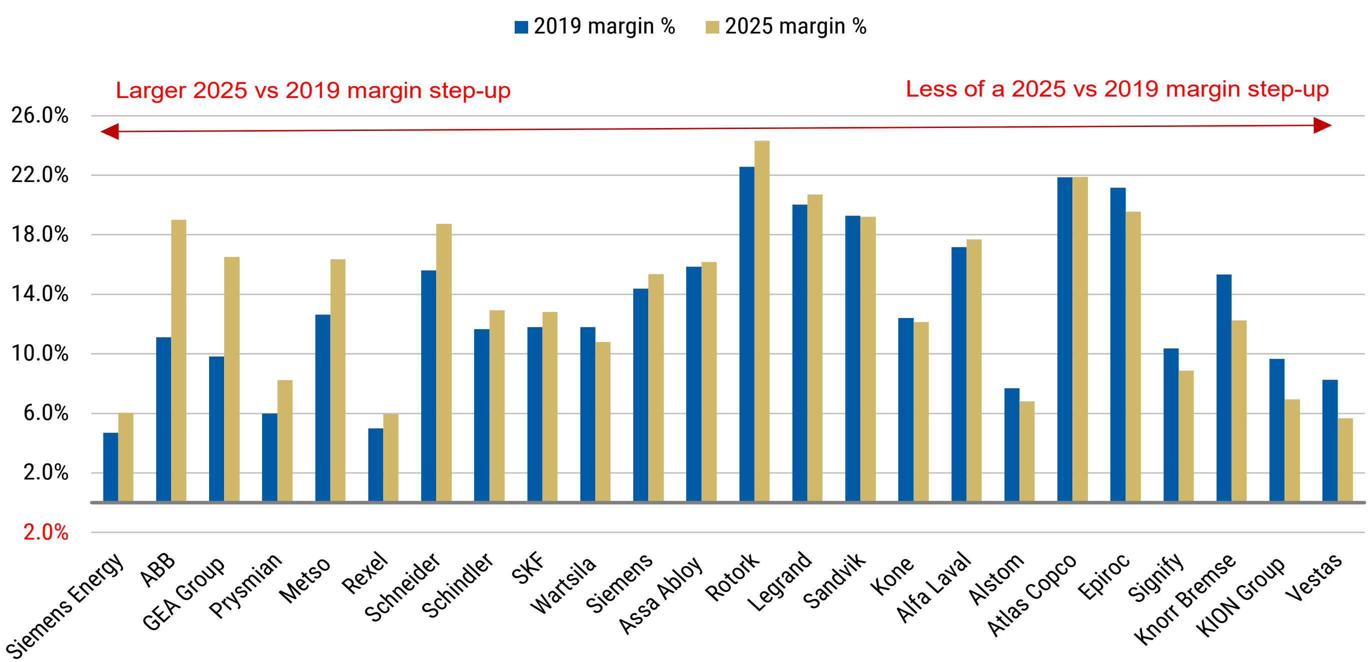
Cap Goods EBITA margins. Consensus is currently forecasting +81bps of margin expansion for 2026.



Source: Visible Alpha, Morgan Stanley Research

Company 2025 EBITA margins vs 2019 levels. We like a mix of companies. Siemens Energy, where margins can go higher, but also KBX and Atlas, which are below 2019.

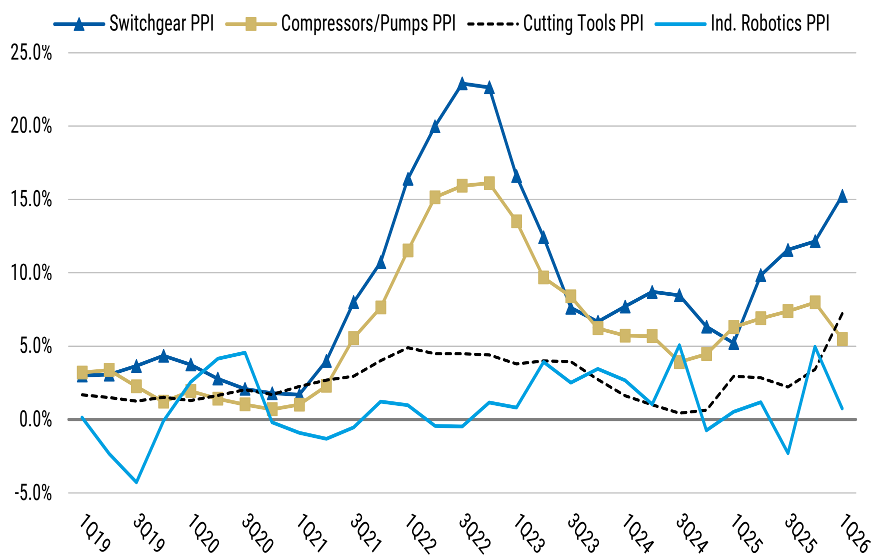
Cap Goods 2025 margins compared with 2019. Companies on the left of the chart have seen a significant margin step-up versus 2019 levels. Interestingly, this is not 'just' Electrification names. GEA, Metso and Rexel have improved efficiency.



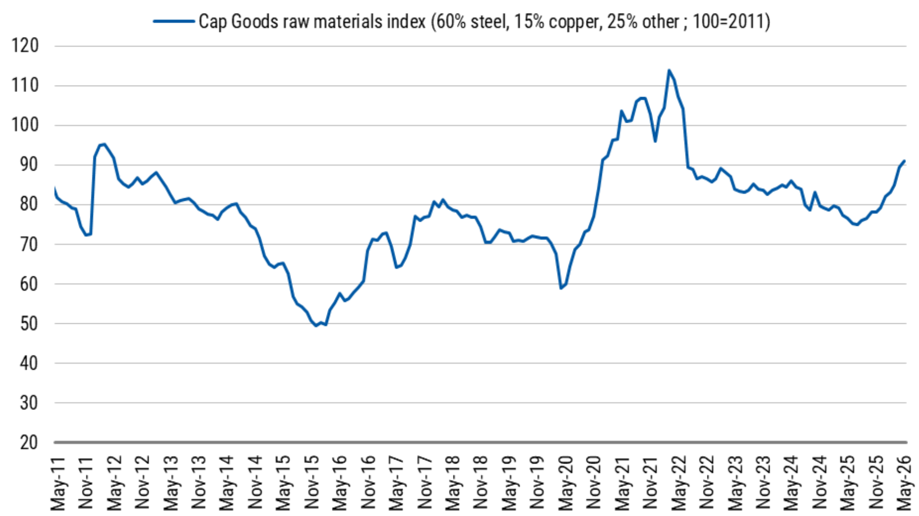
Source: Company Data, Morgan Stanley Research

Cap Goods pricing has surprised positively, even as inflation has moderated. PPI trends remain encouraging, suggesting room for more margin expansion in 2026.

Producer price inflation for the main electrical equipment categories is still positive. Our channel checks also do not point to lead times going back to normal in medium and high voltage products.



Raw materials. The input cost environment remains relatively benign, with the major raw material being steel where cost increases are manageable.



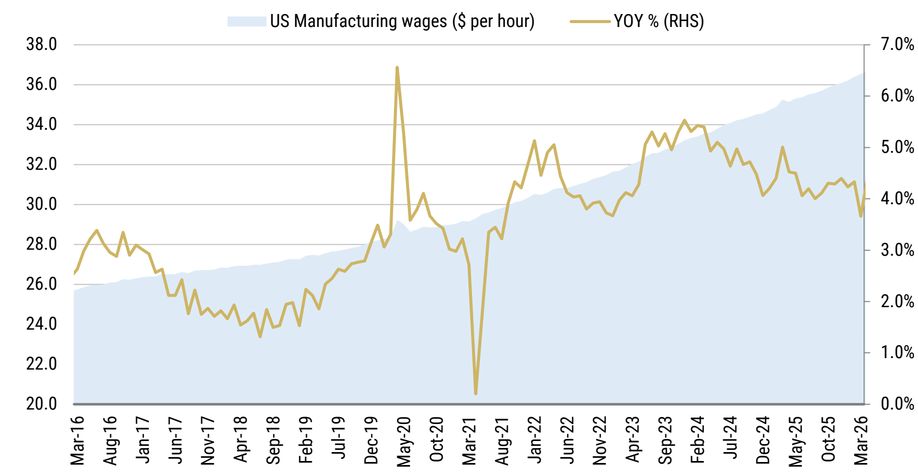
Source: Datastream, Haver, Company Data, Morgan Stanley Research

Breakdown of Cap Goods company cost inflation. We see c.4% cost inflation for Cap Goods companies in 2026, which can be offset by price.

Approximate cost split for a Cap Goods company. Here we are expecting another relatively benign year of cost inflation of 4% for Cap Goods companies. We believe this can again be offset with price.

	% of sales	2025	2026e
Raw materials	6%	2%	27%
Components	30%	3.0%	3.5%
Wages	25%	2.9%	3.5%
Freight	5%	8.2%	6.0%
D&A	3%	3.0%	3.0%
Other costs	13%	2.5%	3.0%
Electricity	1%	-0.1%	25.0%
Cap Goods Annual cost inflation	**82%**	**2.5%**	**4.4%**

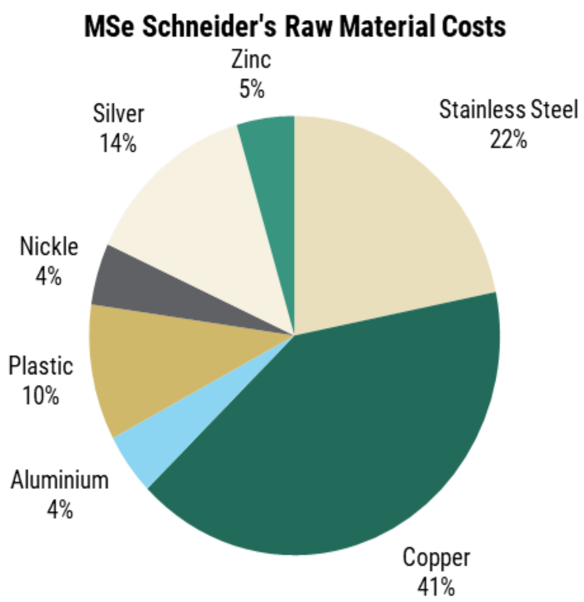
Manufacturing wages. These are currently increasing by ~4.4% YOY, and are at ~$37 per hour in the US. European wage inflation closer to 3.5%.



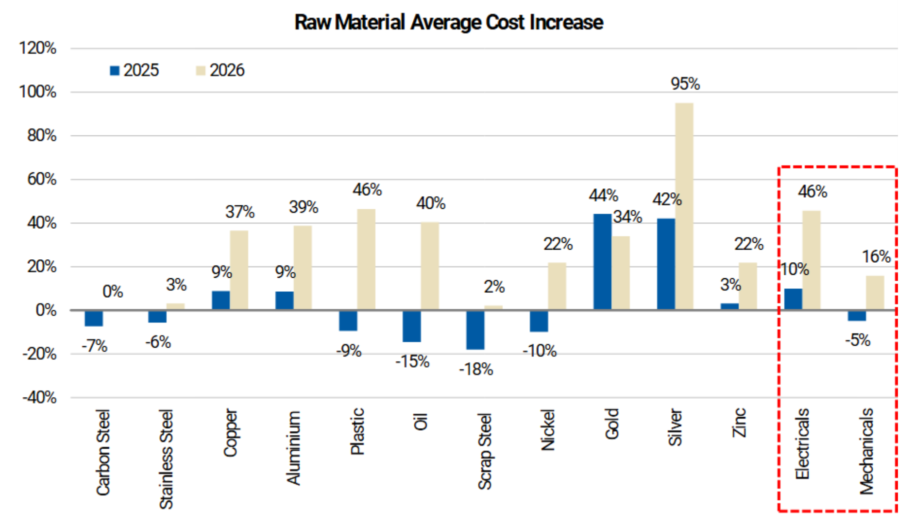
Source: Datastream. Haver, Morgan Stanley Research

Breakdown of Electrical equipment (Schneider) raw materials exposure. We think this alone will require a ~2% price increase YOY in 2026, on top of other inflation.

Schneider Raw materials cost split (total raw materials costs are ~8% of sales). Silver prices and plastics have increased significantly



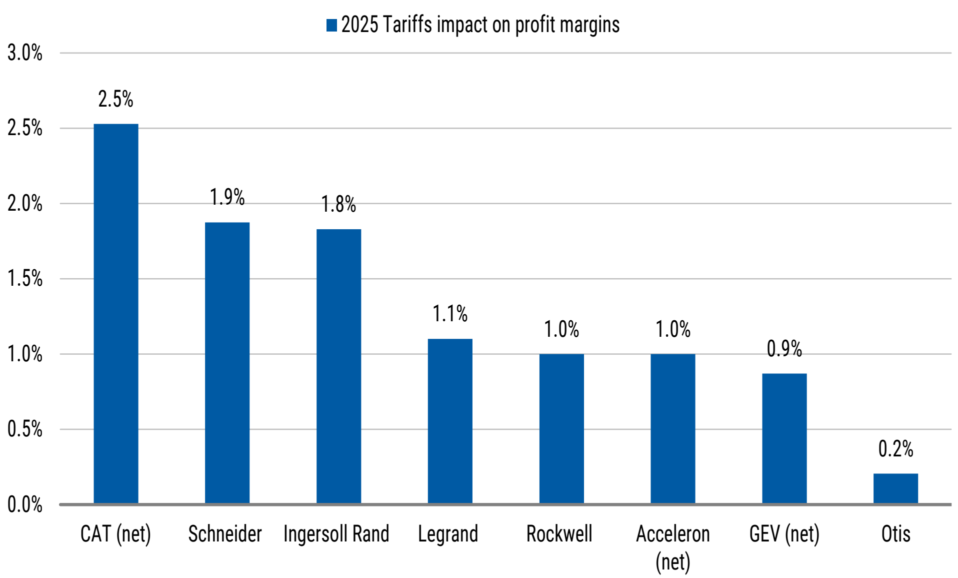
Raw materials cost increases (at spot) for 2026. Plastics and Silver stand-out, which is more of a headwind for Electrical equipment companies.



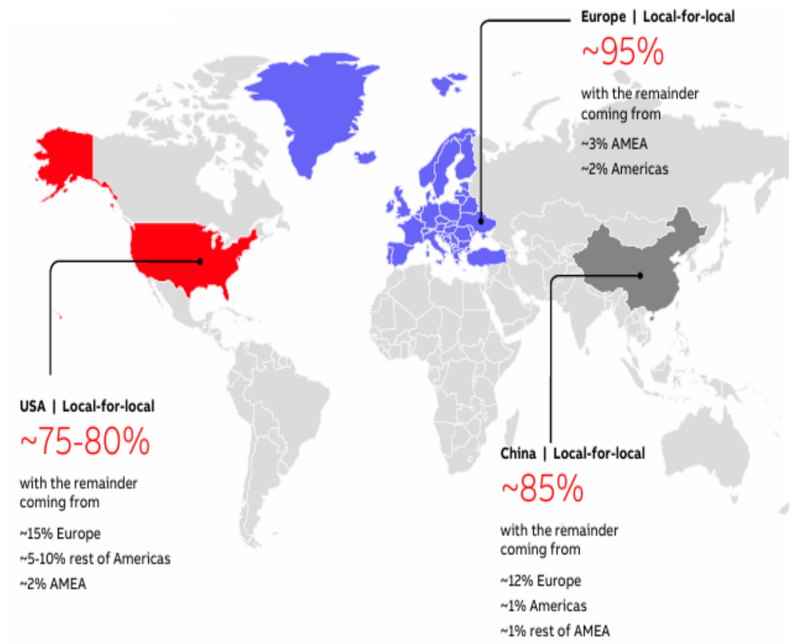
Source: Datastream. Haver, Morgan Stanley Research

Cap Goods tariffs impact. This has been uneven across the sector, but impacted names like Schneider, Atlas and Epiroc. Others (eg ABB) are more local-for-local

Tariffs impact (gross unless stated) on EBIT margins in 2025. We saw bigger impacts for Schneider and Legrand. In Mechanicals, Atlas and Epiroc also highlighted a negative impact

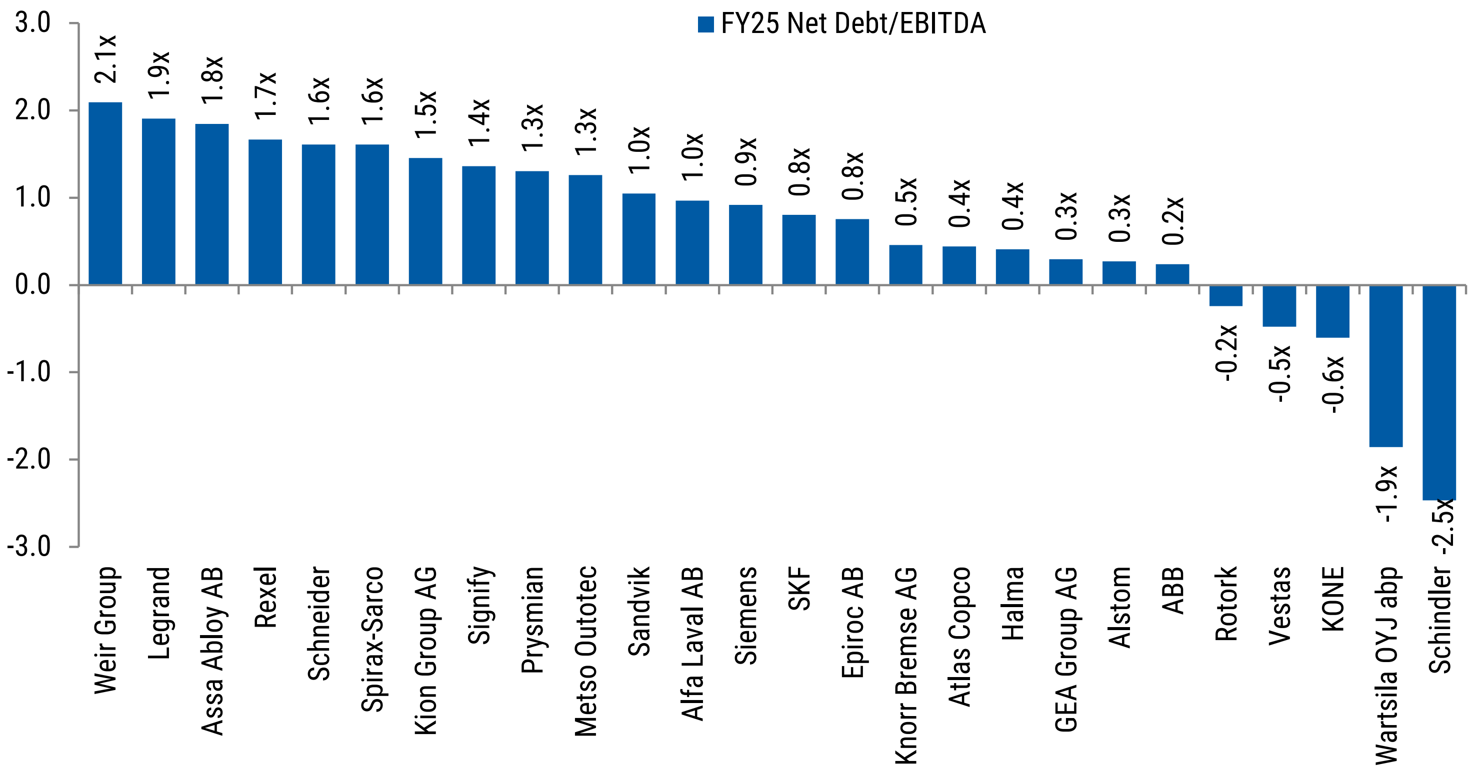


ABB's production. ABB has relatively limited impact and highlighted that their production was relatively local for local, and with limited imports into the US from Asia (eg China).



Source: ABB, Company Data, Morgan Stanley Research. Note: Caterpillar is covered by Angel Castillo; Ingersoll Rand, Rockwell and Otis are covered by Chrystopher Snyder and GEV is covered by David Arcaro

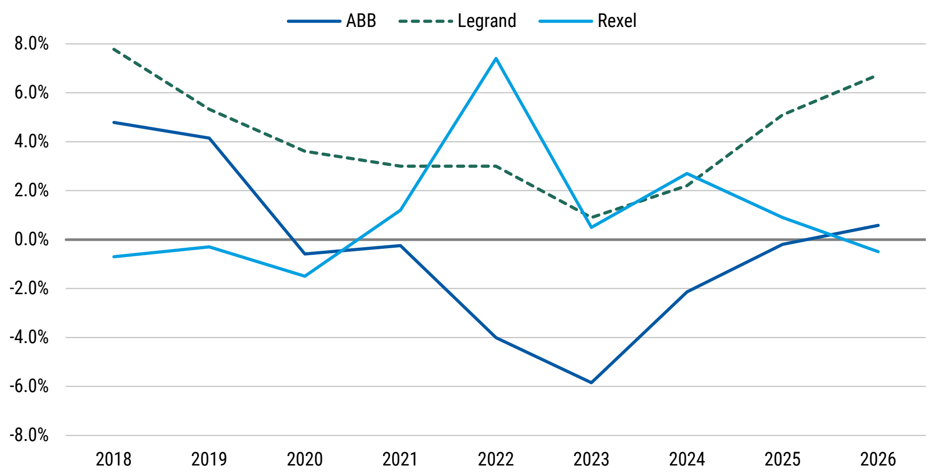
Balance sheets are relatively strong across the sector. Atlas, Legrand and Halma are best positioned to continue to create value through M&A, given their track record.



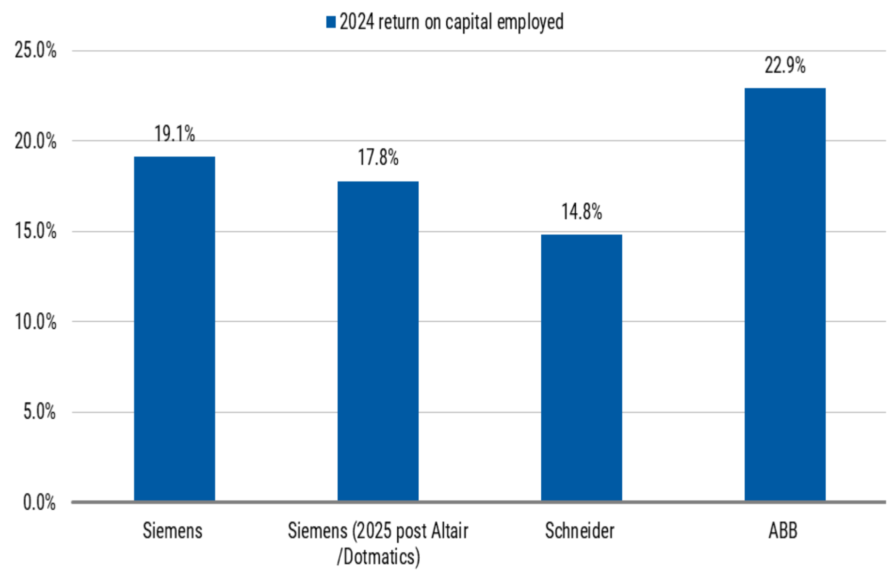
Source: Company Data, Morgan Stanley Research

Electricals. Legrand in particular has stepped up M&A, at attractive valuations. Siemens' ROCE has now fallen, after two large software deals.

M&A contribution to sales growth for ABB, Legrand and Rexel. Legrand stands out as accelerating M&A in 2024 and 2025.



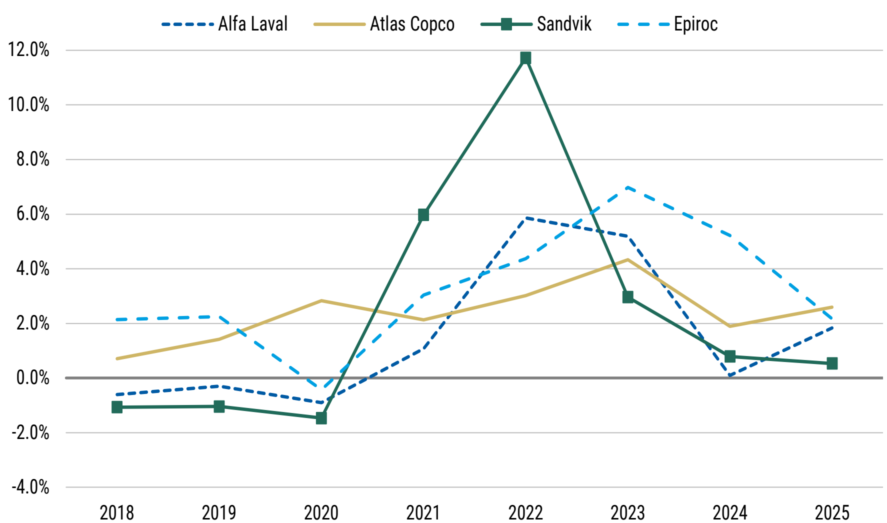
Siemens' ROCE has come under pressure from recent software deals. We see more capacity for larger M&A at ABB, than Schneider, in 2026.



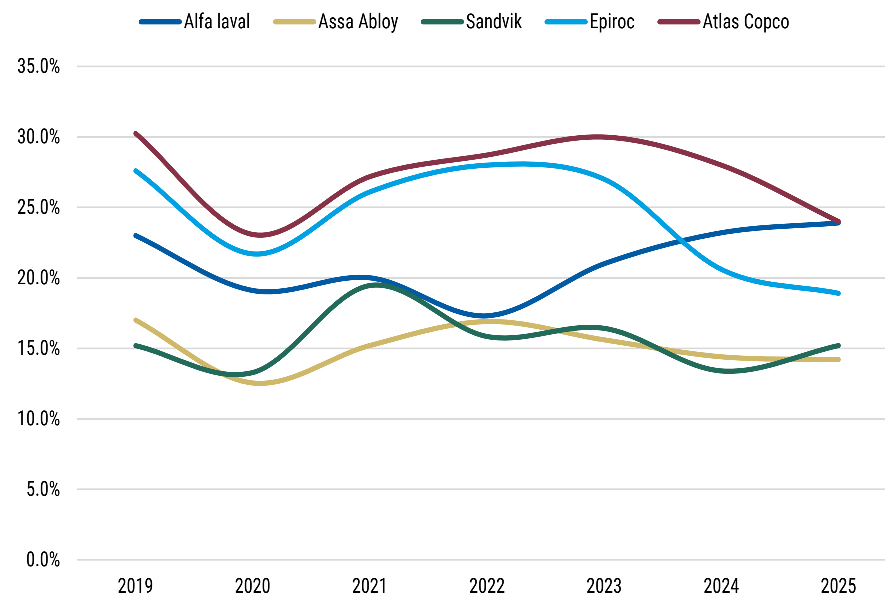
Source: Company Data, Morgan Stanley Research

Mechanicals acquisitions. Alfa Laval has proved to be an efficient acquirer, as it has also improved its ROCE. Epiroc's ROCE has seen the biggest decline.

M&A contribution to sales growth for Alfa, Atlas, Sandvik and Epiroc. Atlas has been relatively consistent, while we think the bulk of M&A is now behind us for Sandvik and Epiroc.



Return on capital employed for Alfa, Atlas, Sandvik and Epiroc. We have seen the most significant decline in Epiroc's ROCE, while Alfa Laval is the only company that has continued to improve its ROCE.

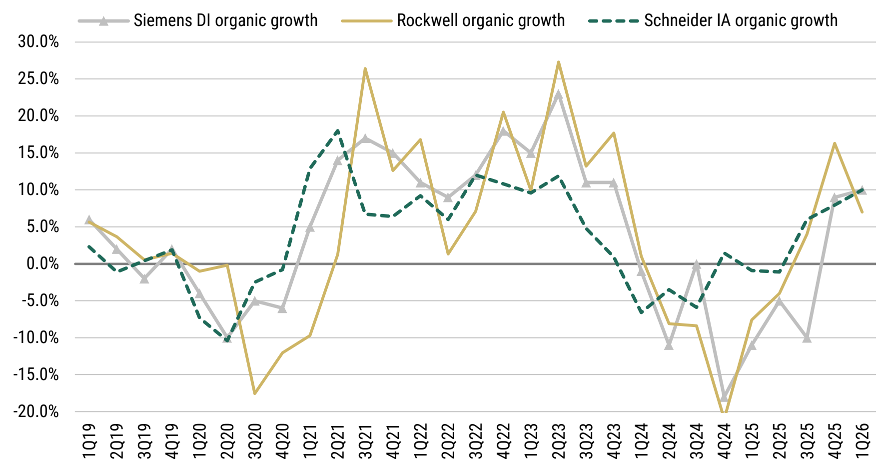


Source: Company Data, Morgan Stanley Research

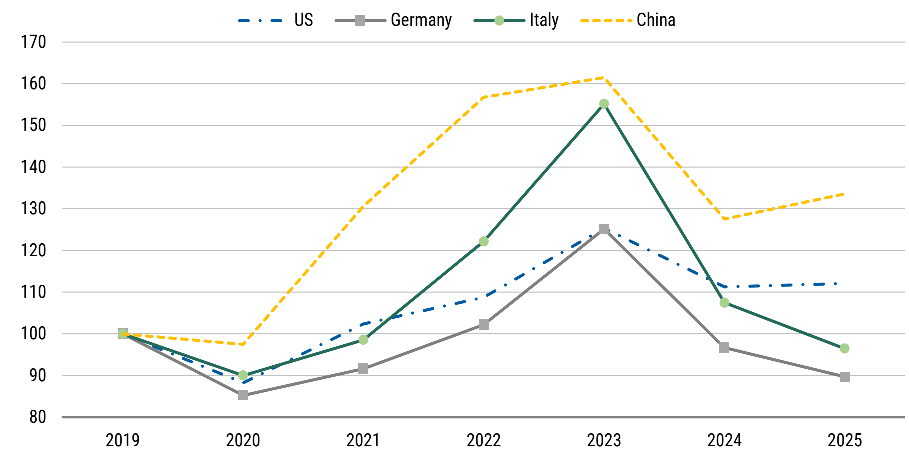
End-market data

Automation: Key vendor Sales growth now positive. More of a gradual recovery with Rockwell guiding to 2-6% organic growth for 2026.

Organic growth for Automation players is now positive



Siemen DI sales growth indexed. China not so depressed

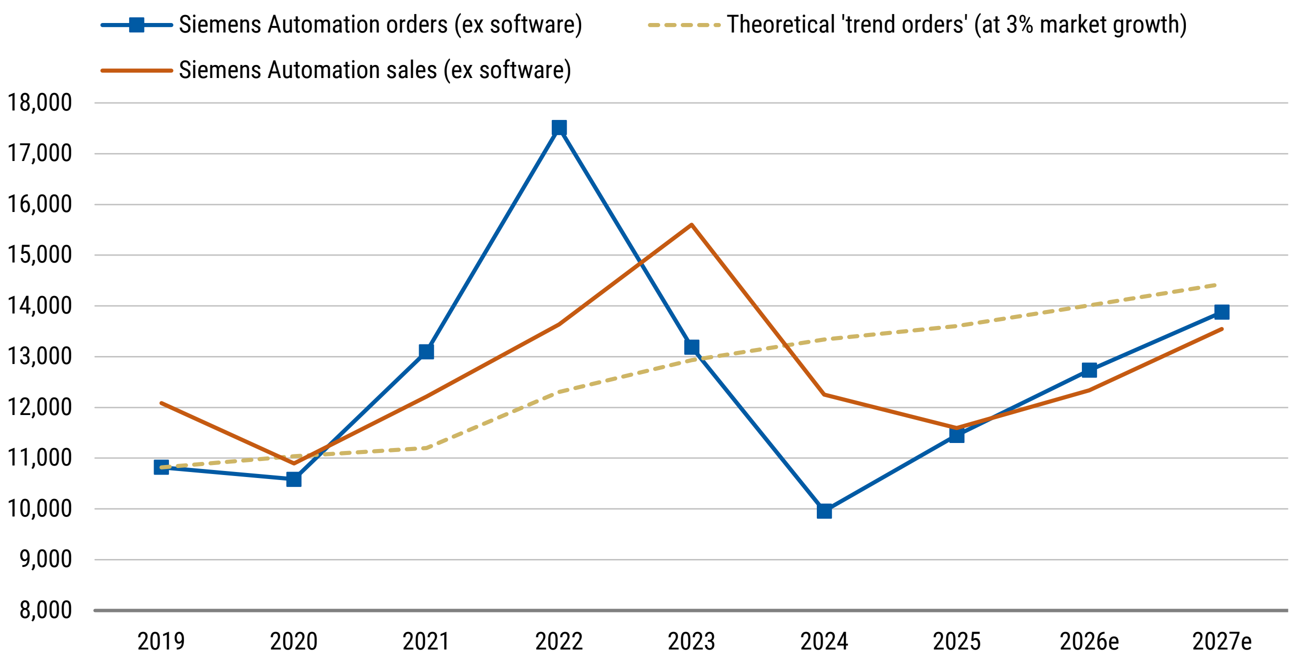


	FY26 vs. FY25	Assumptions at Guidance Midpoint
 DISCRETE	Up mid single digits	Automotive up mid single digits Semiconductor flat e-Commerce & Warehouse Automation up ~10%
 HYBRID	Up mid single digits	Food & Beverage up mid single digits Life Sciences up mid single digits Tire up low single digits
 PROCESS	Up low single digits	Energy up low single digits Mining up low single digits Chemicals up low single digits

Source: Company Data, Morgan Stanley Research, Rockwell 4Q25 presentation. Rockwell is covered by Chrystopher Snyder.

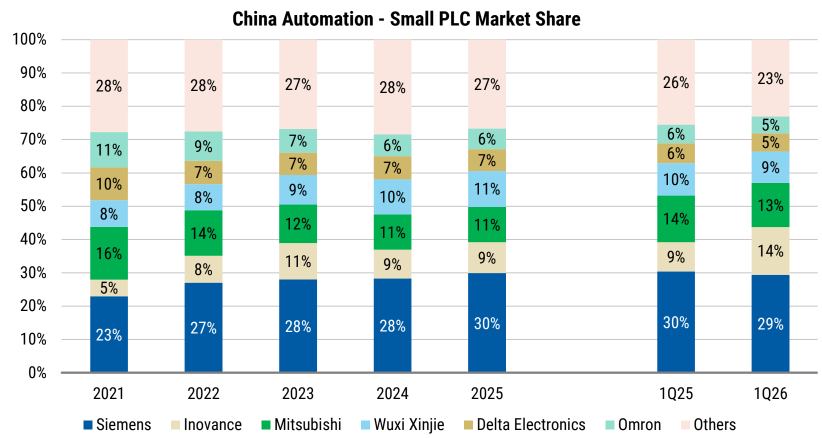
Automation. Current orders / sales in Discrete are below ‘trend’. Given Siemens’ regional exposure (EU + China), we do not forecast a snap-back in demand

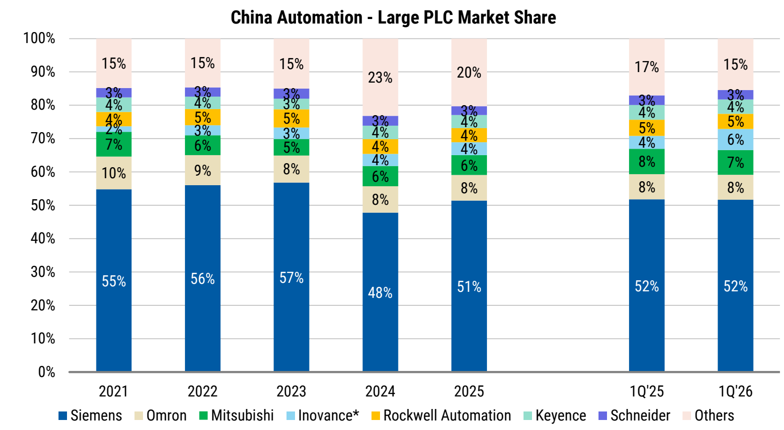
Siemens Automation hardware orders and sales versus ‘trend’ growth. Trend ‘growth’ is based on 3% volume growth +10% cumulative price since 2019. A ‘normalisation’ in selling could result in a 25% uplift for Siemens PLC hardware sales by 2027 vs 2025

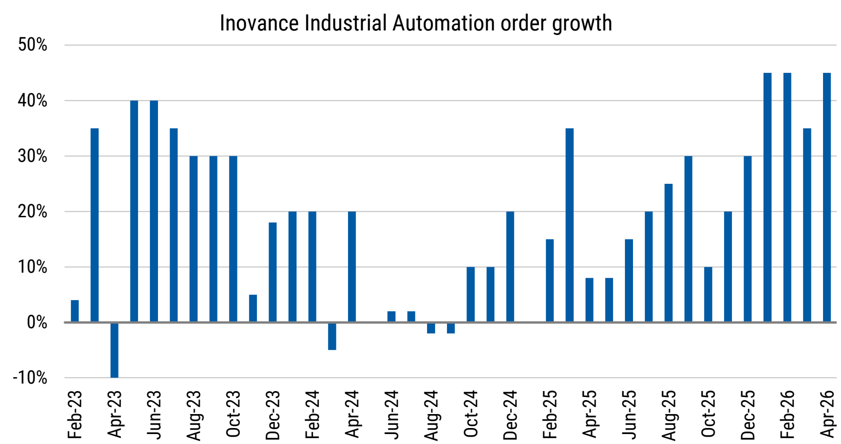


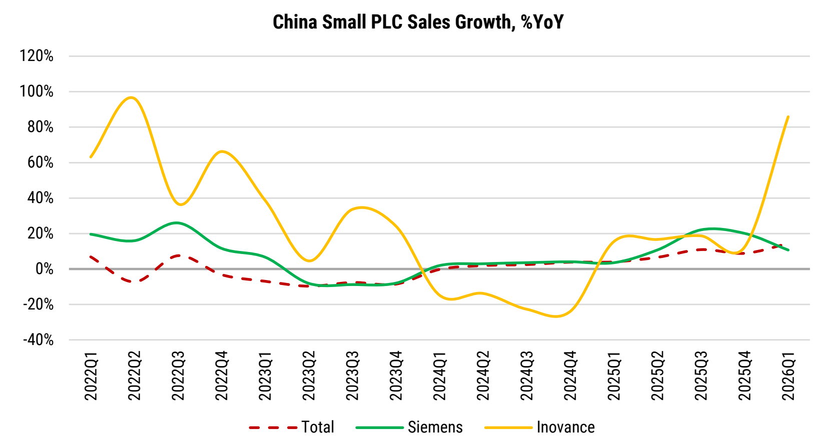
Source: Company Data, Morgan Stanley Research estimates (e)

China competition in Automation. Primarily in domestic China for now, but companies like Inovance might increasingly look overseas





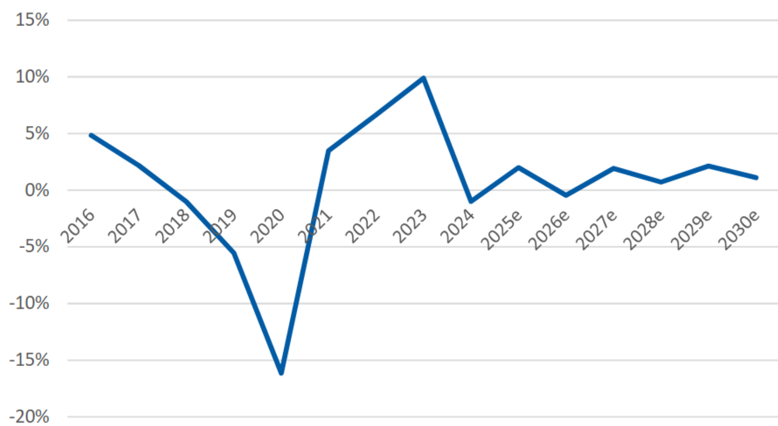




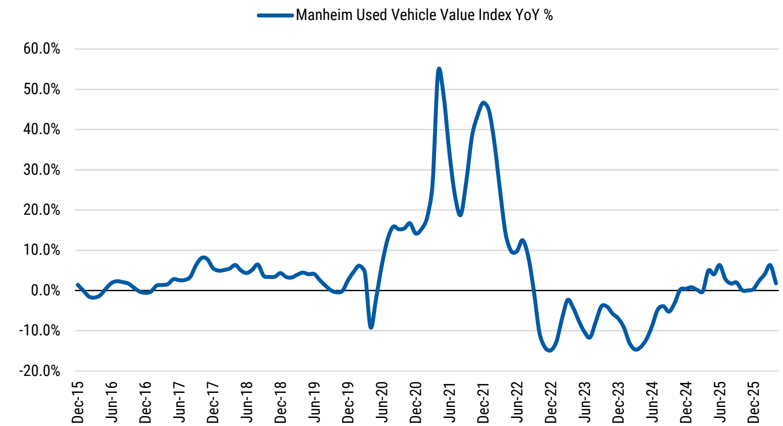
Source: MIR, Company Data, Morgan Stanley Research, *=local Chinese or Taiwanese brands. Inovance is covered by Sheng Zhong.

Automotive : A slow production recovery in Europe in 2026e

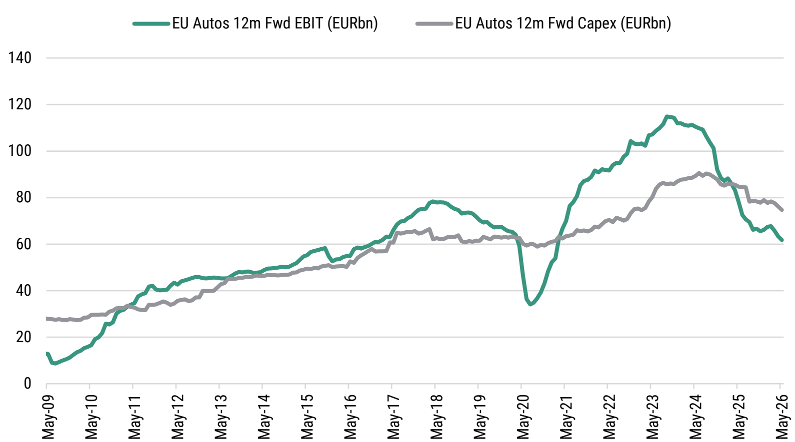
Light Vehicle Production – Europe down -0.5%/ in 2026e and up +1.9% in 2027e, vs +2% in 2025



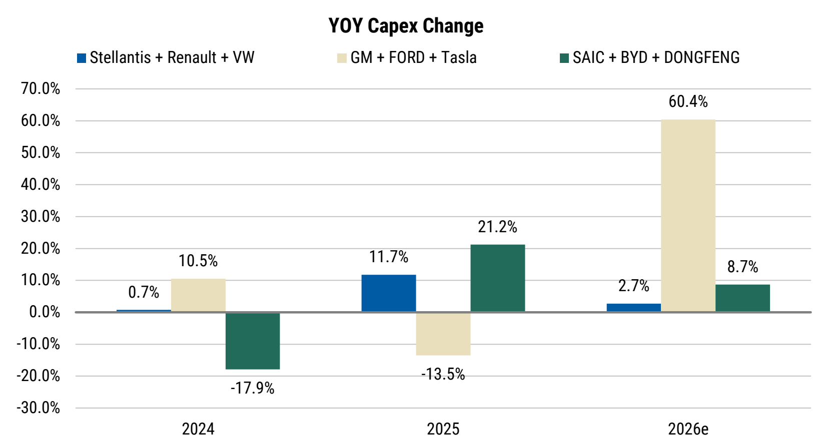
Used Car Prices – up 1.8% YoY in April



Auto Capex – Risk of further capex reductions given pressure on Auto OEM EBIT margins



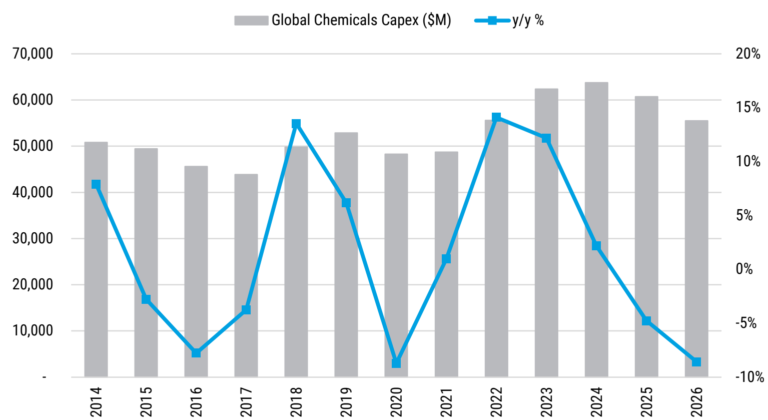
Capex for Key OEMs: Europe Auto capex spending is set to be weaker than US and China in 2026



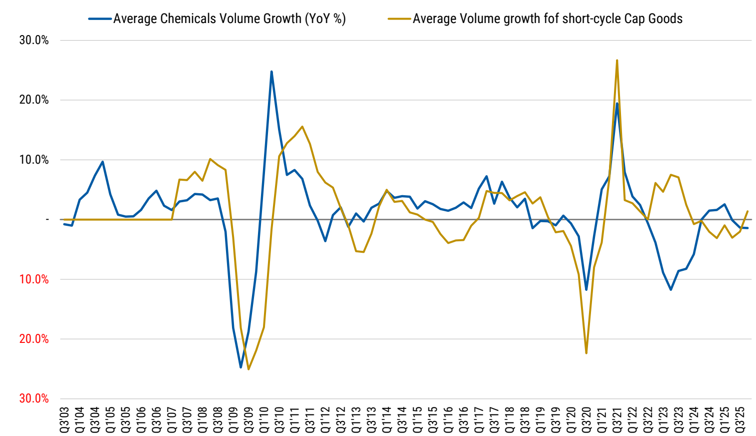
Source: Haver, IHS. Datastream, Morgan Stanley Research estimates (e)

Chemicals and Pharma: Chemicals capex (-8%) following volumes lower. Pharma spending diverging. Weaker for GLP-1 companies, but Biopharma still growing.

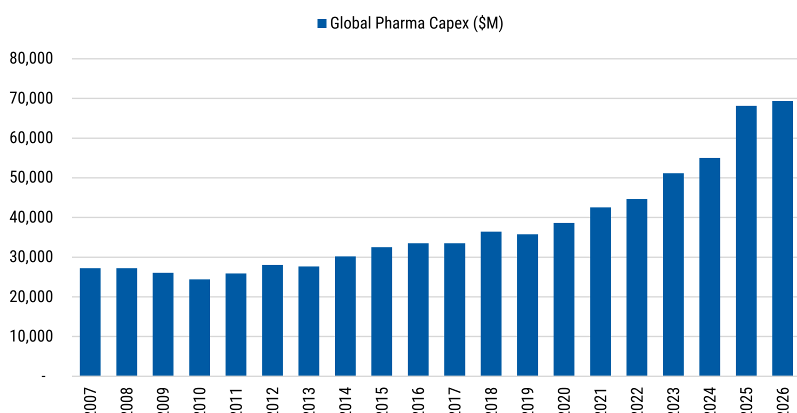
Chemicals capex tracker. This declined by -5% in 2025, and we expect an accelerated decline in 2026 of -8%.



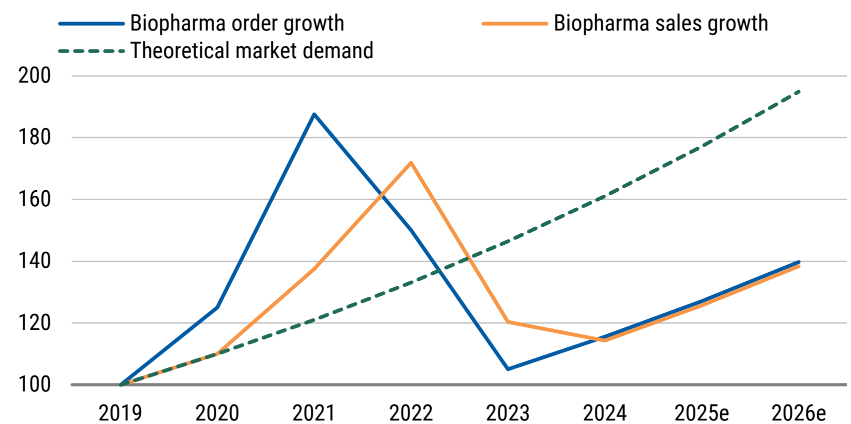
EU Chemicals sales volumes vs Cap Goods short-cycle volumes. Weaker volumes = weaker capex



Global Pharma capex. Overall rising by 1.8% in 2026e. Growth relatively lower after a strong 2024-25 driven by GLP-1 co's, .



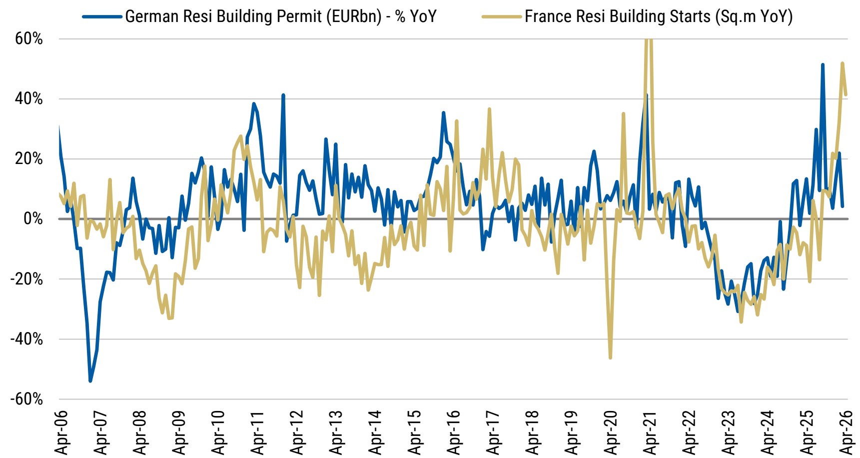
Spirax's bio-pharma order and sales growth is still under-shooting 'real demand' after a period of destock



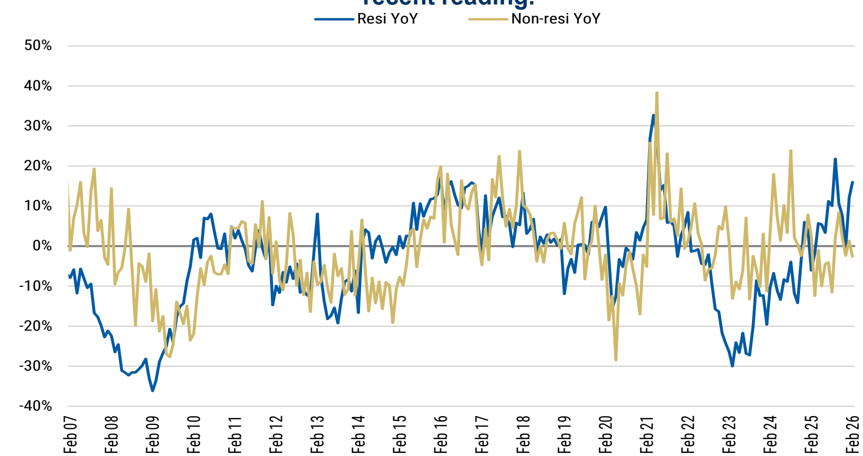
Source: Company Data, Factset, Visible Alpha, Morgan Stanley Research estimates (e)

European and US Resi Construction – European permitting is starting a recovery as US resi starts weaken. US remodelling still growing.

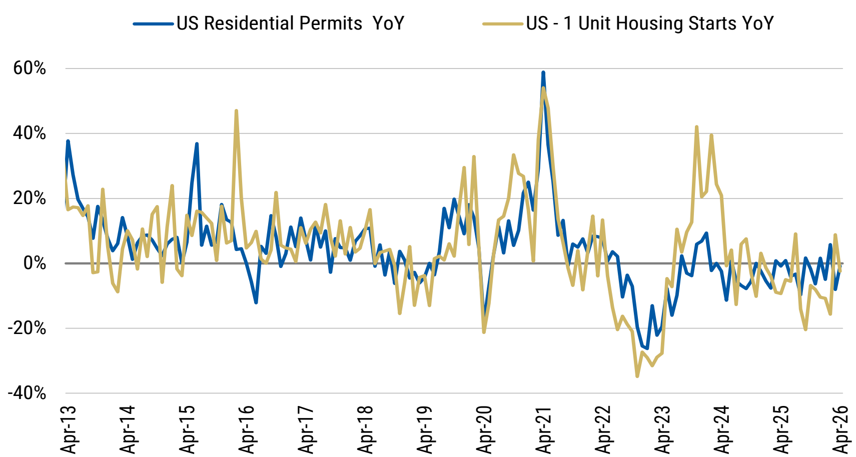
Germany and France permits remain in positive territory



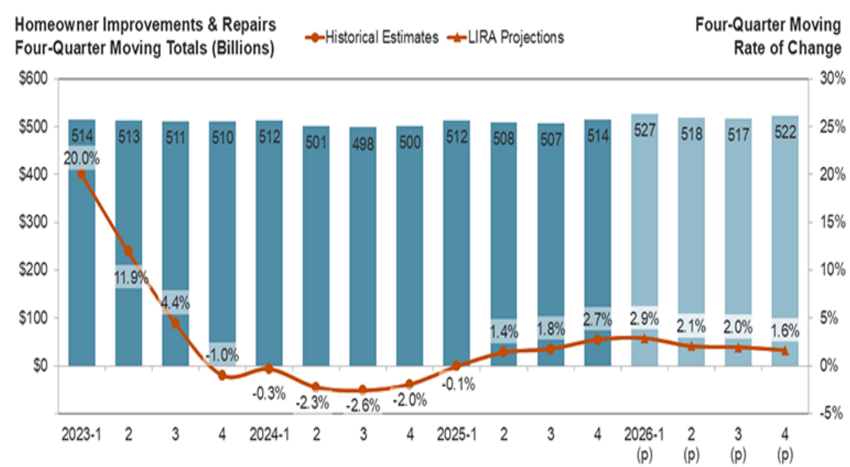
EU Non-resi permits are volatile and are -2.6% YOY as of the most recent reading.



US Housing starts rose -2% YOY in Apr'26

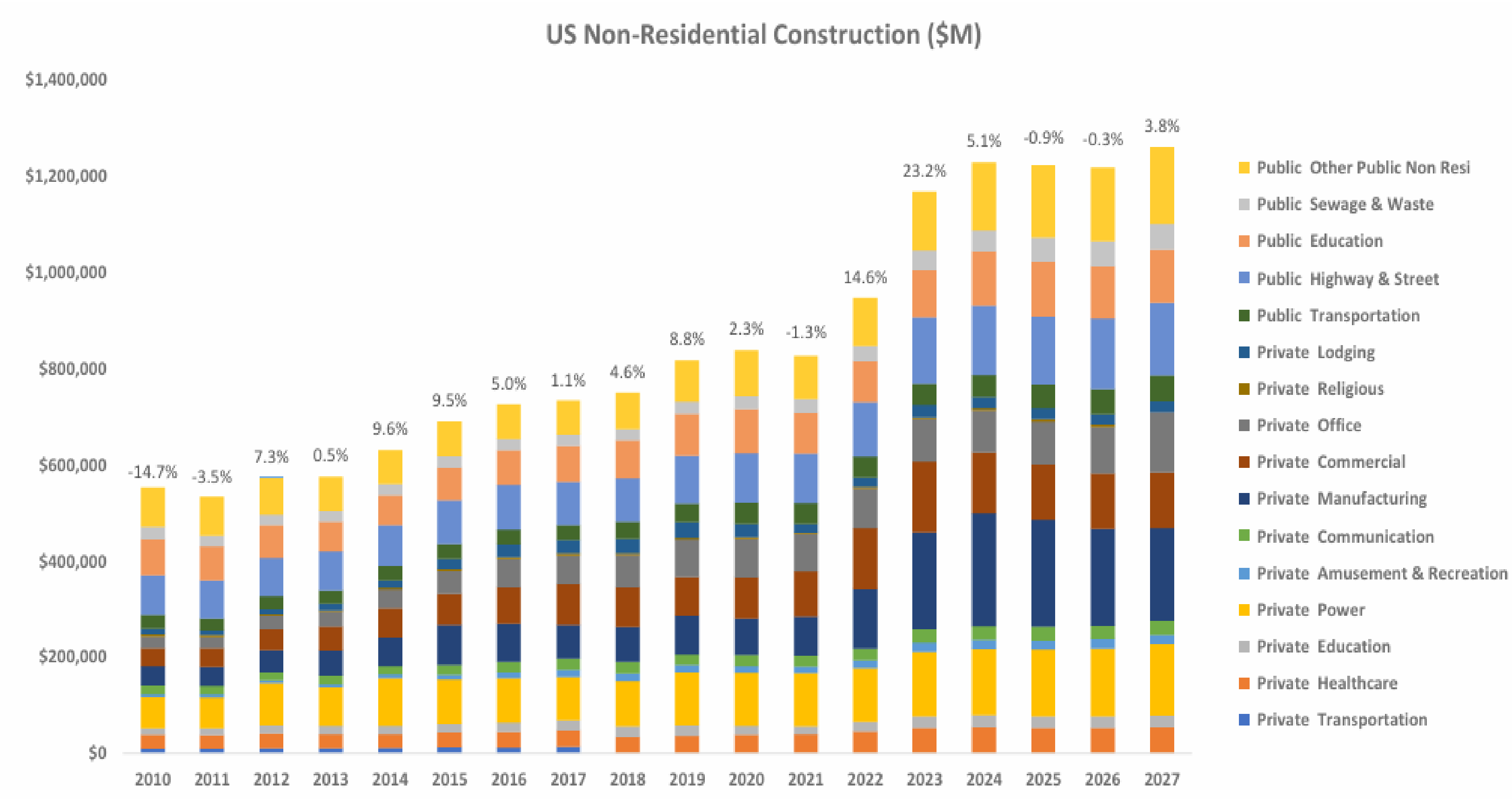


US remodelling activity. ~+2% growth forecast for 2026



Source: Haver, Datastream, Morgan Stanley Research

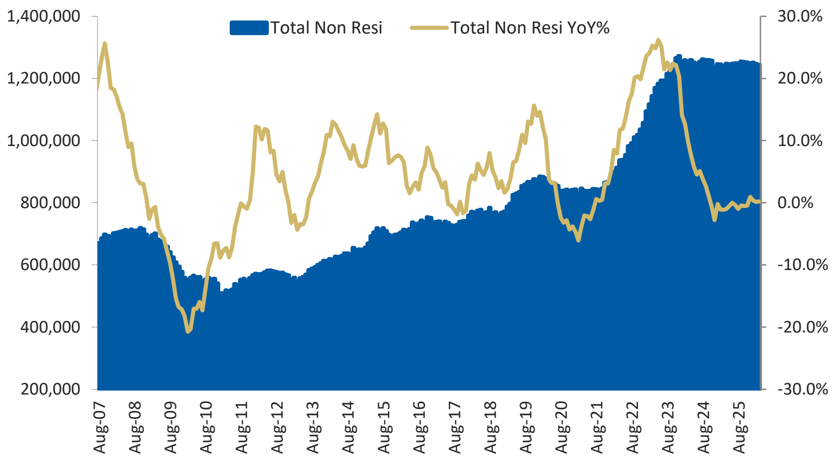
US Non-residential construction forecasts. MS forecasts a broadly stable market in 2026, followed by a +4% recovery in 2027.



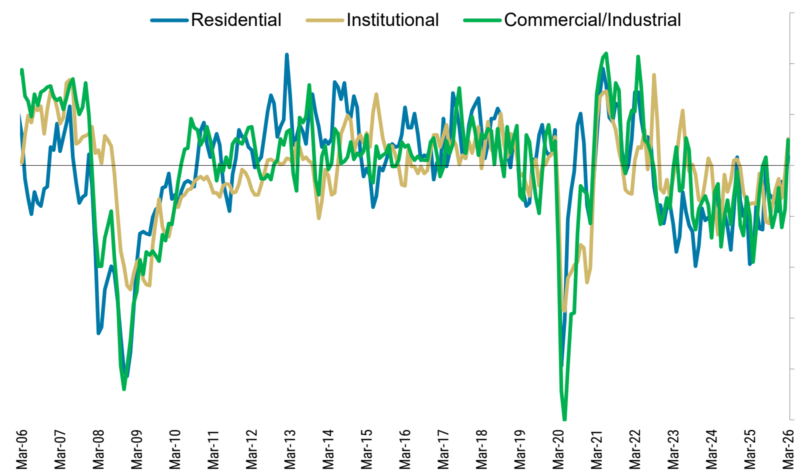
Source: Haver, Datastream, Morgan Stanley Research

US Non-resi construction. Growth has been limited to a few sub-segments. Office construction at trough, but ABI suggests too early to talk about an office recovery.

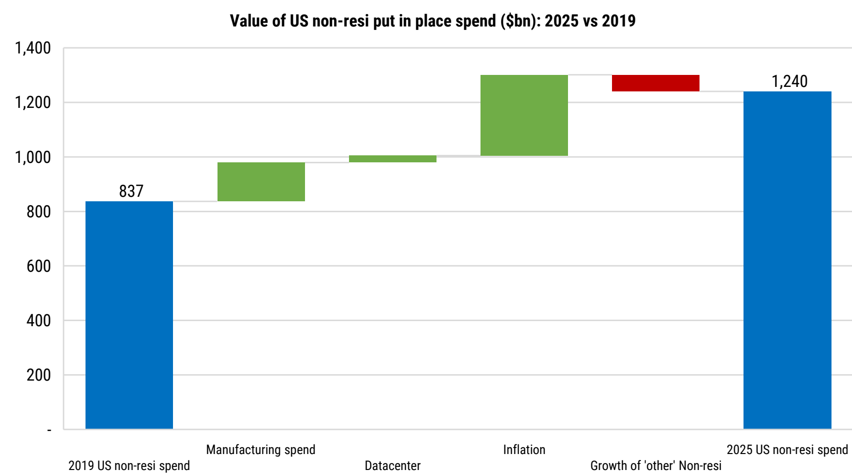
US non-resi construction (SAAR $m). Now slightly positive.



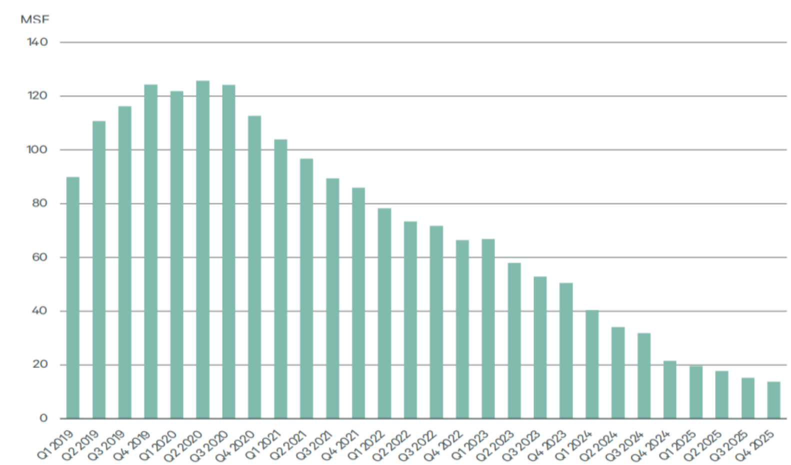
Mar'26 ABI billings data is still slightly below 50 (49.8 currently).



US non-resi construction volumes (ex manufacturing, DC and inflation) are slightly down vs 2019.



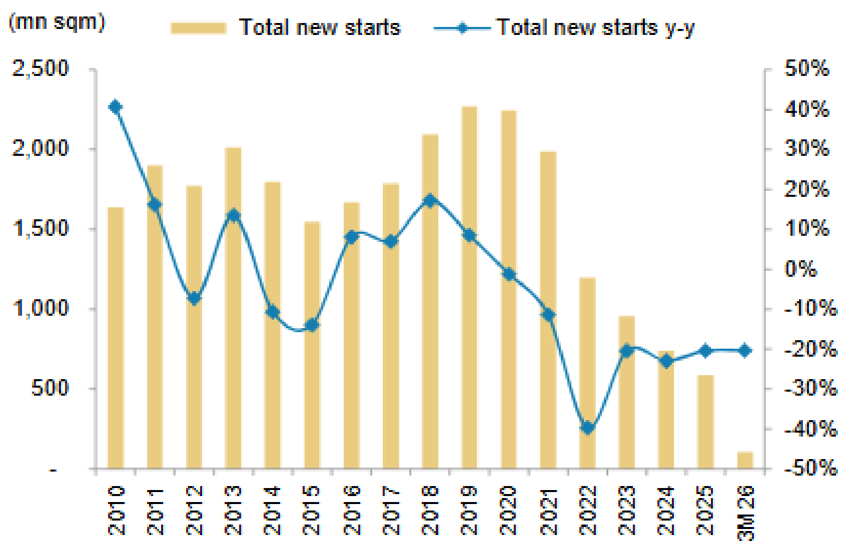
US office (sq ft) under construction is now 16.4m. This is -87% vs 1Q20 levels. Vacancy rates slightly lower at 18%.



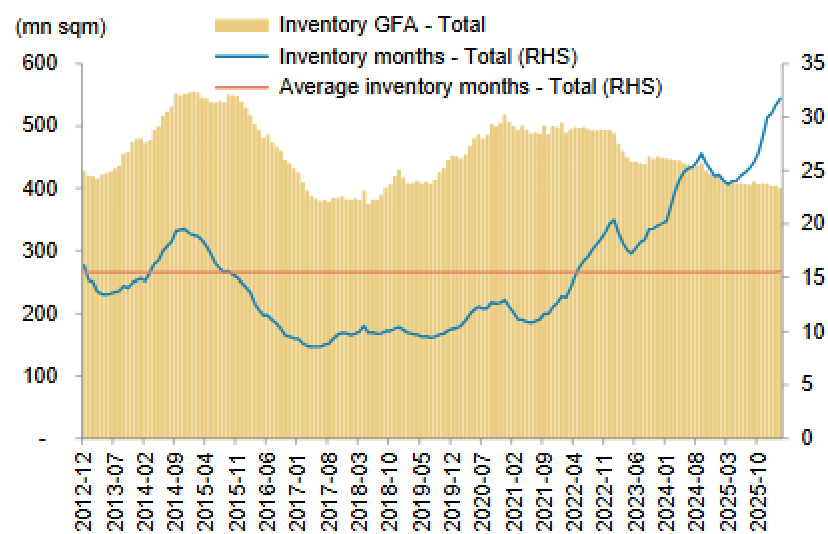
Source: Haver, Datastream, CBRE, Morgan Stanley Research

China Property: -20% YTD 2026, and elevated inventory points to further declines.

China new construction starts. -20% YTD 2026.



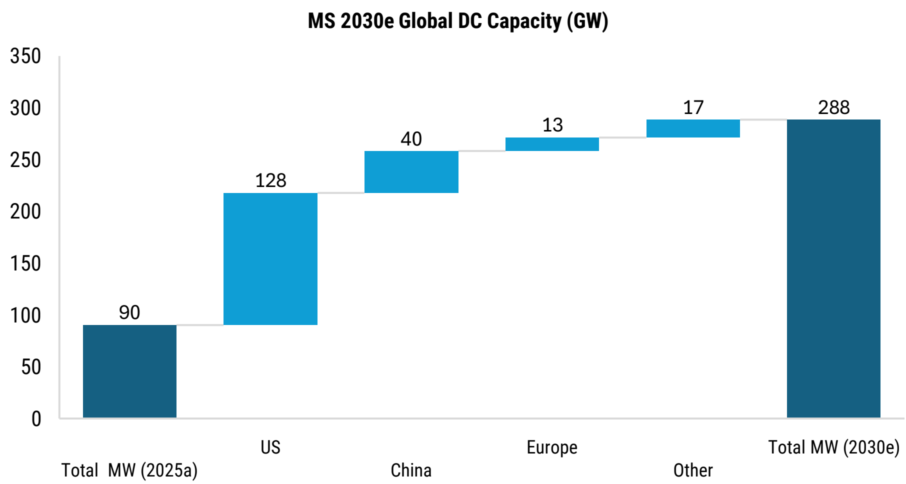
China GFA inventory. Running at >30 months of inventory versus 15 months historically.



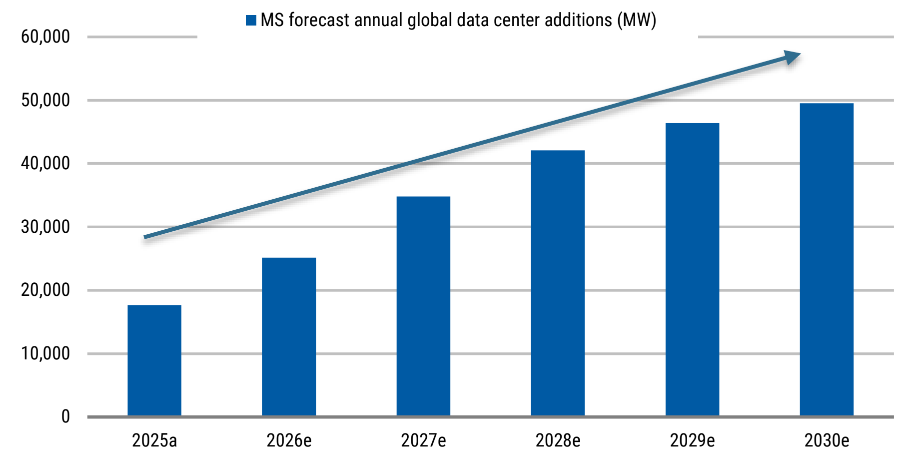
Source: NBS, CEIC, CREIS, Morgan Stanley Research

Data Center. Installed capacity to grow 6x in 2030 vs 2023. Annual additions (GW) to grow 40% in 2026-27, before slowing to 13% in 2028-30.

MS forecasts for installed data center capacity by region (MW): In these forecasts, the US is set to remain the largest and fastest-growing region in the 2025-30 period.



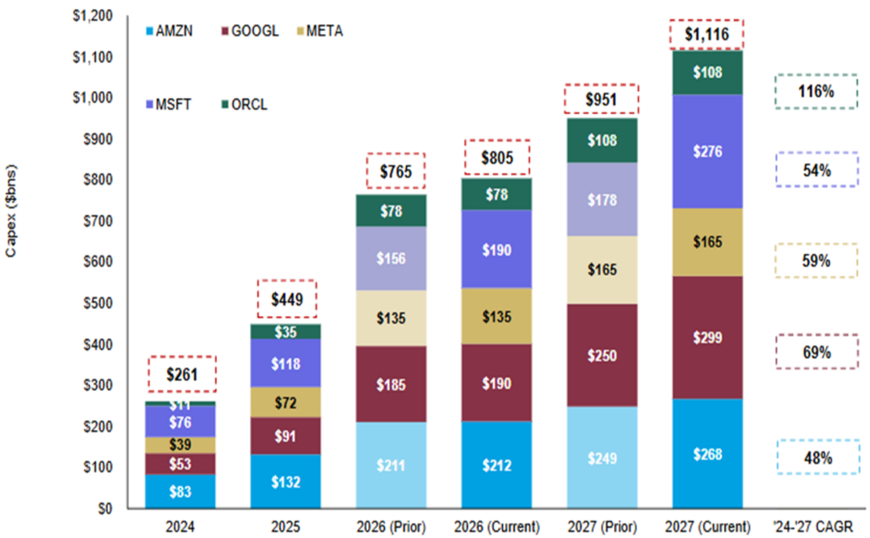
Data Center annual additions (MS forecasts). This implies 23% CAGR from 2025-30 in annual capacity additions, but with faster average annual growth in 2026-27e (40%), before a deceleration in 2028-30 (13%).



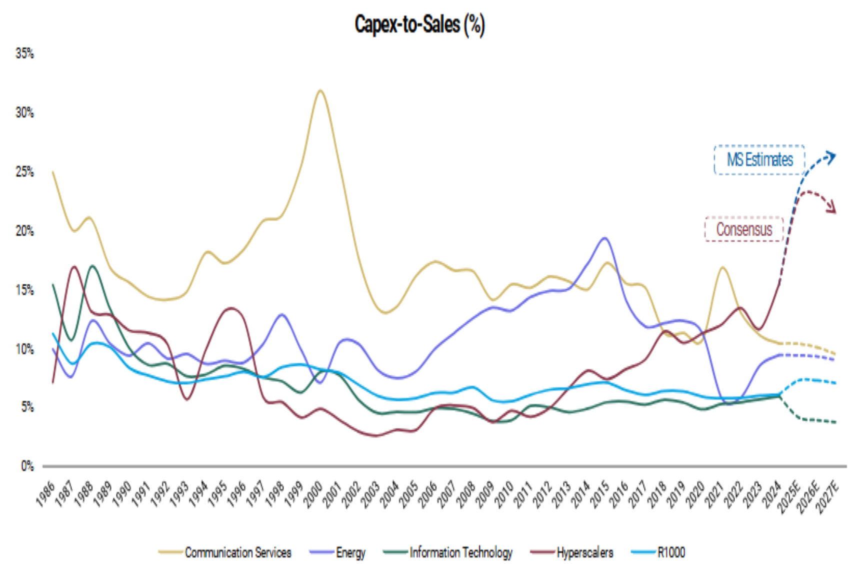
Source: Company Data, Morgan Stanley Research estimates (e)

Data Center. MS forecasts are for 79% hyperscaler capex growth. Hyperscaler capital intensity looks elevated. Capex can still grow with revenues in 2027e, in our view.

Cloud Providers' Capex Expectations – 2025 indicated at +72%, before reaching 79% in 2026, and decelerating to 39% in 2027

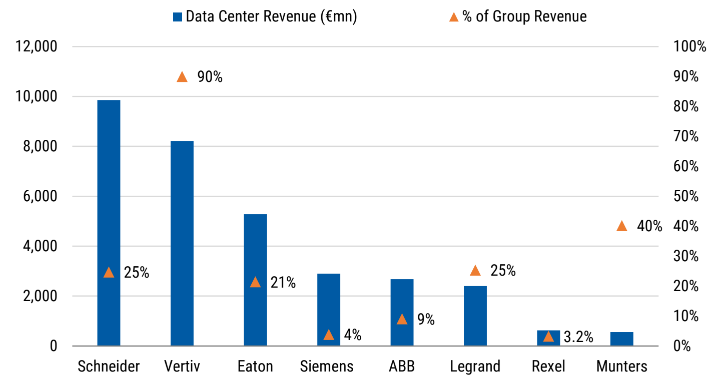


Hyperscaler Capex to sales, from a historical perspective. This are 25%, which is elevated, but not yet at Telecom dot-com levels



Source: Company Data, Morgan Stanley Research estimates (e) (Cloud capex estimated as of Feb 9, 2026)

Data center equipment suppliers. 25% of Schneider and Legrand revenues.



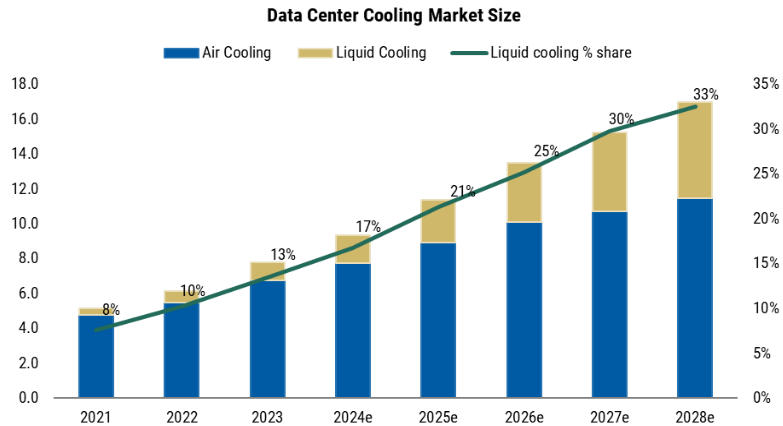
	Product Exposure	$/MW
Legrand	80% White-space + 20% Grey-space	2 - 3 mn
Vertiv	~40% White-space + ~60% Grey-space	3.25 - 3.75mn
Eaton	80% grey-space + 20% white-space	1.7 - 2.9mn *(or 1.2 - 2.4mn ex.BOYD)*
Schneider	75% grey-space +25% white-space	1.2-3.3mn

		Vertiv	Eaton	Schneider	ABB	Siemens	Legrand
Rack	Racks/Enclosure	✓	✓	✓	✗	✗	✓
	Integrated Racks	✓	✓	✓	✗	✗	✓
Power	In-rack PDU	✓	✓	✓	✓	✓	✓
	UPS	✓	✓	✓	✓	✗	✓
	MV - UPS	✗	✗	✗	✗	✓	✗
	Busway	✓	✓	✓	✓	✓	✓
	LV Switchboard & Panelboard	✓	✓	✓	✓	✓	✓
	MV Switchgear & Switchgear	✓	✓	✓	✓	✓	✗
	Energy Storage	✗	✓	✓	✓	✗	✗
Cooling	Air Cooling						
	Room	✓	✓	✓	✗	✗	✗
	Row	✓	✓	✓	✗	✗	✓
	Rack (Rear Door Cooling)	✓	✓	✓	✗	✗	✓
	Liquid Cooling						
	Direct to Chip - cold plate	Cooltera (M&A)	✓	✓	✗	✗	✗
	Immersive	✗	✗	✗	✗	✗	✗
	Liquid Cooling Support						
	CDU (Coolant Distribution Unit)	✓	✓	✓	✗	✗	✓
DCIM	DCIM Software	✓	✓	✓	✗	✓	✗

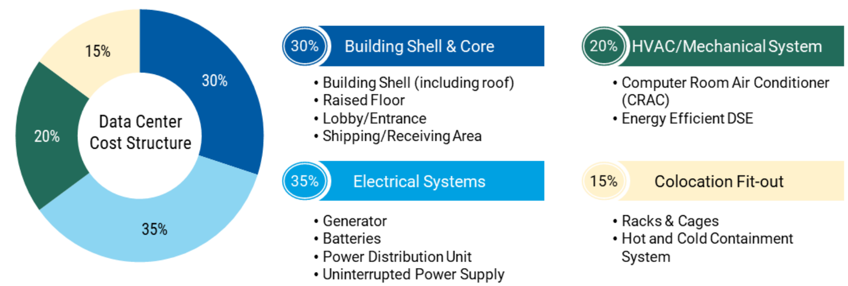
Source: Company Data, Morgan Stanley Research

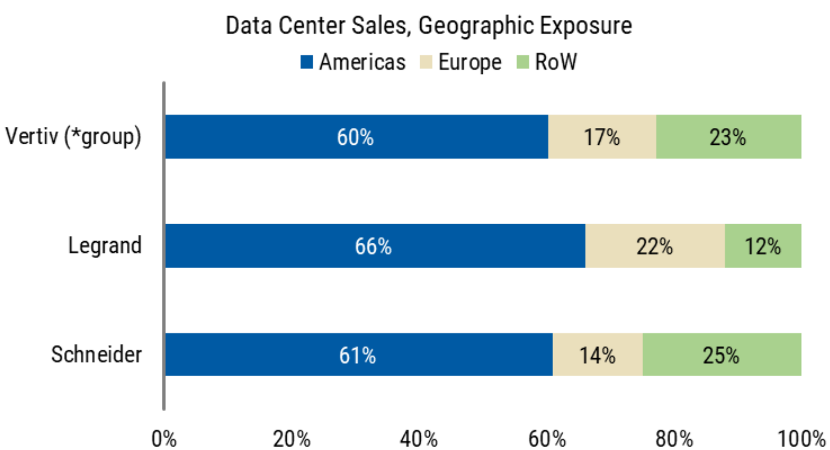
Data center themes. Liquid cooling gaining share, and EMEA growth has lagged.

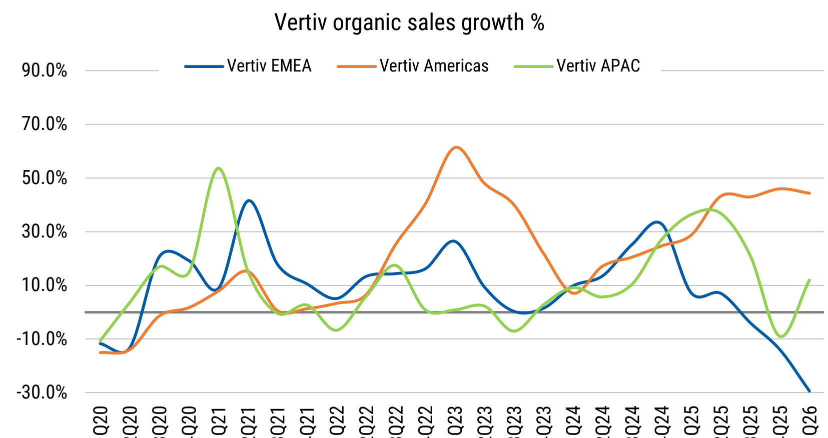
Liquid cooling will have a growing share of the overall market, and we estimate 50%+ growth pa, out to 2028.



Cooling remains a significant cost within the overall data center (c20%).





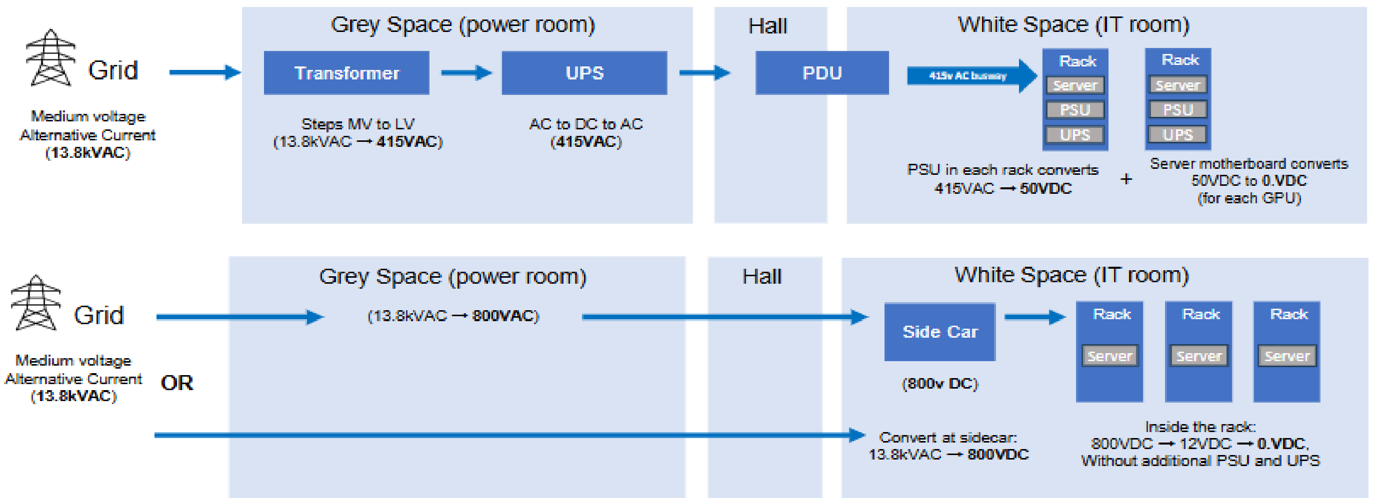


Source: Company Data, Morgan Stanley Research

Data center 800v DC. We estimate this will be 20-30% of installations by 2030. Key equipment suppliers continue to reposition their portfolios for this change.

Oct, 2025	**NVIDIA partners for 800 HVDC / MGX rack architecture**
Silicon providers	Analog Devices, Inc. (ADI), AOS, EPC, Infineon, Innoscience, MPS, Navitas, onsemi, Power Integrations, Renesas, Richtek, ROHM, STMicroelectronics and Texas Instruments
Power system component providers	BizLink, Delta, Flex, GE Vernova, Lead Wealth, LITEON and Megmeet
Data centre power system providers	ABB, Eaton, GE Vernova, Heron Power, Hitachi Energy, Mitsubishi Electric, **Schneider Electric**, Siemens and Vertiv

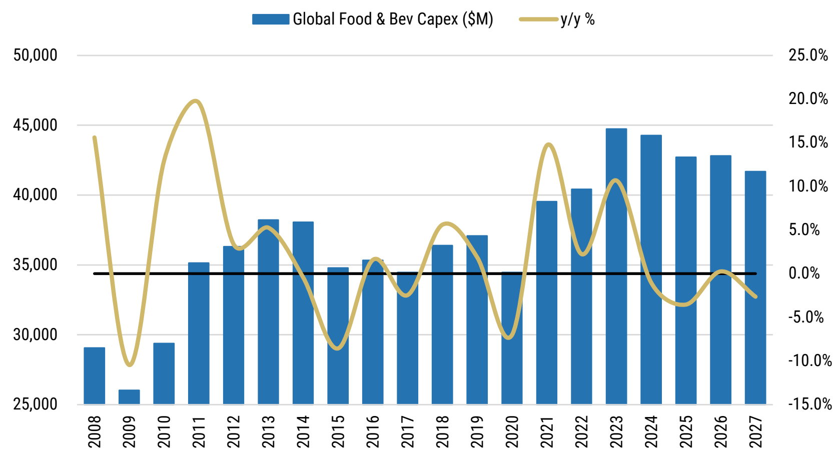
Evolving Data center design. 800v DC is becoming more topical, with solid state transformers becoming a key product in the sidecar. The top design is existing architecture, while the lower design is the 800v DC design.



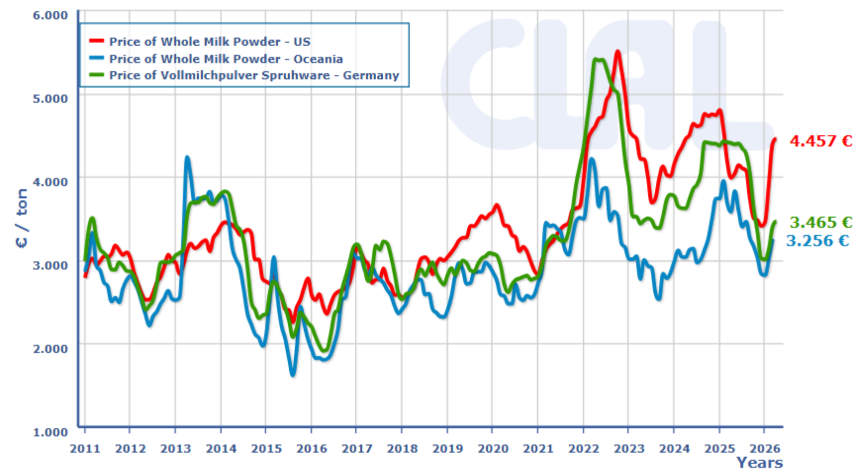
Source: Company Data, Morgan Stanley Research

Food, Beverage and Dairy investment. No growth in 2026, with longer-term consumption trends unsupportive for future investments.

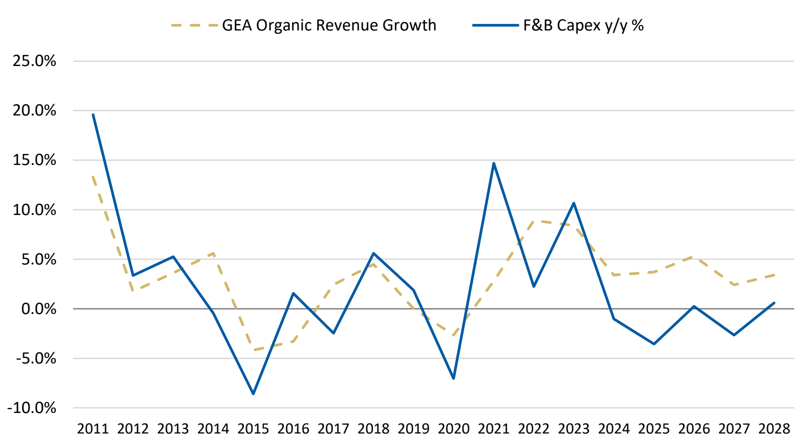
Another flat year in 2026 for Food and Beverage capex



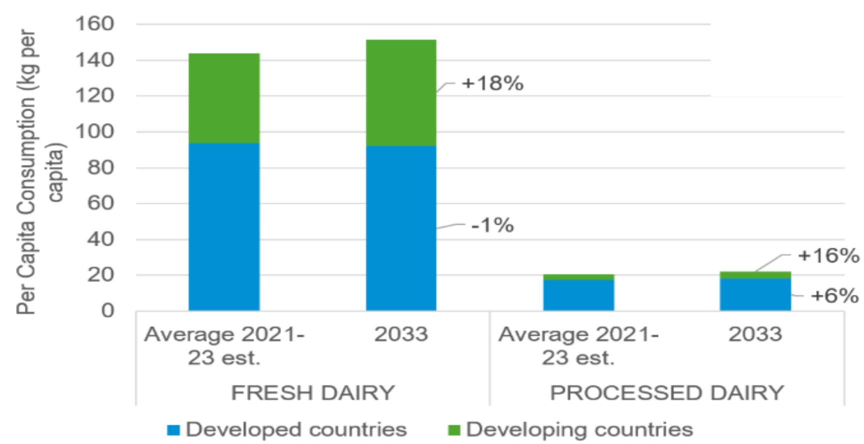
Dairy prices have also started to soften since mid-2025



GEA organic revenue growth vs food and beverage capex.



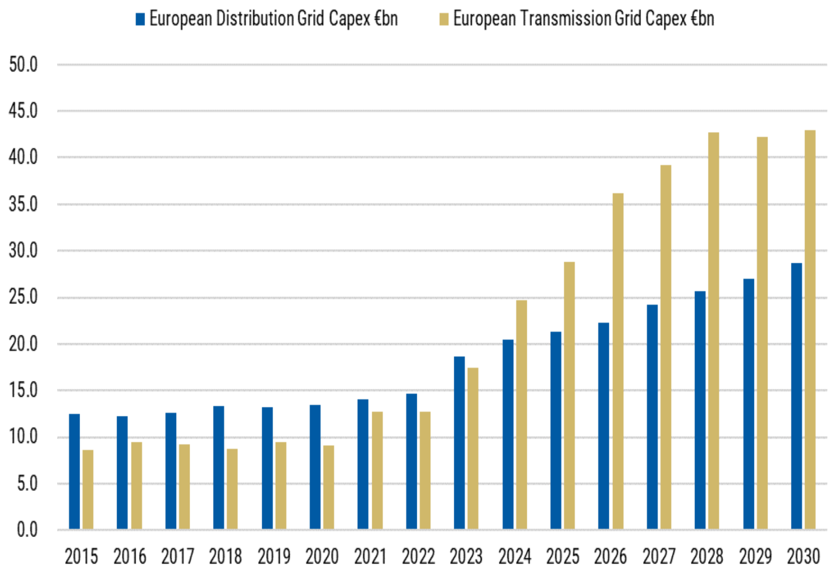
Processed and Fresh dairy consumption are not expected to grow (per capita) in developed countries while populations are also not growing.



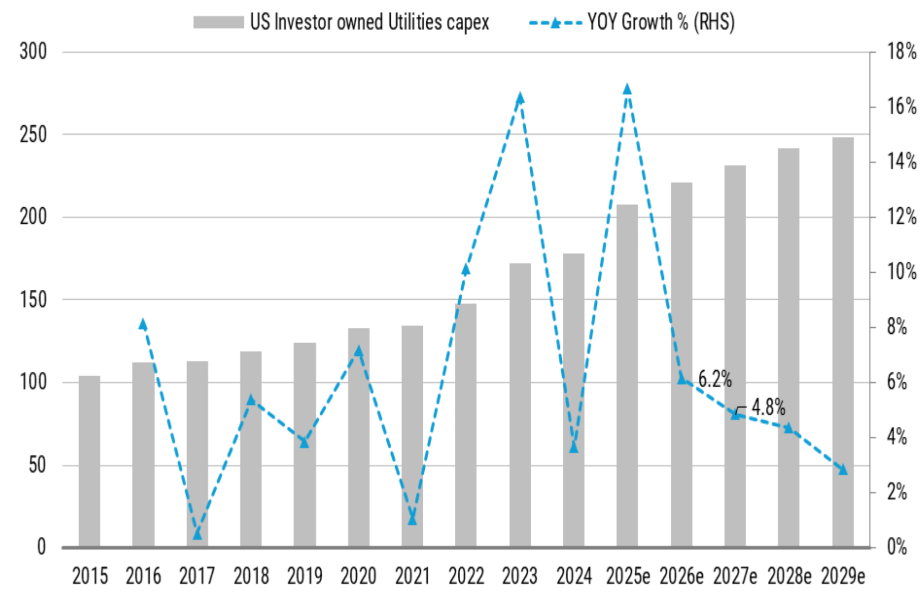
Source Company Data, FAO Indicator, Morgan Stanley Research

Grid investment. Spending growing at 6% in 2026e, with growth plateauing later in the decade. Grid order trends, and spending beyond 2030e is a debate

European Transmission and Distribution Networks Capex. 2025/2030 forecasts are up 22/25% vs one-year ago.



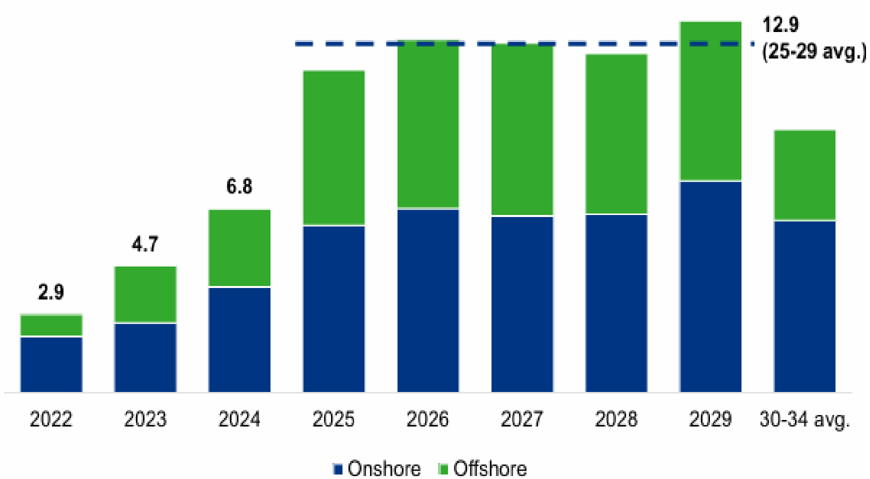
US Utilities capex growing at 6% in 2026e, before decelerating to 5% in 2027.



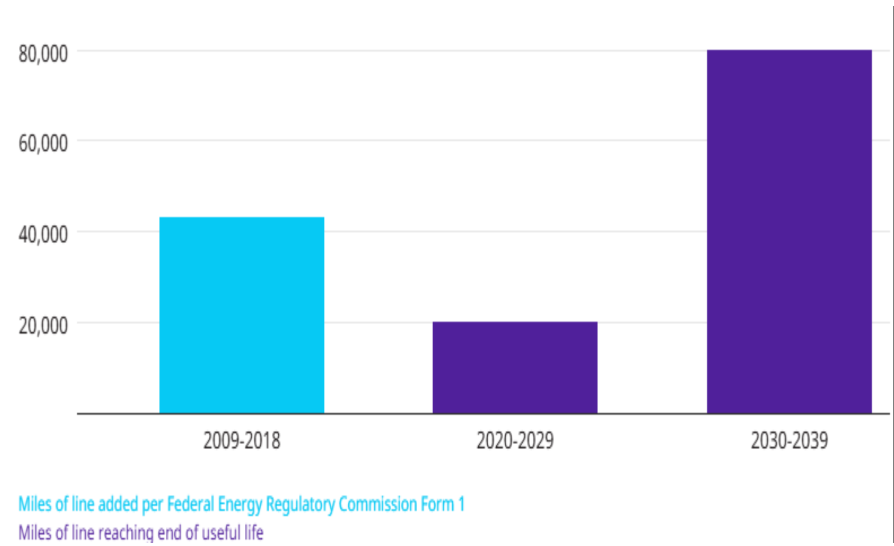
Source Company Data, S&P, Morgan Stanley Research estimates (e)

Grid investment. Cycle duration. Europe spend is at risk of peaking in 2030, based on TSO spending forecasts, while US spending needs to continue, given grid age.

TenneT (German TSO) capex investments. These significantly increase in 2023-29, before declining by ~25% in 2030-34.



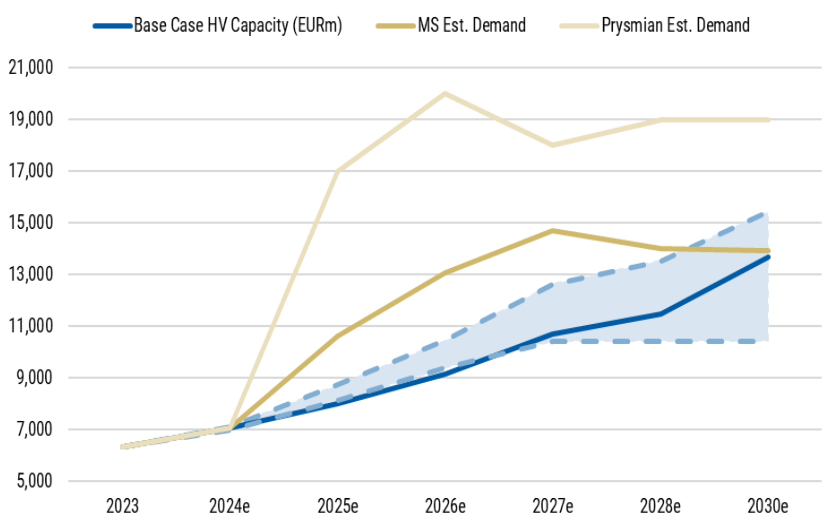
US miles of transmission lines added in 2009-18 and grid equipment reaching end of useful life in 2030-39. The US needs c2x replaced in 2030-39, vs what was installed in 2009-18.



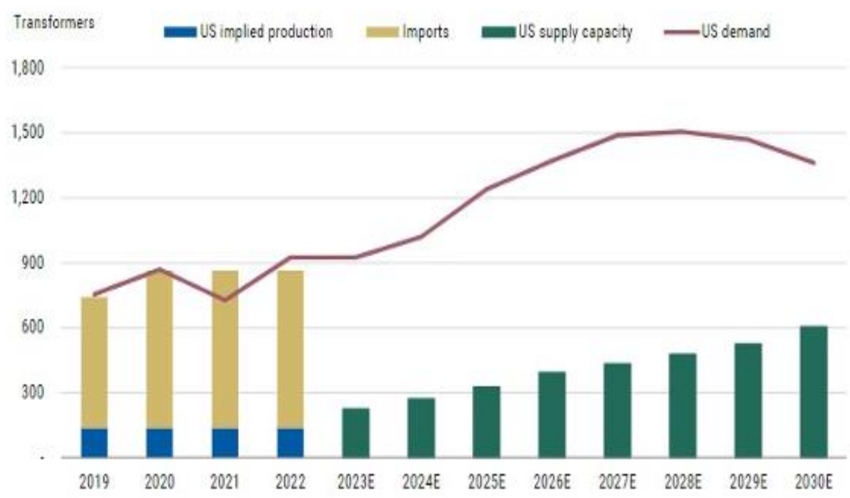
Source Company Data, Morgan Stanley Research

Grid equipment supply demand. Cables supply demand is potentially becoming more balanced in 2030. US has to import large power transformers, but global capacity is also increasing.

Demand for HV cables is higher than supply for now. But this is likely to become more balanced towards the end of the decade.



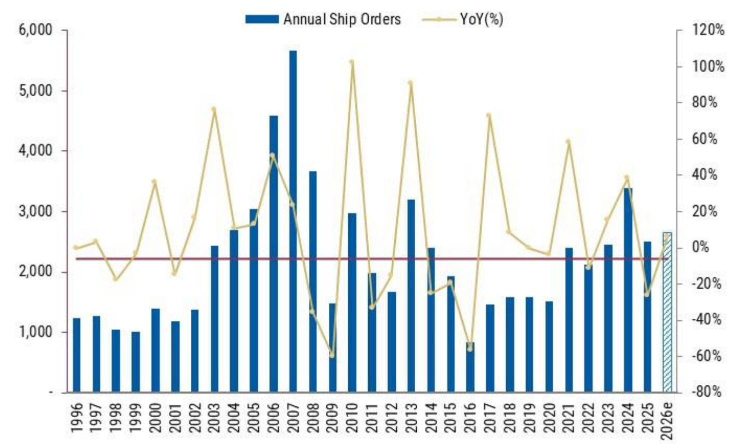
US Transformer supply gap. The demand for US transformers is set to rise from around 900 units to 1,500 units, and domestic supply is well below this level



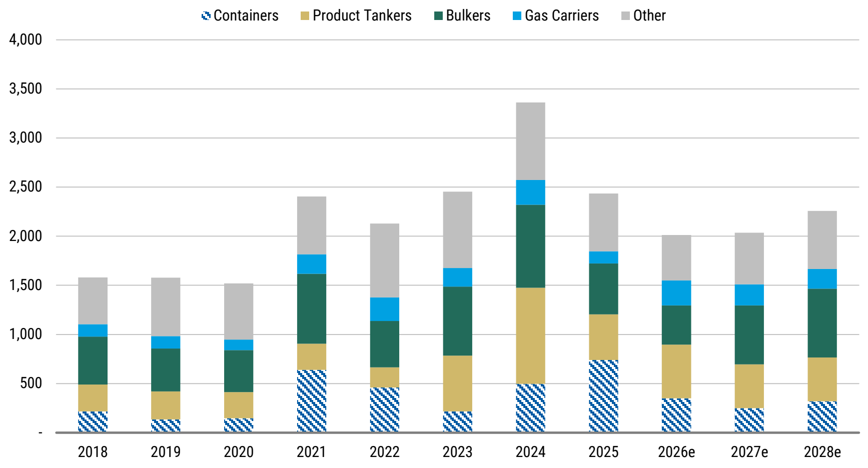
Source Company Data, BNEF, DOE, Trade Map, Morgan Stanley Research estimates (e)

Marine: Weakness in ship orders will filter through to 2026 orders for Alfa / Wartsila.

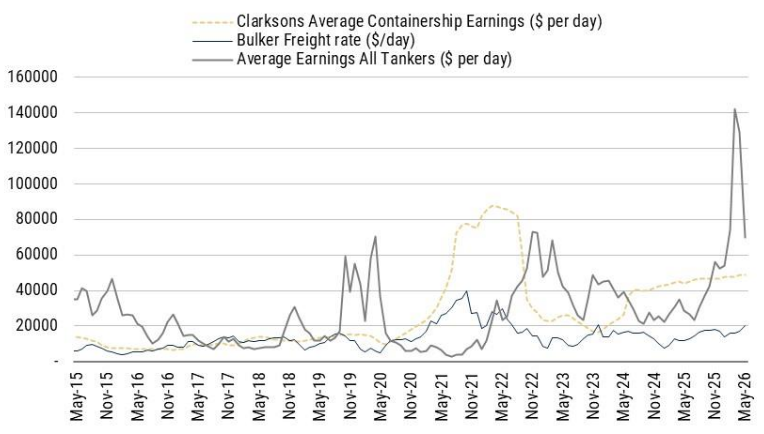
New ship orders are 28% lower YOY in 2025 vs 2024. This follows four strong years in 2021-24.



MS new ship order forecasts. We are less optimistic on a 2026 recovery.



Marine freight rates. Tankers had a recent spike due to disruption to the fleet (sanctions), but have started to decelerate in May

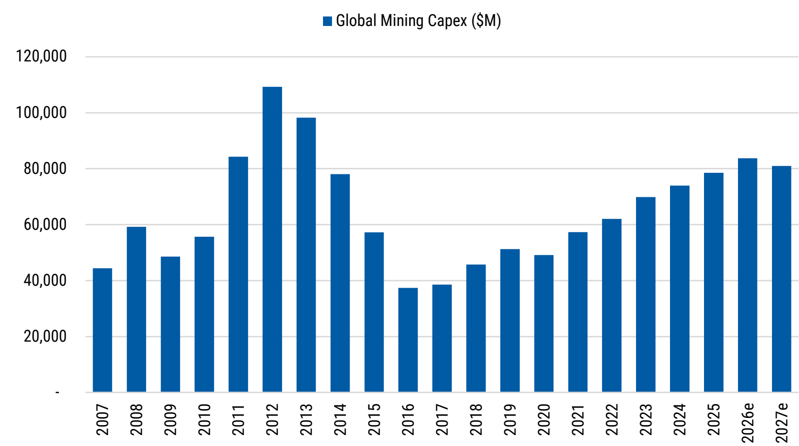


Containership supply is outgrowing demand, which may limit new orders.

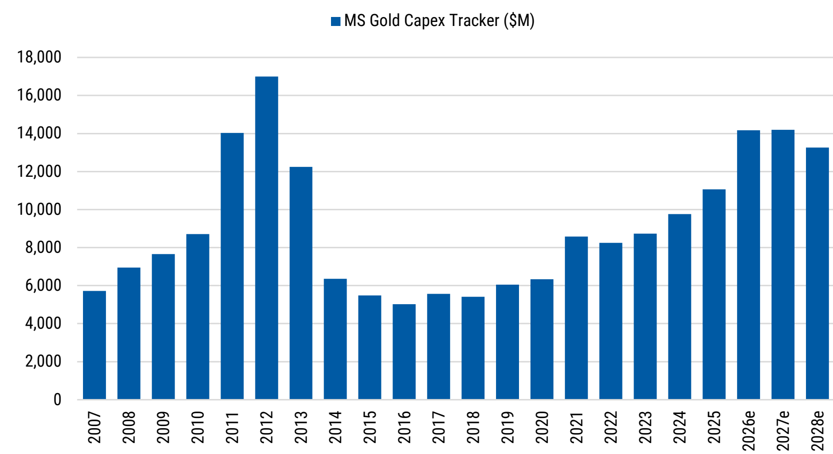
Source: Clarksons,, Morgan Stanley Research estimates (e)

Mining. Long-term copper capex tailwinds, but new project approvals take time. Gold capex is the relative bright spot for 2026.

MS Global Mining Capex Tracker (bottom-up): Slightly up YOY in 2026

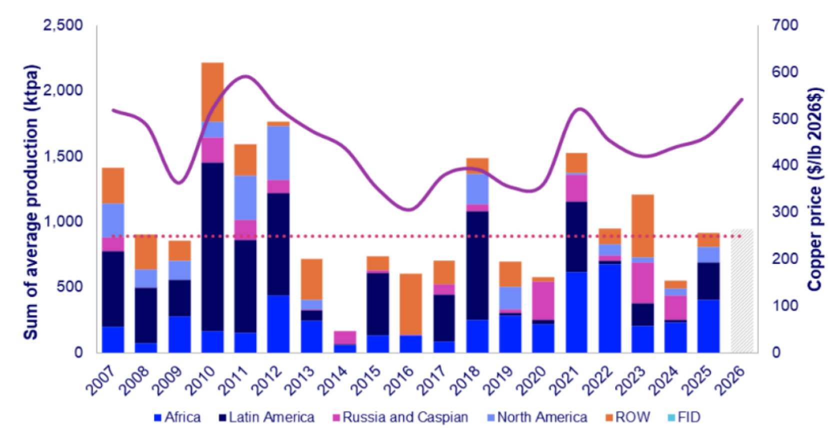


Gold Capex is forecast at +28% growth YOY in 2026e

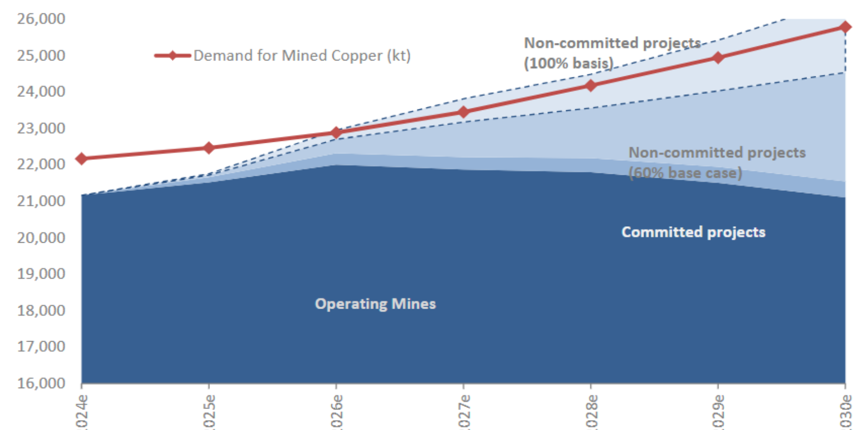


Copper project sanctioning. A better year for greenfield / brownfield sanctioning in 2025, but bigger projects more in 2027-28.

Copper mine project sanctioning



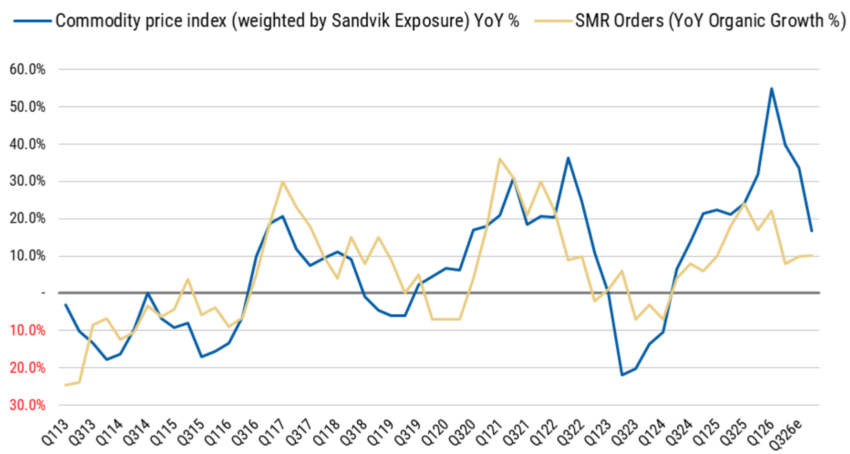
Copper supply vs. demand. 8m tonnes of new copper supply needed by 2035 ($210m of cumulative copper capex needs). This implies copper capex will grow at a 10% 2025-35 CAGR.



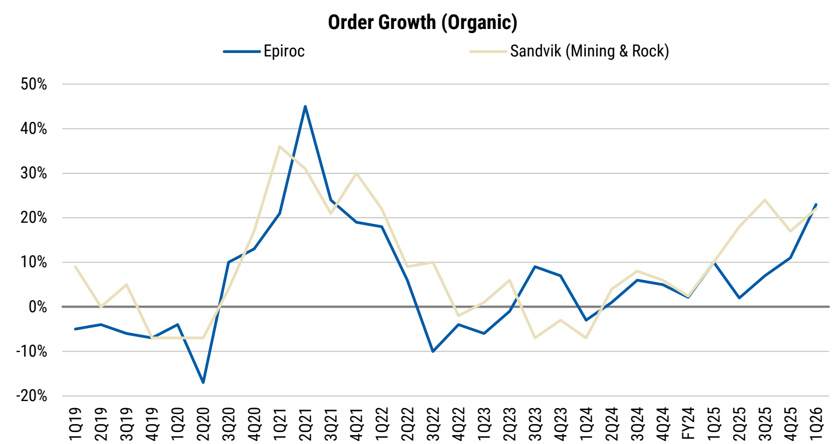
Source: WoodMac, FactSet, Visible Alpha, Datastream, Morgan Stanley Research estimates (e)

Mining. Aging fleet, and strong commodity prices will continue to drive replacement spending on equipment, and aftermarket growth.

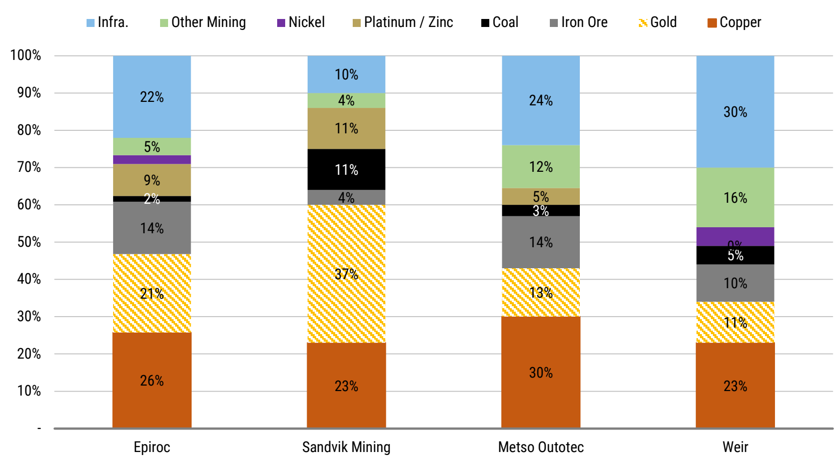
Sandvik Mining orders vs commodity prices. Supportive backdrop and upside risk on mining equipment orders.



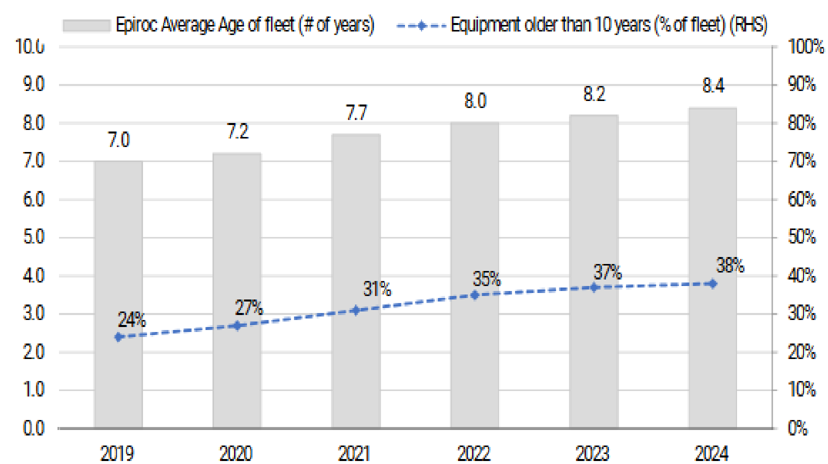
Sandvik Mining vs Epiroc orders. Market share gains



Commodity exposure across the mining equipment. Prefer Gold for 2026



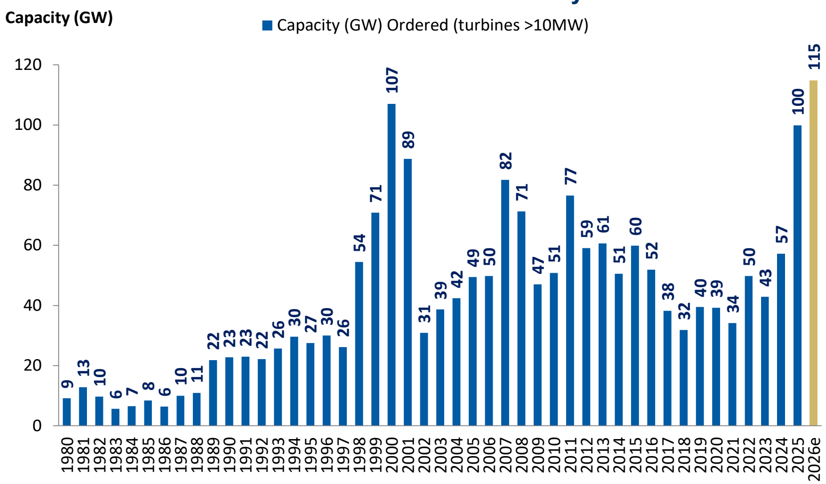
Average age of fleet at Epiroc. Aging fleet that needs continued replacement spend



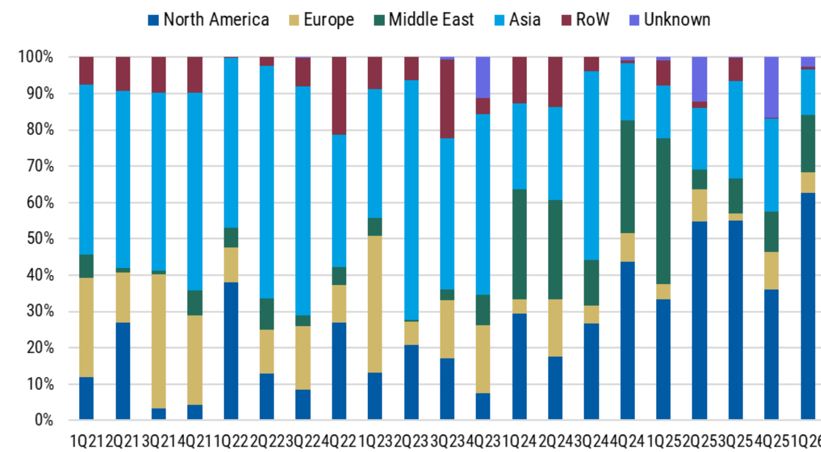
Source: WoodMac, FactSet, Visible Alpha, Datastream, Morgan Stanley Research estimates (e)

Power Gen: 2025 an exceptional year. 2026 to be better but likely the peak.

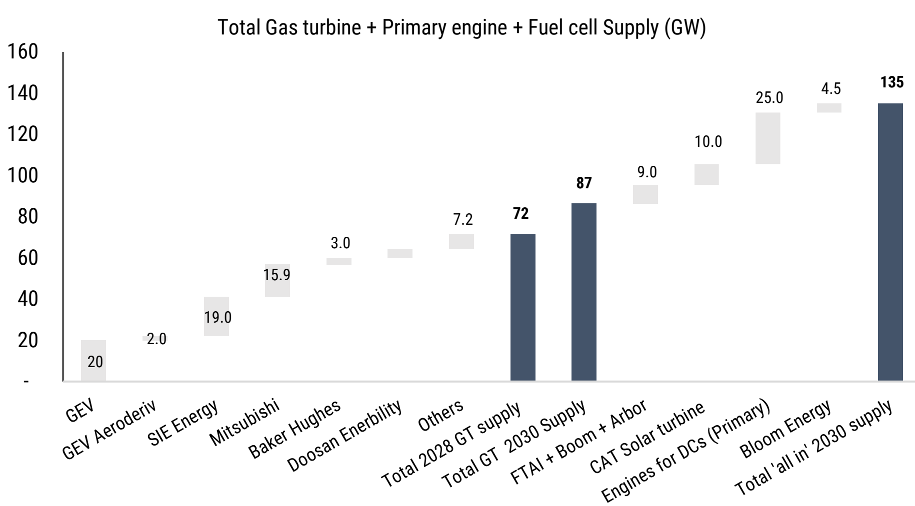
Gas turbine orders. We see 2025 as the best year since 2021



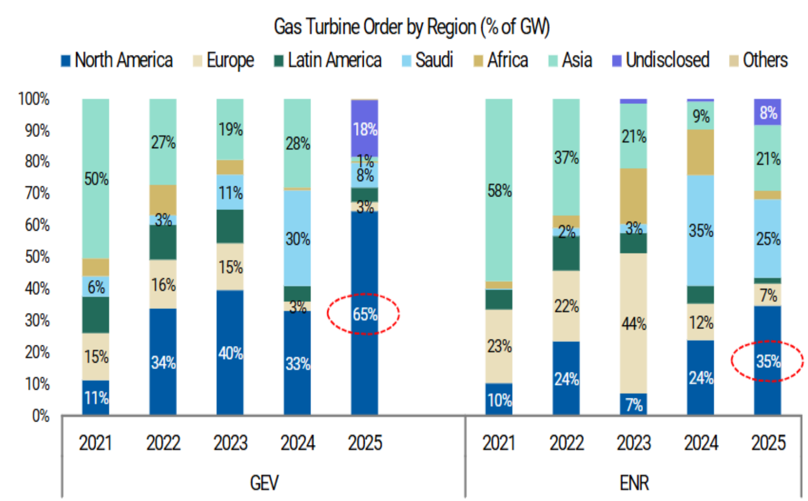
Regional Gas Turbine Orders. US driving recent strength



Gas turbine capacity build. Heading towards balanced supply demand



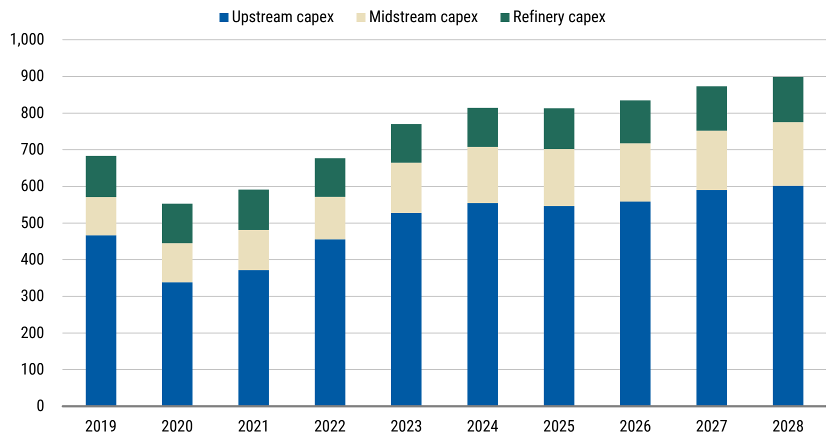
Market shares. GEV's share of orders from US is higher than ENR



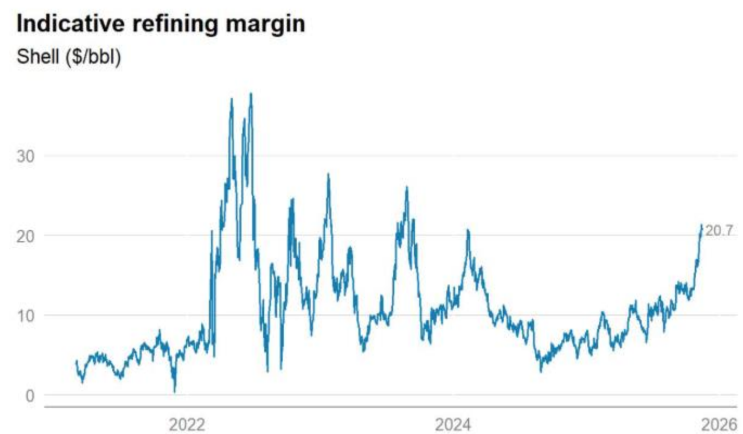
Source: McCoy, Morgan Stanley Research estimates (e)

Oil & Gas. Spending holding up, with Refinery capex forecast to grow +6% in 2026.

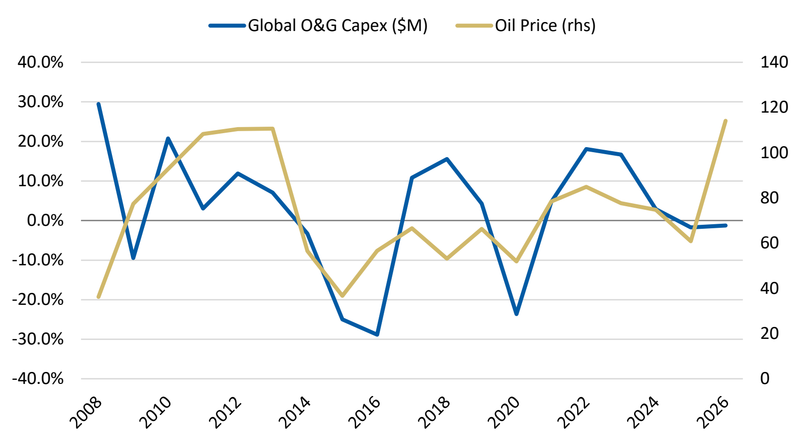
Oil & Gas Capex – LSD capex growth YoY in 2026e



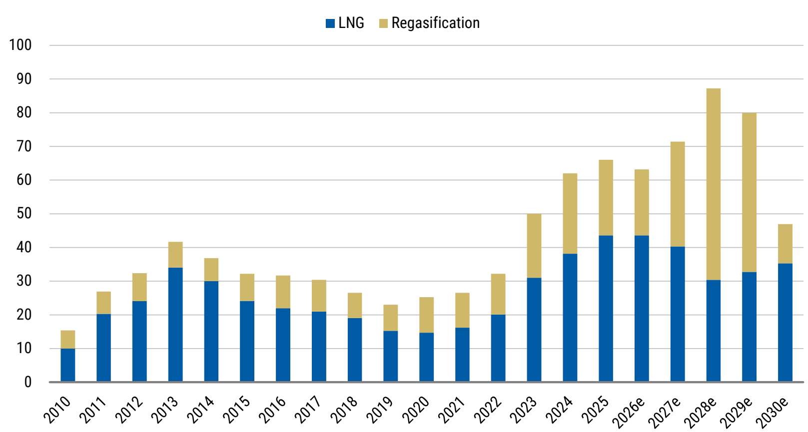
Refinery margins are currently relatively strong, which helps the backdrop for downstream spending



O&G capex has historically moved with the oil price. Oil prices have been volatile, particularly in early 2026



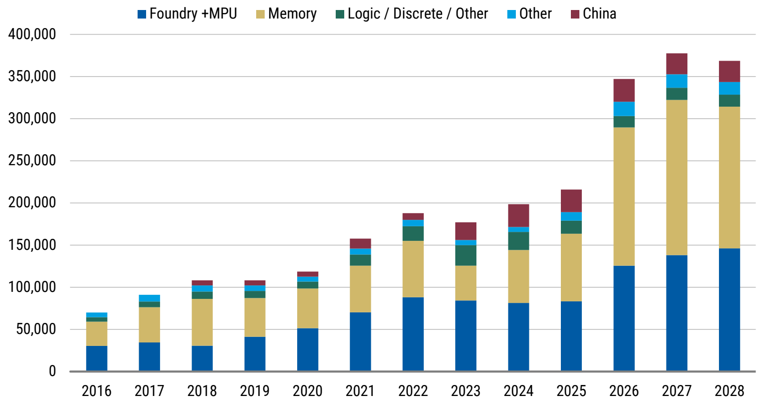
LNG capex set to decline in 2026e overall. Regasification spending expected to re-accelerate with projects being completed



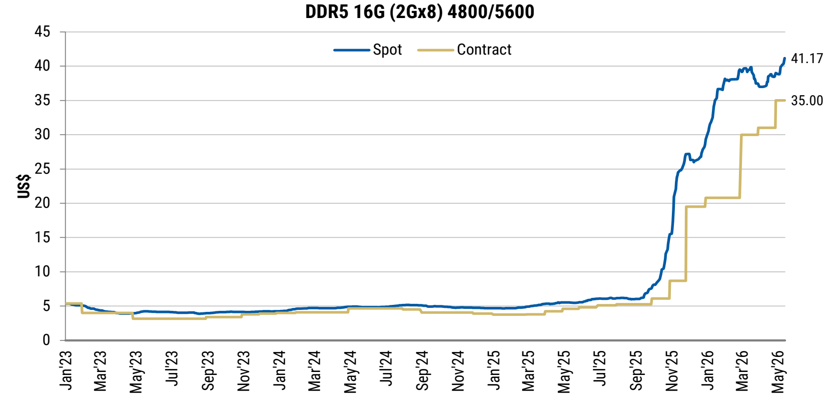
Source: Datastream, Factset, Company Data, Morgan Stanley Research estimates (e)

Semi-conductors. Capex +61% YOY in 2026, driven by an inflection in memory spend.

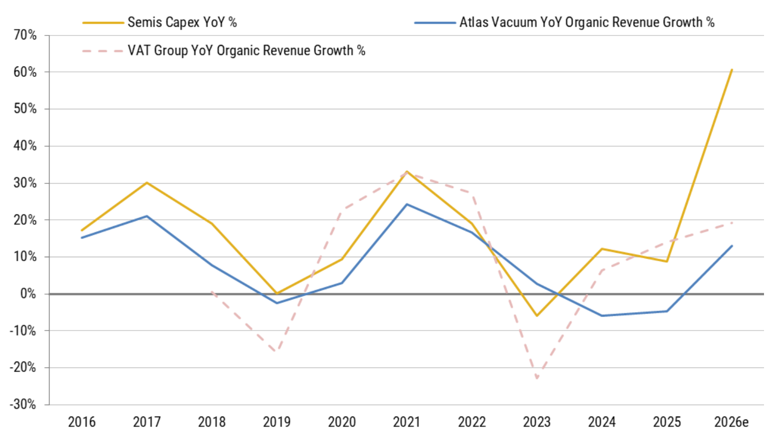
Semis capex +61% YOY in 2026, after +9% in 2025.



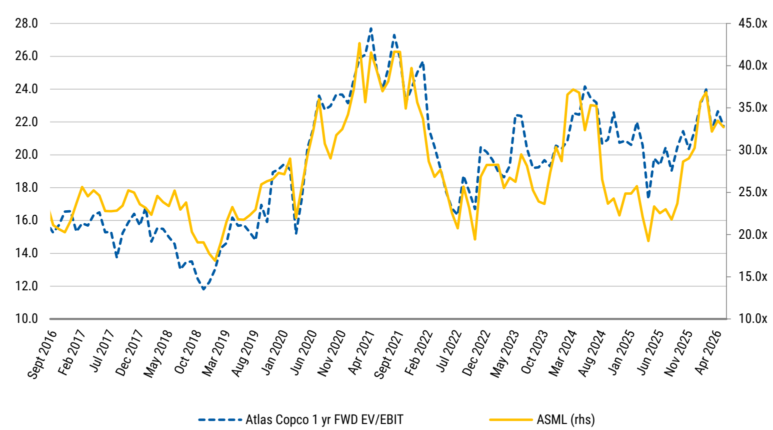
Memory pricing has taken a significant step-up due to supply demand tightness.



Atlas Vacuum sales growth vs semis capex. Atlas had a softer year in 2025, impacted by Intel and Industrial vacuum.



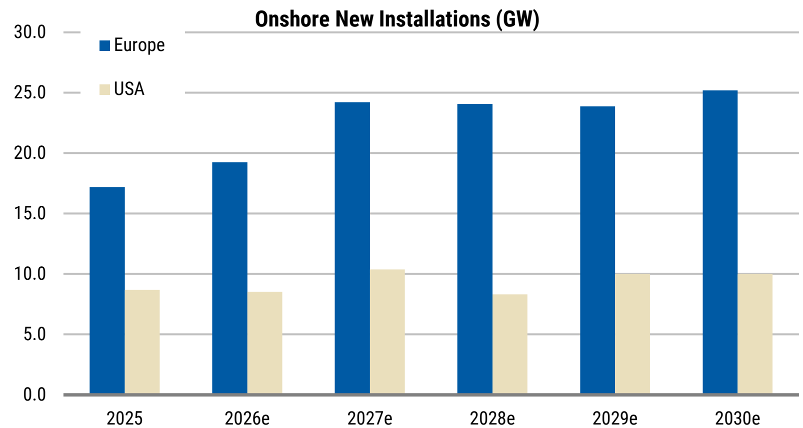
Atlas EV/EBIT vs ASML. Valuations look consistent.



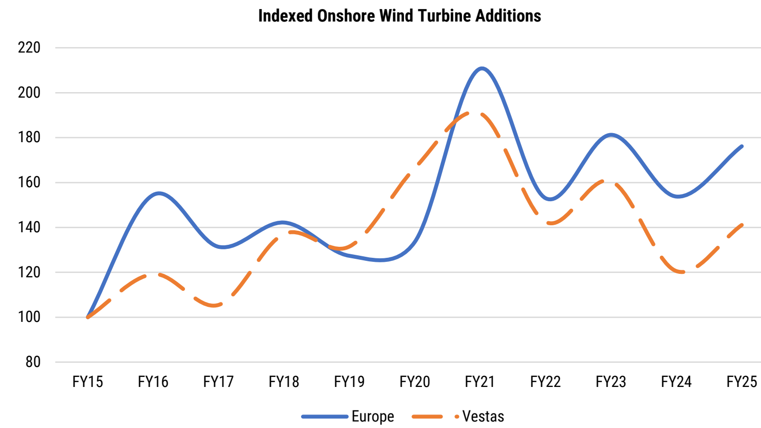
Source Company Data, Factset, Datastream, Morgan Stanley Research estimates (e)

Wind turbines: Europe onshore continuing to grow. US peaks in 2027. The next wave of offshore tenders in Europe (UK, Germany) will be key.

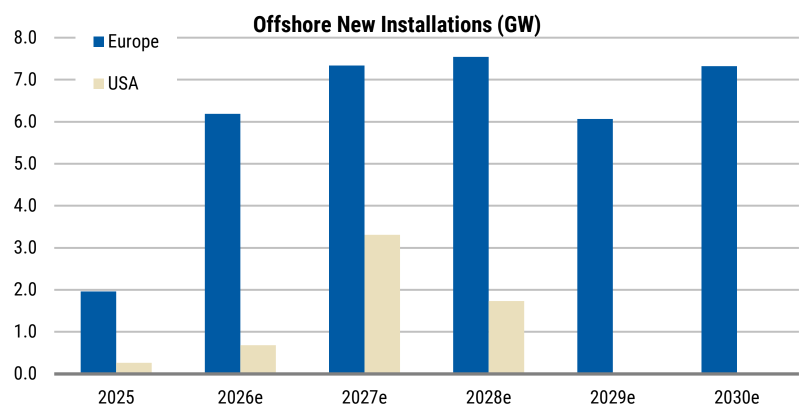
On-shore wind additions. Europe growing at a 8% 2025-30 CAGR, while US peaks in 2027, driven by the timing of IRA credit expiries.



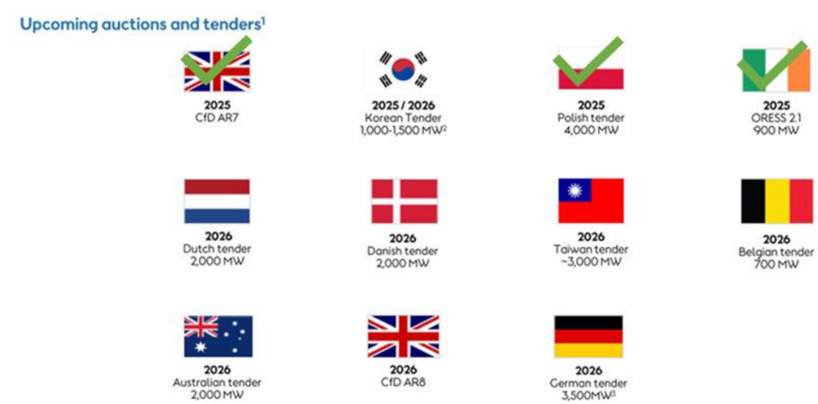
Vestas onshore wind additions have lagged the broader EU market, pointing to some share loss.



Offshore wind installations. Visibility on demand has reduced with upcoming UK tenders key to understand future demand.



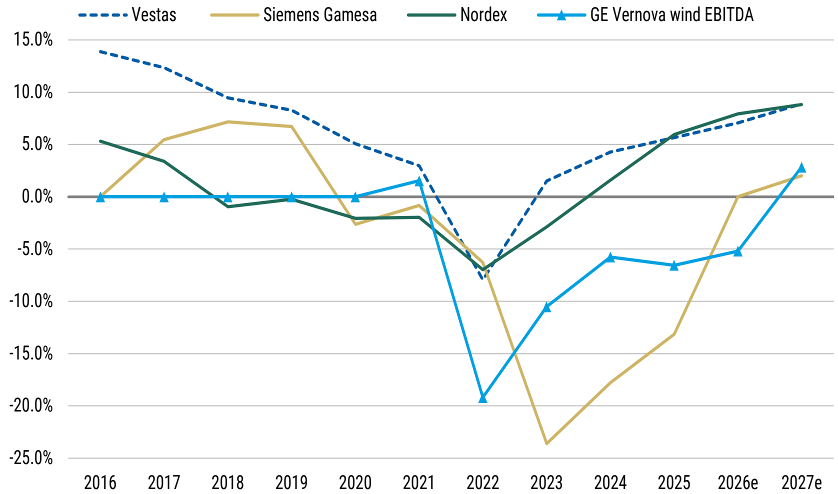
Combined, there are auctions for ~30GW across 2025-26. This is supportive for installations to grow to >10GW later this decade.



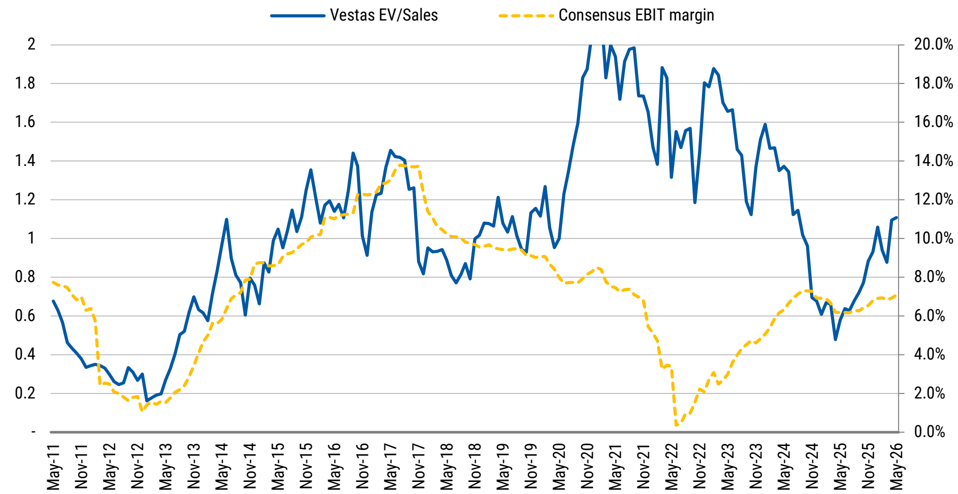
Source: BloombergNEF, Morgan Stanley Research estimates (e)

Wind turbines: Onshore wind will play a role in the overall power mix, but stocks like Vestas are already priced for a significant recovery in profitability, we think.

Wind turbine producer margins. Current consensus assumes Vestas margins return to 9% in 2027.



Vestas EV/Sales is already pricing in a return to >10% EBIT margins, which we think will take time.

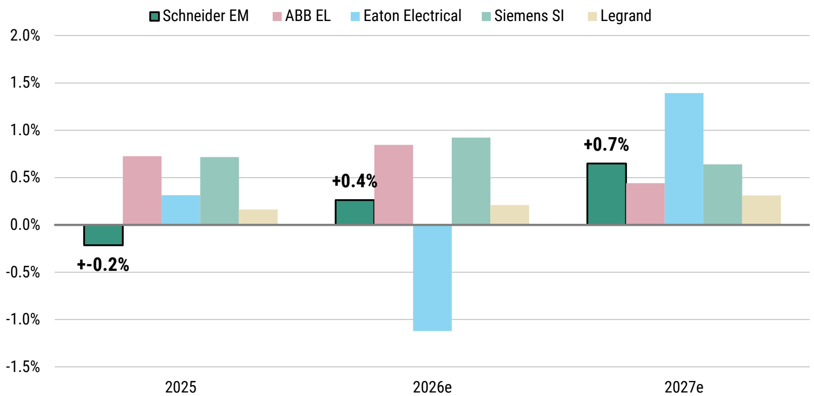


Source: Company Data, Morgan Stanley Research estimates (e)

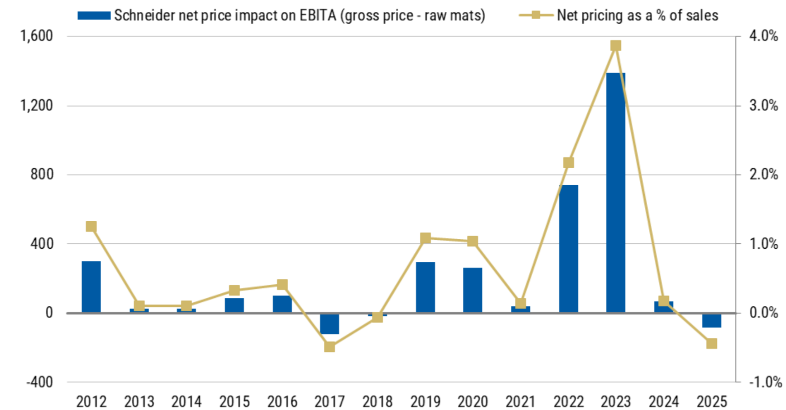
Company slides

Schneider Electric – Overweight, PT €300

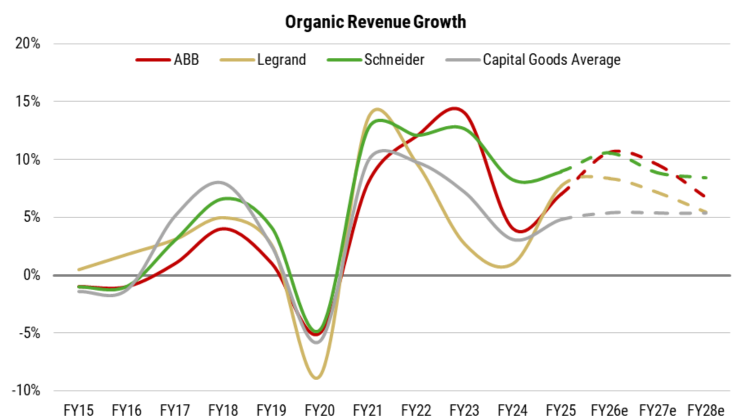
Schneider EM has lagged in EBITA margin expansion in 2025, but we expect productivity savings, recovery in buildings and automation, SAAS transition to deliver margin expansion in 26-27.



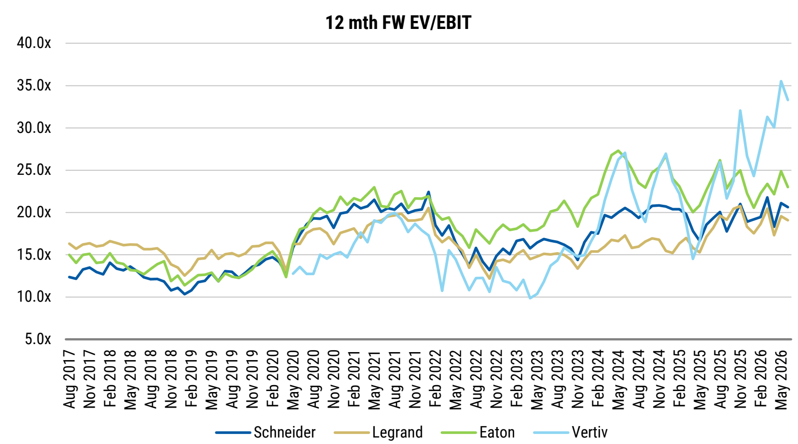
Schneider net price. Even in times of sharp raw mats inflation (eg 2021), Schneider has kept net price positive.



Average organic growth. We see Schneider's organic revenues growing +10.6% in 2026, in-line with ABB, but ahead of the sector.



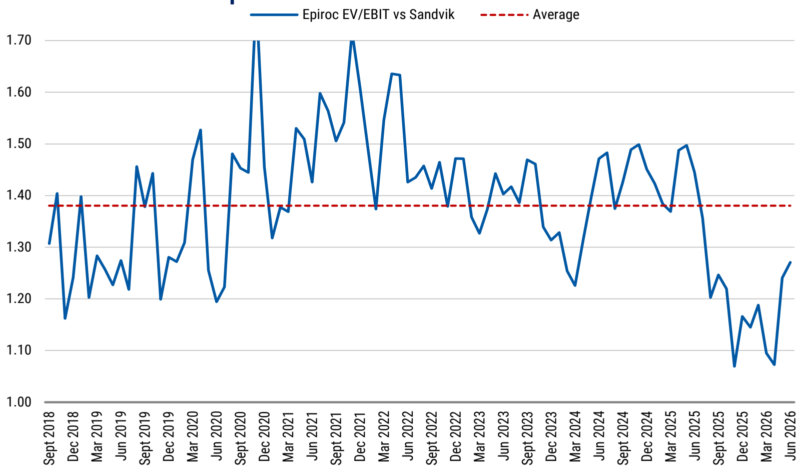
Schneider's valuation no longer looks expensive versus EU DC exposed peers (e.g. Legrand), and still looks undemanding compared to US peers



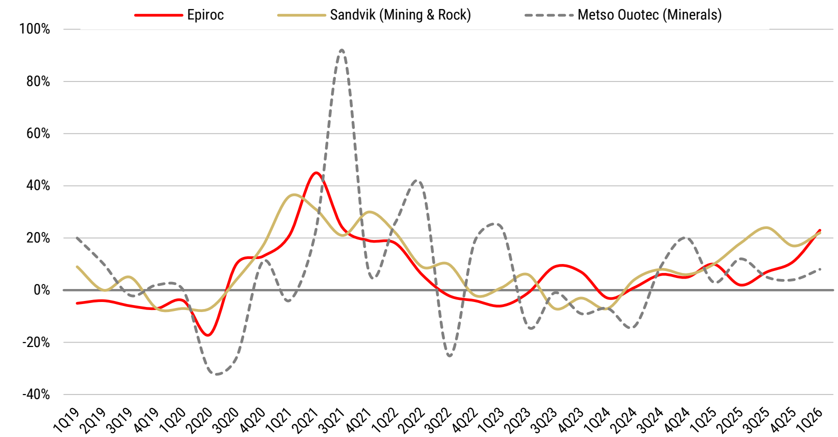
Source: Company Data, Datastream, Morgan Stanley Research estimates (e).

Epiroc – Overweight, PT SEK 300

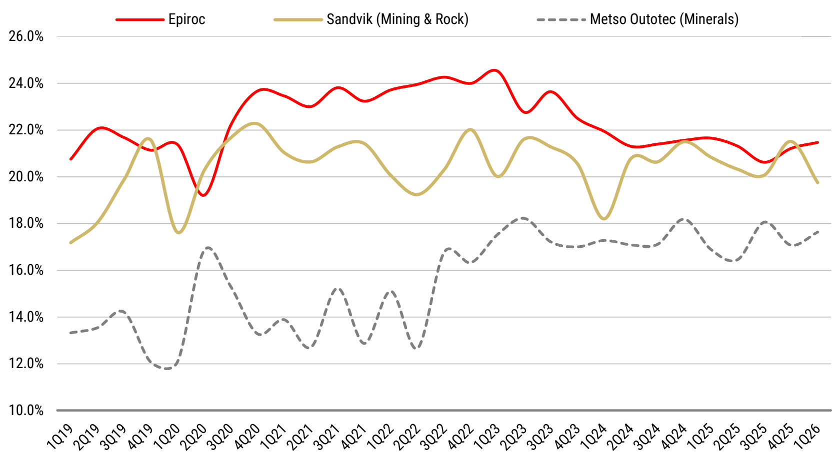
We switched our preference to Epiroc over Sandvik (EW). Epiroc's valuation premium over Sandvik is back near all-time lows.



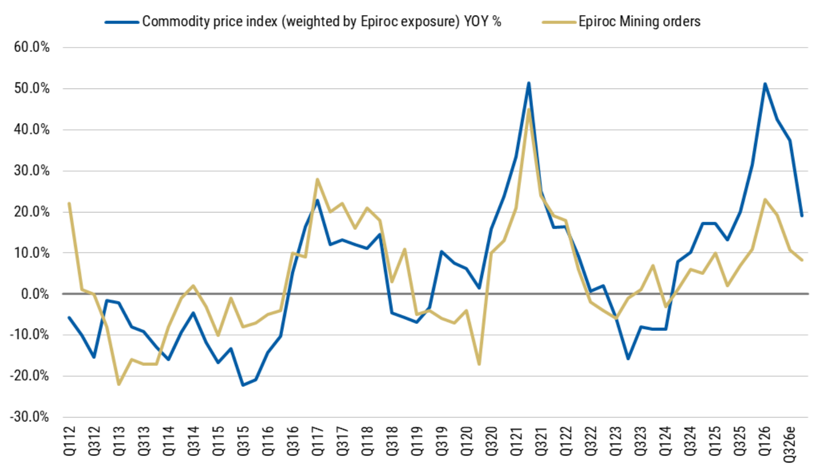
While Sandvik's total order growth has outperformed peers, it now has tough comps for 2026, while we expect Epiroc's acceleration into year-end to continue.



Quarterly margins. Epiroc and Sandvik Mining and Rock margins have largely converged…



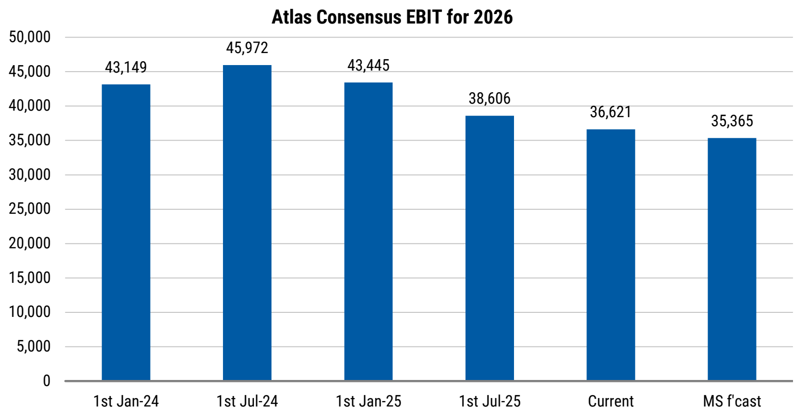
… and we note that the commodity price backdrop points to upside risks to our order forecasts.



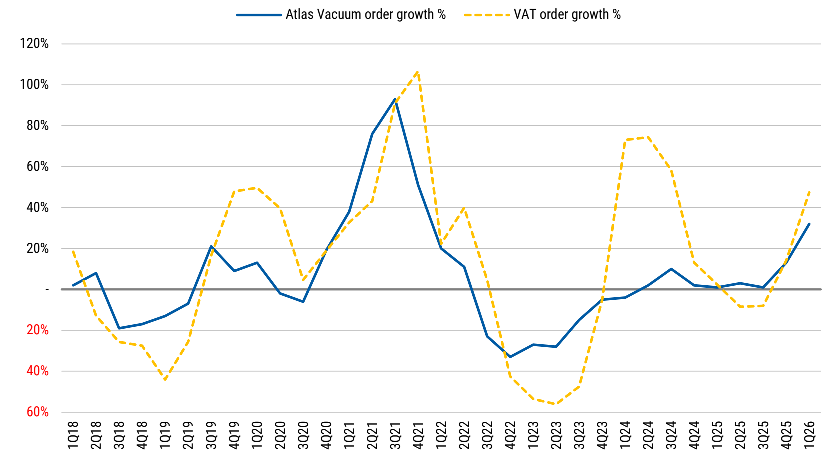
Source: Company Data, Datastream, Morgan Stanley Research estimates (e).

Atlas Copco – Overweight, PT SEK 200

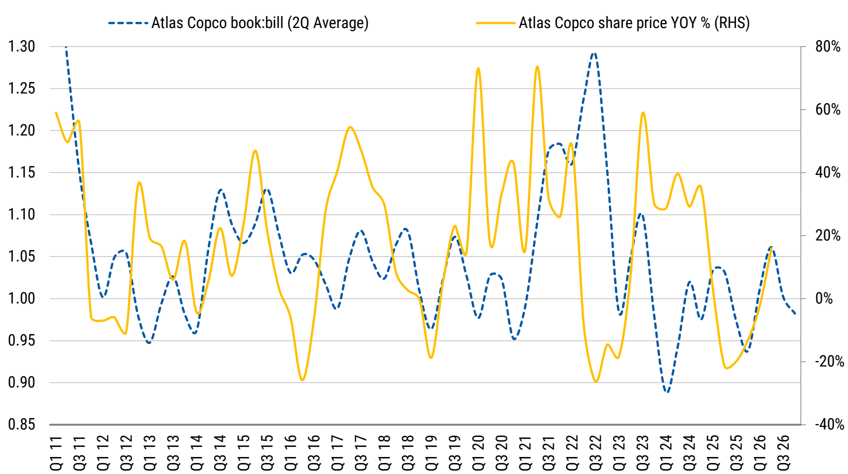
Atlas group consensus EBIT. We believe Atlas consensus estimates are now in a better place, allowing a platform for a re-rating.



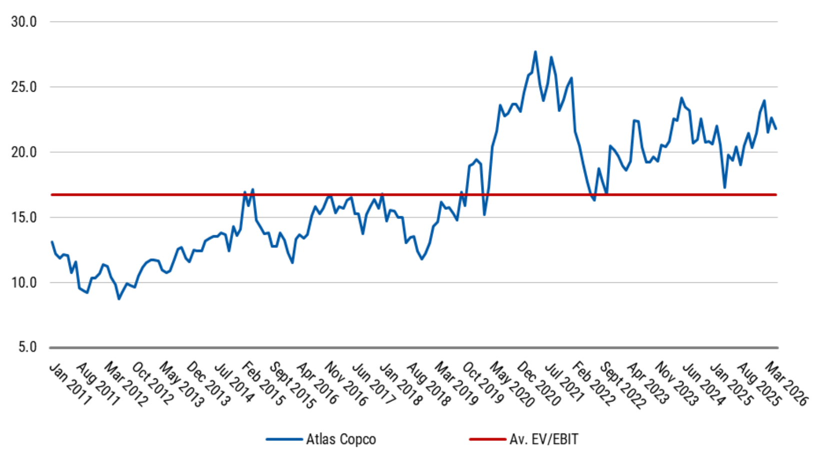
Atlas orders vs VAT. Scope for an acceleration in 1Q26.



Atlas Copco Book:bill versus share price.



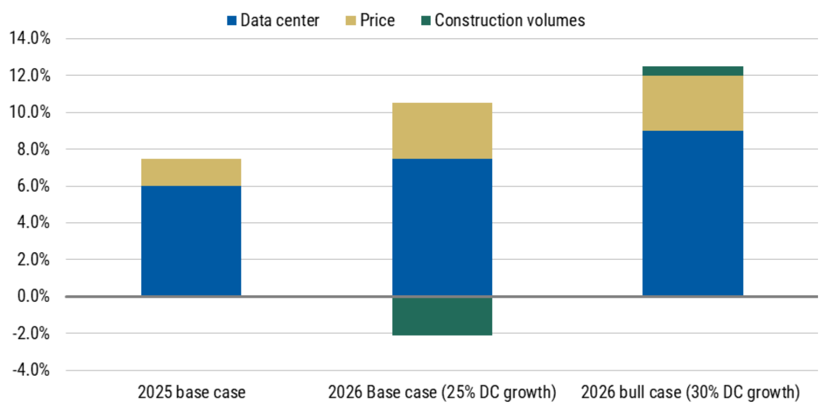
Atlas Copco EV/EBIT vs Mechanicals. Valuation looks undemanding versus its recent history.



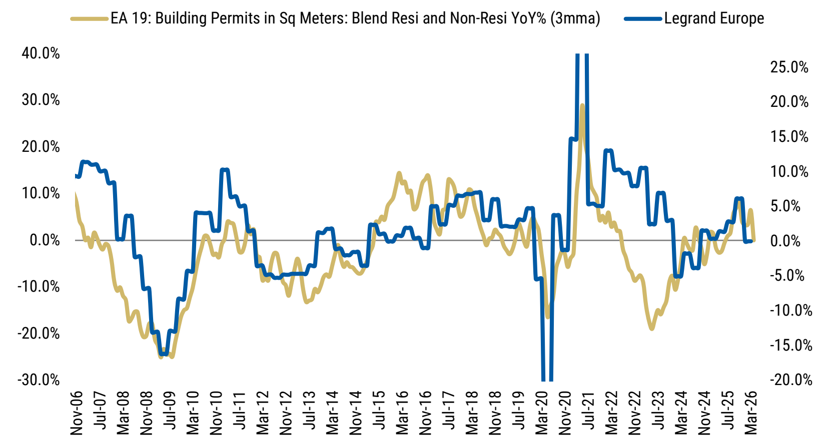
Source: Company Data, Datastream, Morgan Stanley Research estimates (e).

Legrand – Overweight, PT €166

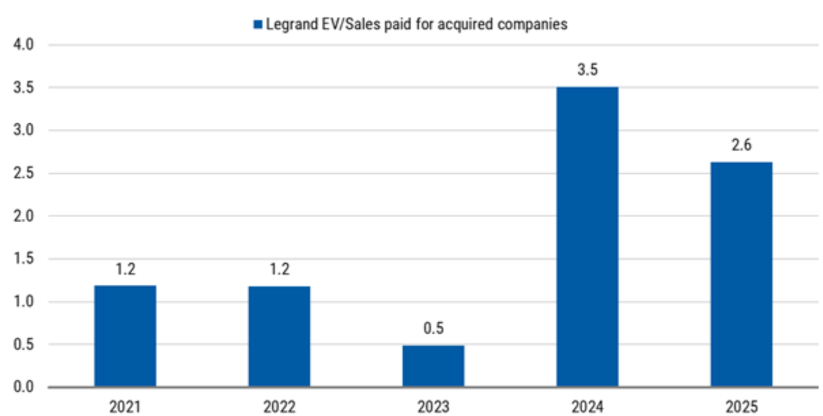
Legrand 2026 scenarios. Our bull case scenario for Legrand is €185 per share. Here, Legrand would grow 12.5% and margins would reach 21.5%.



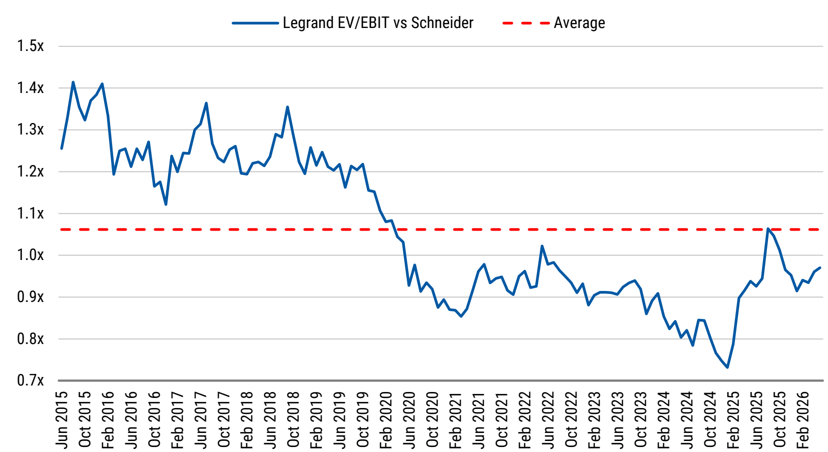
European Construction permits are recovering, which is encouraging for Legrand's European organic growth into 2026.



Legrand multiples paid for M&A (EV/Sales). Legrand has a track record of acquiring at attractive multiples, but these have stepped up as they have pushed more into data centers.



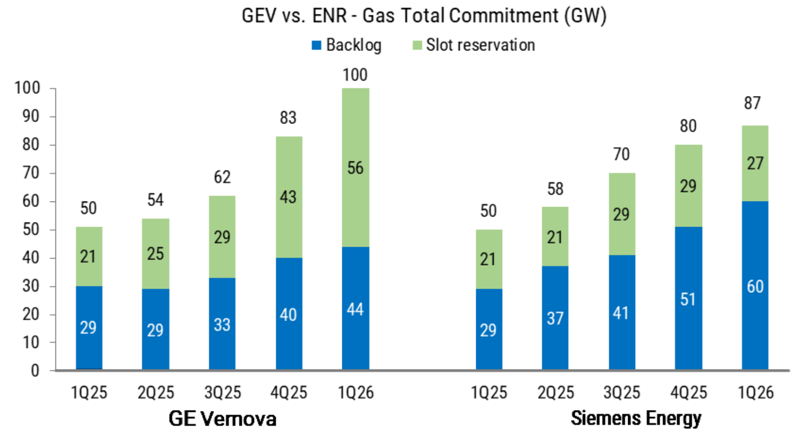
Legrand's valuation no longer screens as demanding versus Schneider.



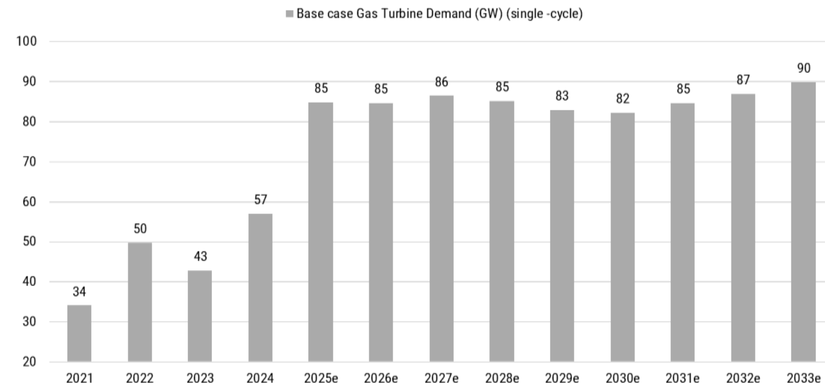
Source: Company Data, Haver, Datastream, Morgan Stanley Research estimates (e)

Siemens Energy: Overweight, PT €200

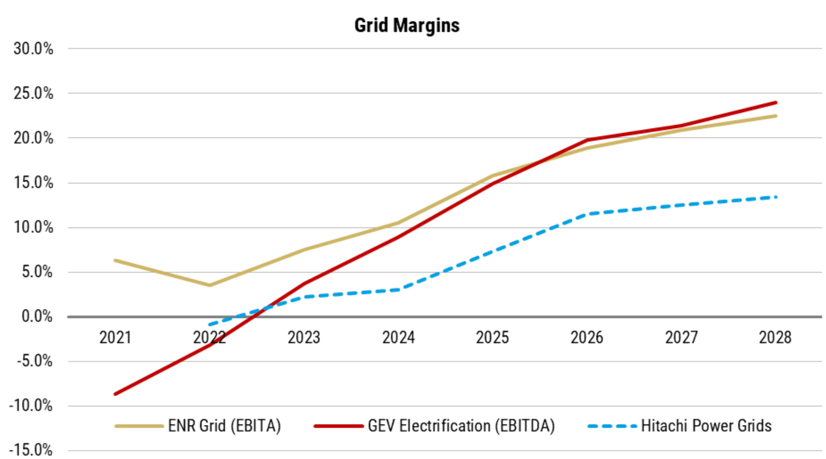
Siemens Energy slot reservations. We see orders for Gas services growing 12% in 2026e.



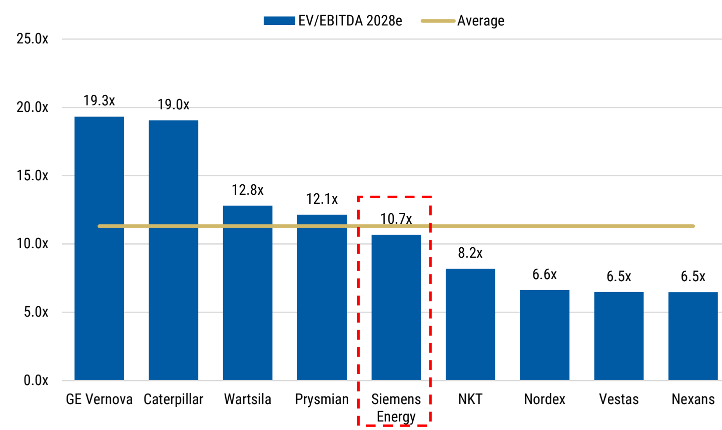
Gas turbine annual demand. We see demand sustaining broadly at 2025 levels, underpinned by replacements into the 2030s.



Siemens Energy – Executing ahead of peers on grid margins.



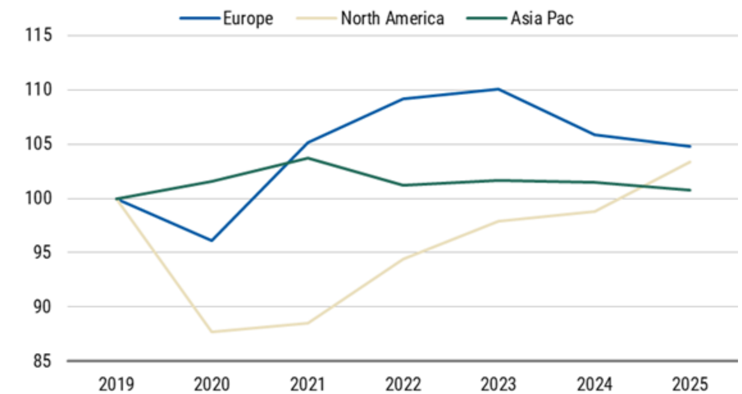
Siemens Energy – EV/EBITDA: Looks attractive relative to peer GE Vernova and also other European names.



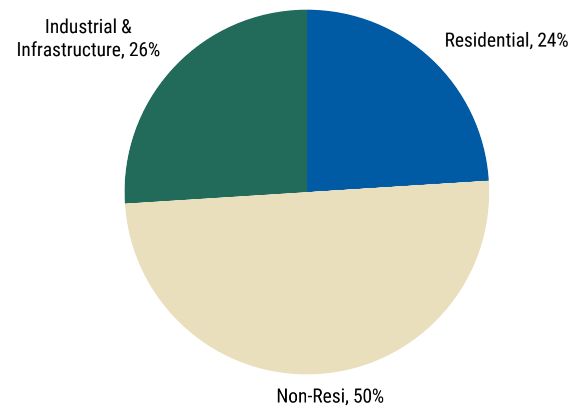
Source: Company Data, Datastream, McCoy, Morgan Stanley Research estimates (e). GE Vernova is covered by David Arcaro.

Rexel – Overweight, PT €42

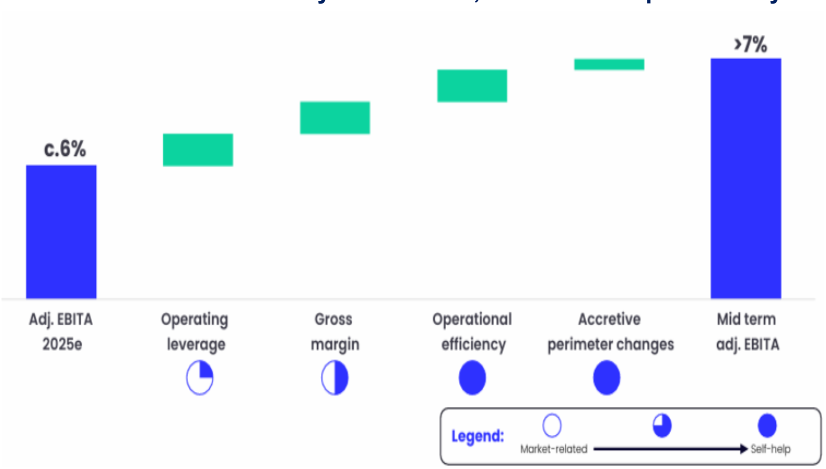
Rexel volume growth by region. Rexel's volumes are only slightly above 2009, which gives room for a recovery.



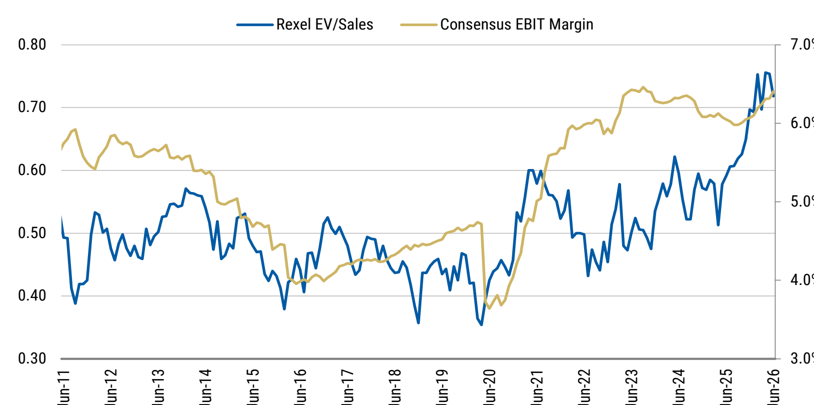
Rexel end market exposure. Rexel has some exposure to Industrial (26%) and should benefit if the US ISM starts improving.



We see multiple levers for Rexel to get to its >7% margin target, which include the UK / Germany turn-around, and AI driven productivity.



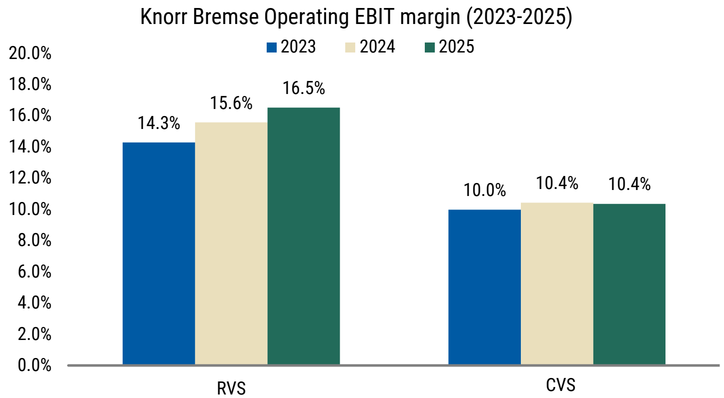
We think current valuation is undemanding if Rexel can get to the mid-term target of >7% margins.



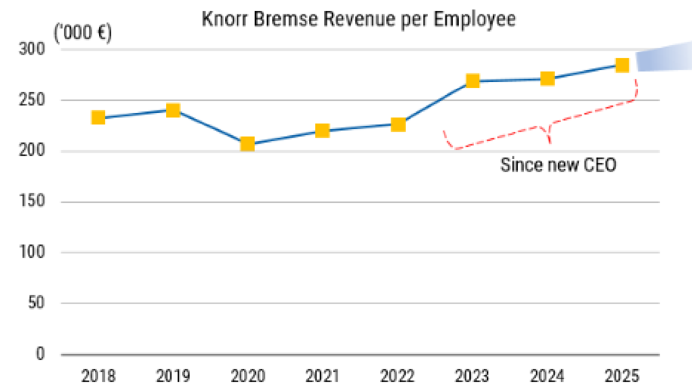
Source: Company Data, Haver, Datastream, Morgan Stanley Research estimates (e)

Knorr Bremse – Overweight, PT €116

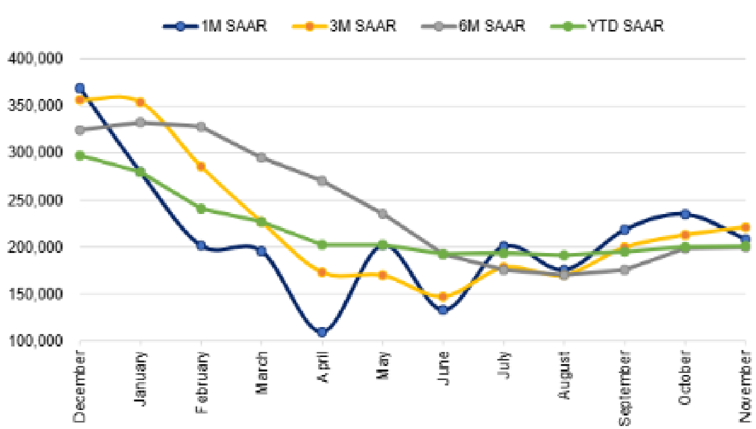
EBIT margin expansion since 2023. CVS improved despite two negative years of growth.



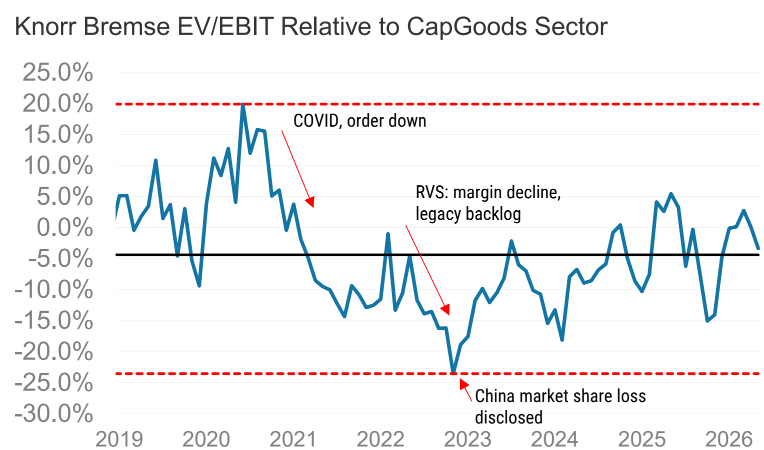
Revenue per employee has continued to increase, outlining that KBX is becoming a more efficient company.



US Truck orders are volatile but 3mths SAAR is showing signs of stabilizing. We think CVS estimates have bottomed.



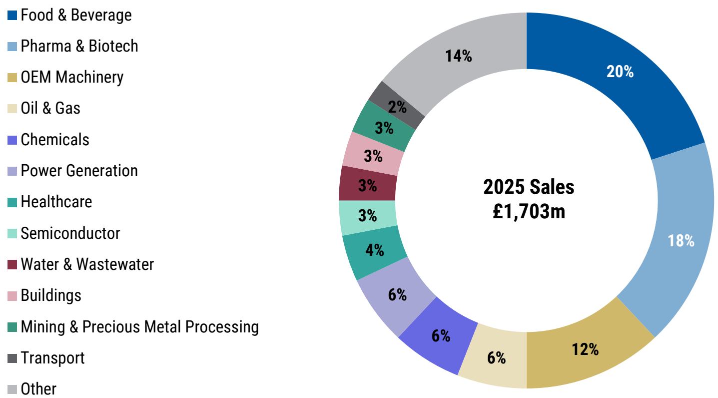
Knorr EV/EBIT vs the sector. We think KBX can return to a premium versus the sector.



Source: Company Data, Datastream, Morgan Stanley Research estimates (e)..

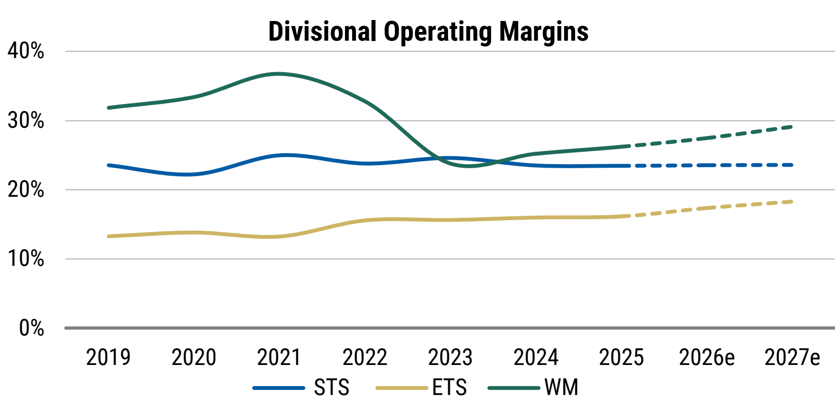
Spirax Group – Overweight, PT £8.5

Spirax Group End Market Exposure. We like Spirax's exposure to structurally growing end markets like Biopharma and Semis.

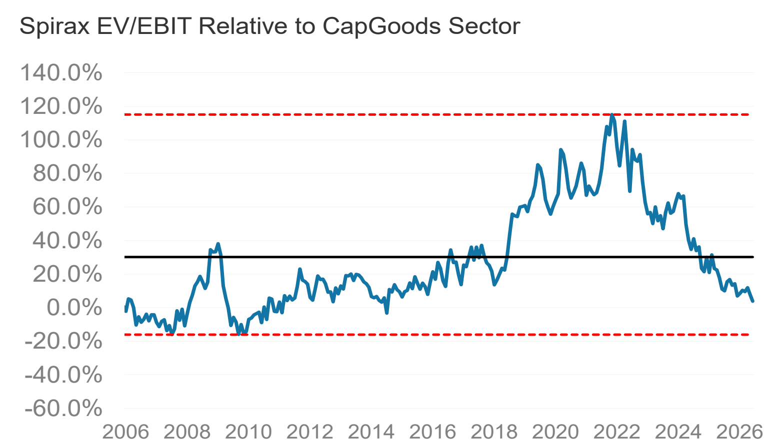


Biopharm book-to-bill ratio back >1x. Key to the Watson Marlow recovery.

Spirax's EBIT margins remain well above sector average, and we expect them to return to the 22-23% range by 2027.



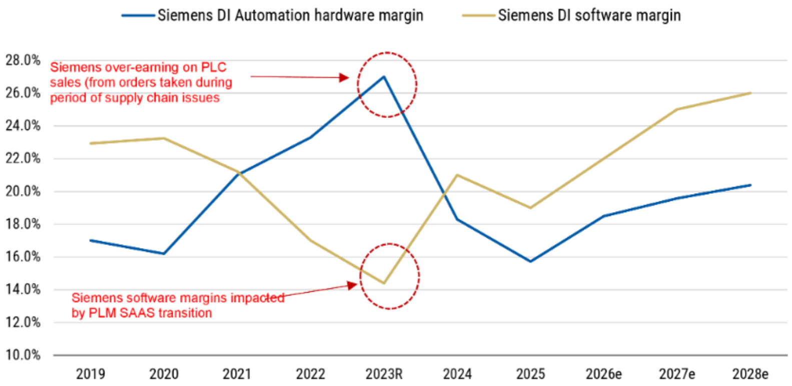
Spirax EV/EBIT relative to sector has de-rated versus the sector and is back to attractive levels, given we think consensus has now stabilised.



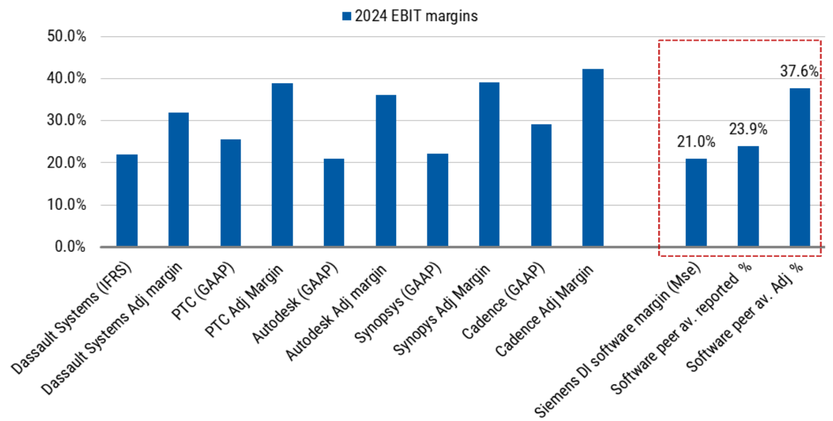
Source: Company Data, Datastream, Visible Alpha, Morgan Stanley Research estimates (e)

Siemens – Equal-weight, PT €260

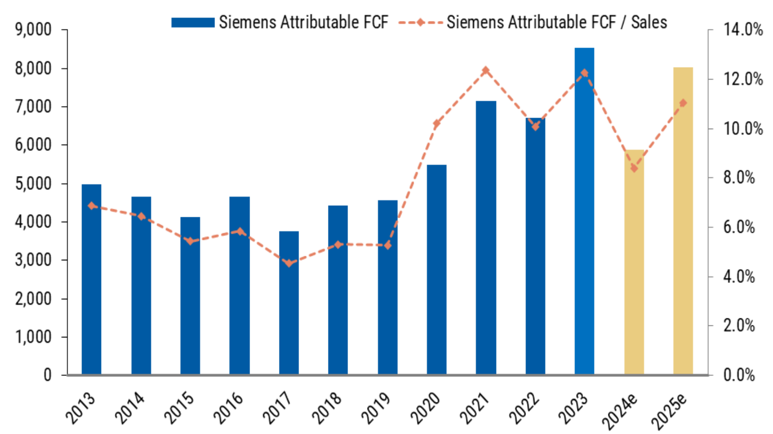
Siemens Digital Industries margins in hardware and software. We think software can reach mid-20s at least in 2027.



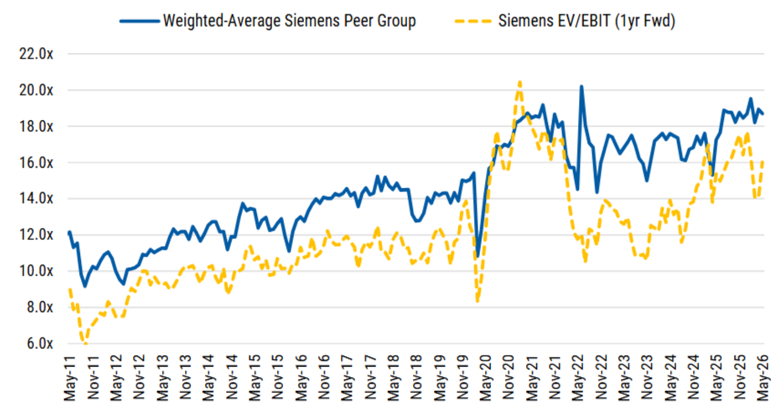
Siemens software peer margins. We maintain 'high 20's' should be a realistic margin ambition for Siemens DI software over time.



Siemens: Clear improvement in free-cash-flow margins – closed the gap with ABB.



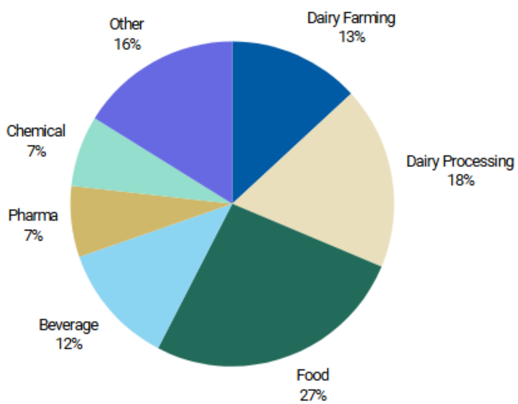
Siemens EV/EBIT vs its weighted average peer group multiple (based on its peer SOTP).



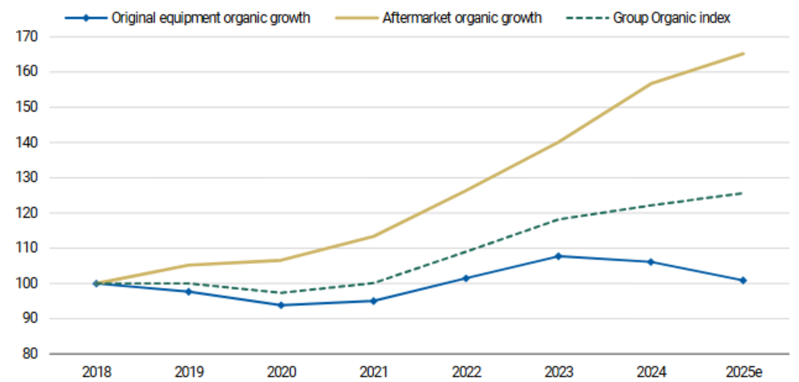
Source: Company Data, Datastream, Morgan Stanley Research estimates (e)

GEA – Equal-weight, PT €60

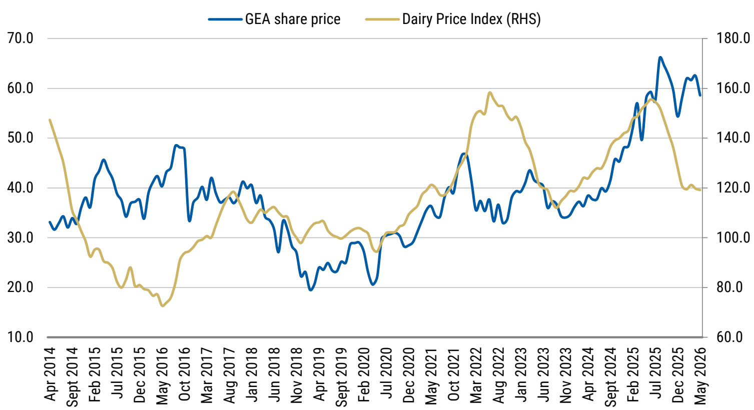
GEA End market exposure (12mths rolling sales). We see no growth in Food and Beverage capex, Chemicals and Pharma declining, which will be headwinds for GEA's 2026 orders.



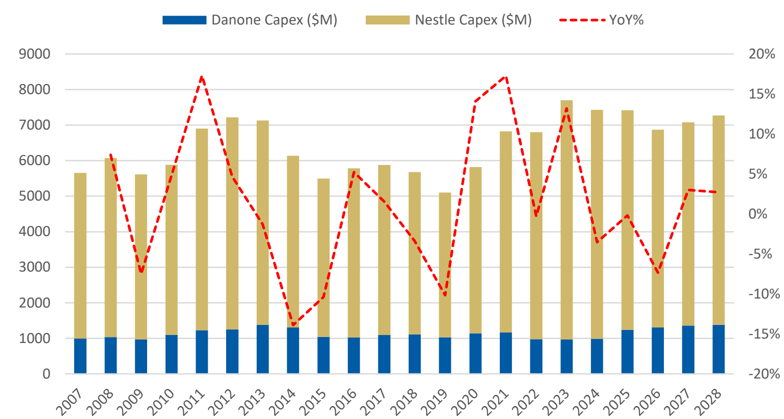
GEA organic growth index across Equipment and Services. GEA has struggled to grow its new equipment business. Services then cannot sustain recent growth rates into 2026-28.



GEA's share price vs the FAO Dairy Price indicator. Dairy pricing has started to soften, due to high production rates.



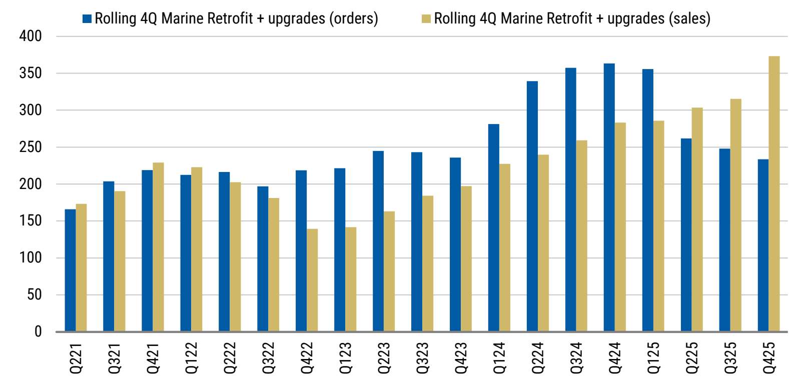
2026e Dairy Capex ($M) is set to be weak, driven by lower capex at Nestle – consensus expects a return to growth in 2027 and 2028.



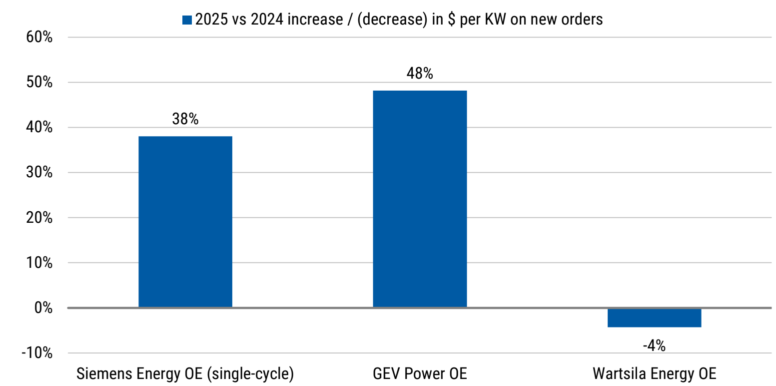
Source: Company Data, Datastream, FAO Indicator, Morgan Stanley Research estimates (e)

Wartsila – Underweight, PT €29

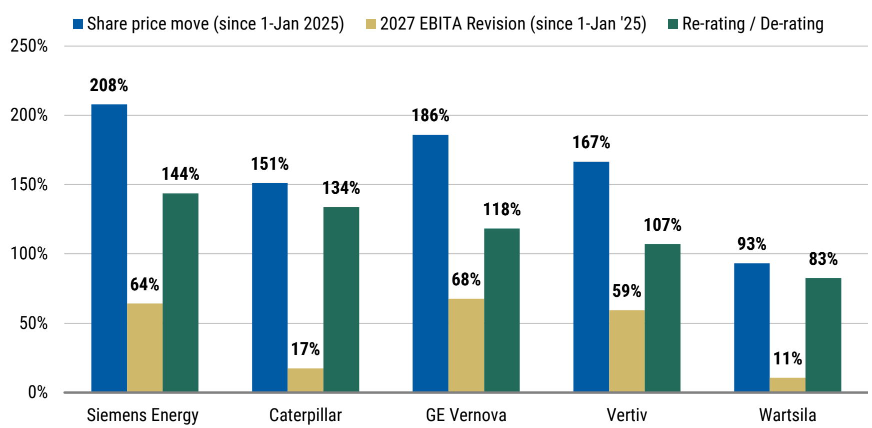
Marine Retrofits and upgrades revenues and orders. This is now 17% of Marine aftermarket revenues, and a €139m gap has opened up between orders and sales



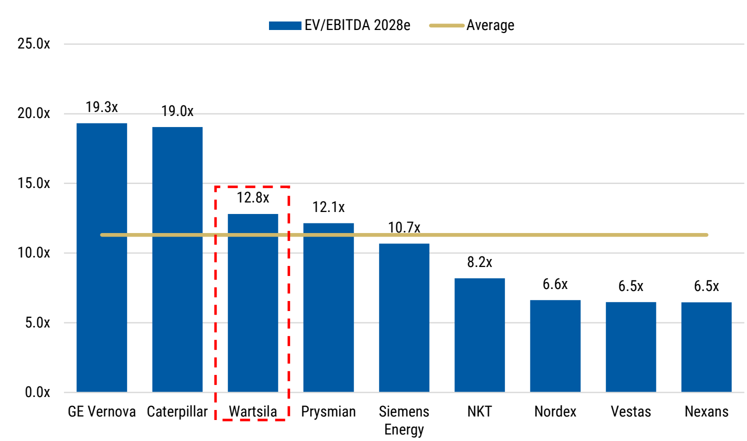
Price per MW increase or decrease in 2025. Wartsila has not seen the same uplift in 2025 as others.



Wartsila's 93% share price increase has led to a significant re-rating, given 2027 consensus EBITA has only increased by 11% in that time.



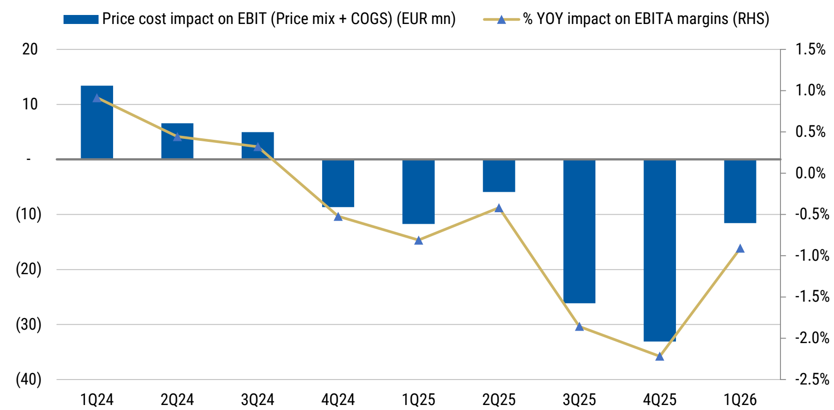
We see valuation at demanding levels compared to companies like Siemens Energy.



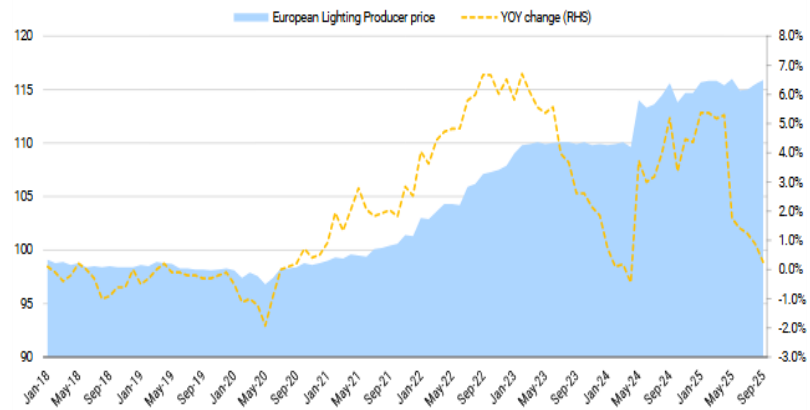
Source: Company Data, Datastream, Morgan Stanley Research estimates (e).

Signify – Underweight, PT €15

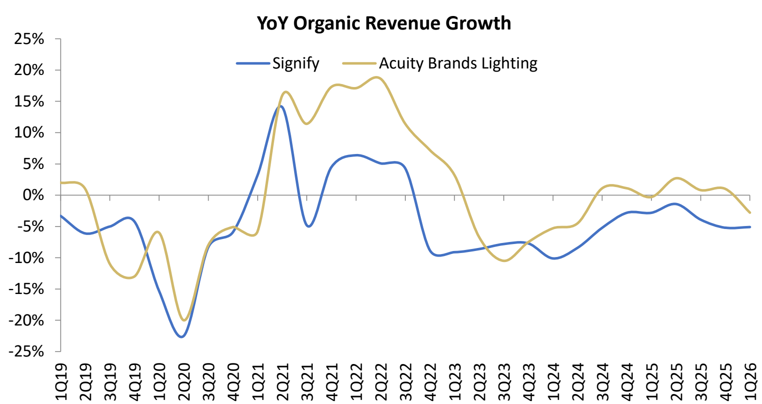
Signify Price cost impact on EBIT. Price cost remains a significant drag on margins, which we expect to continue in 2026.



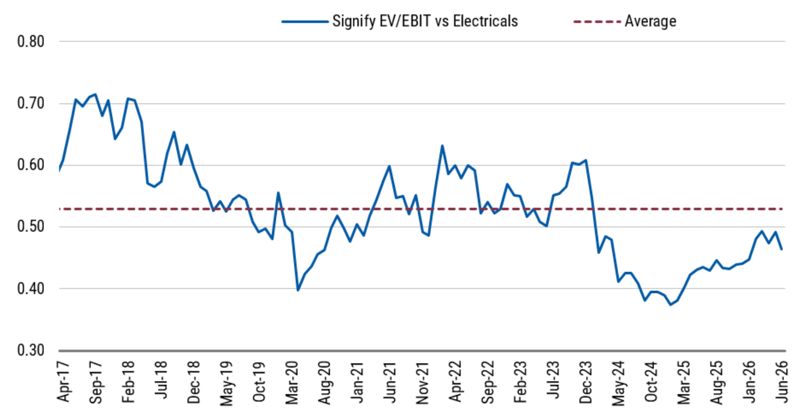
Lighting producer price inflation (Europe). Price increases have flattened out in aggregate but are negative for Signify.



Signify organic revenue growth vs peer Acuity. Signify has lagged, and we do not expect a 2026 inflexion.



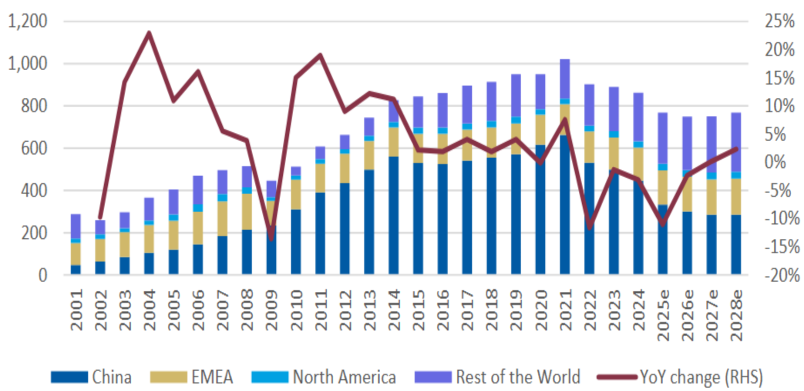
Signify EV/EBIT vs Electricals. Signify has been trading at a 40-60% discount to Electricals in 2024-26. There is currently a 54% discount.



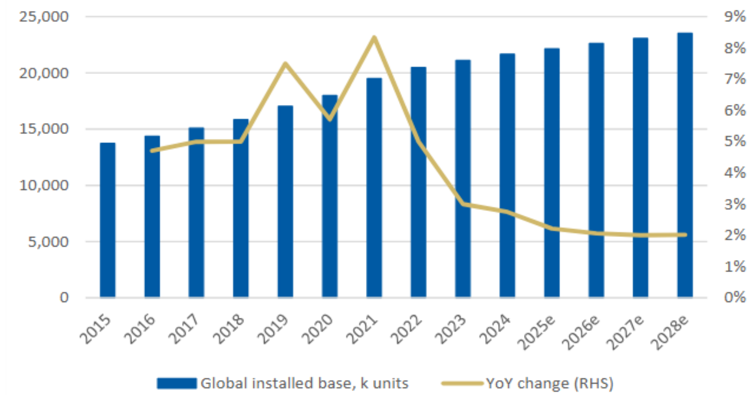
Source: Company Data, Datastream,, Morgan Stanley Research

Kone – Underweight, PT €46.6

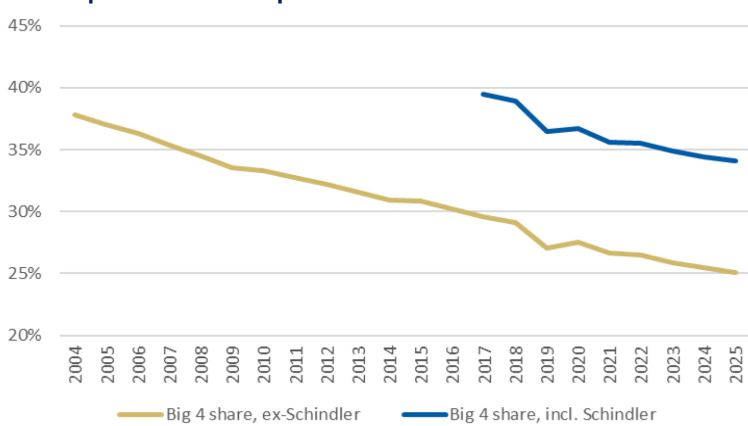
We don't expect the E&E New Equipment market to bottom before 2027, at the earliest.



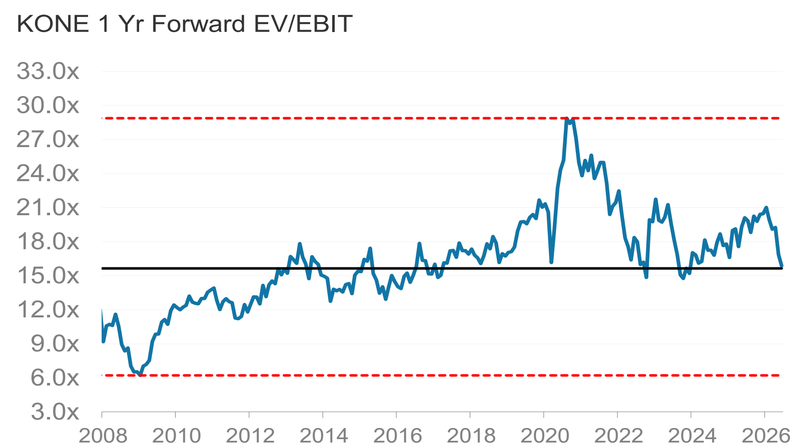
Even after bottoming, China should remain the key driver for the E&E New Equipment market.



Big 4 OEMs have steadily lost market share against independent service providers over the last two decades.



Kone trades at its historical median 1-year forward EV/EBIT.

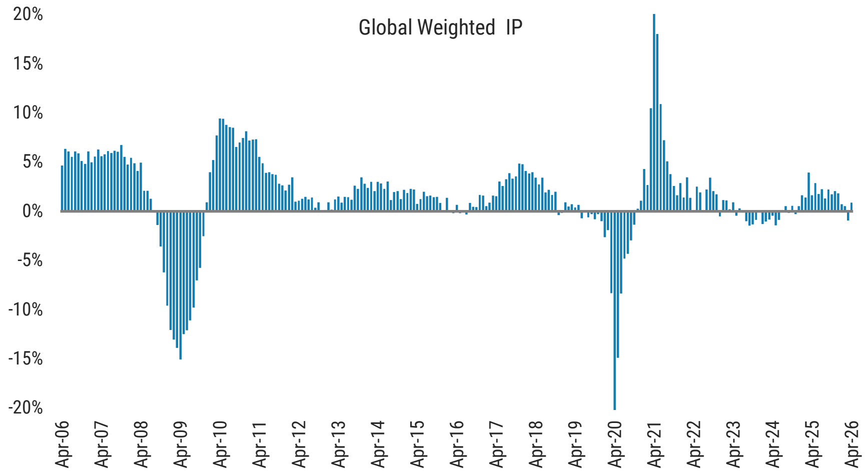


Source: Company Data, Datastream, Otis, TKE, Schindler, Morgan Stanley Research estimates (e)

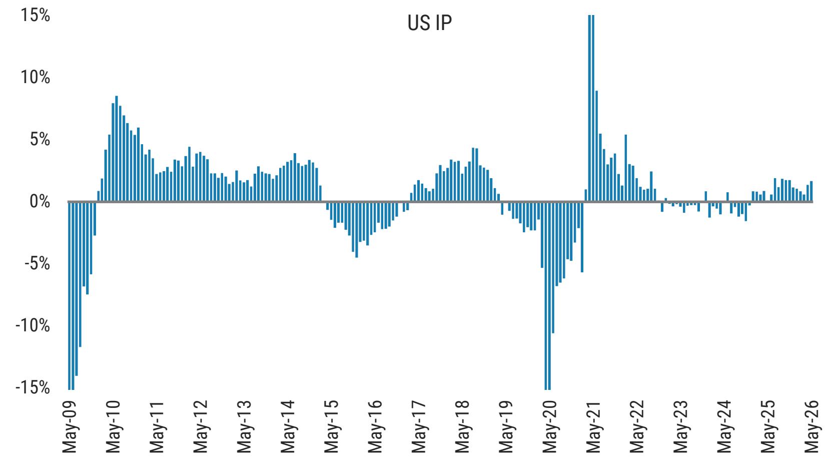
Appendix: Long-term Industrial production and PMI trends

Hard Data: Industrial Production – Different regions, different cycles.

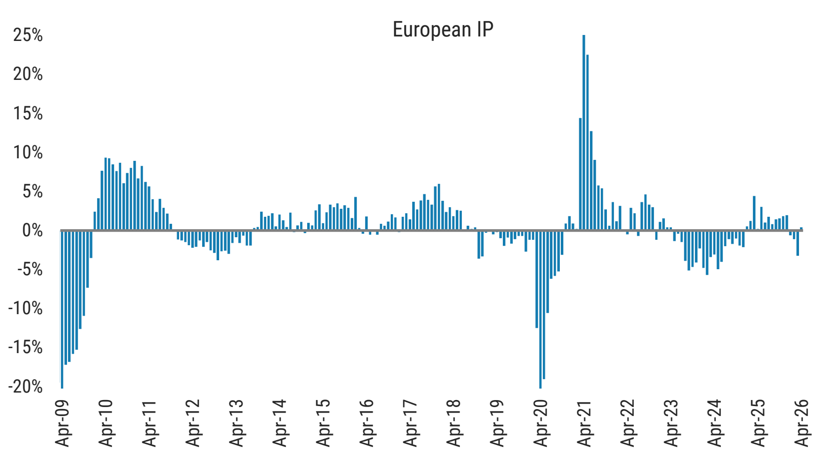
Global Industrial Production – Global growth is hovering around 1%



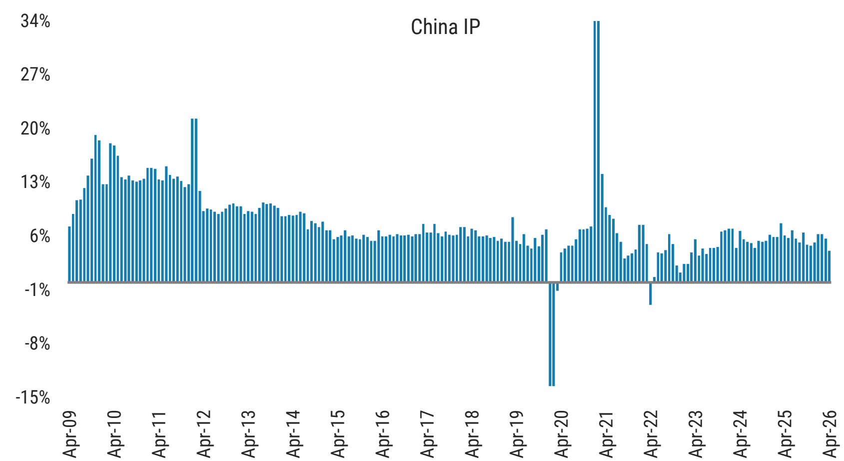
US Industrial Production +1.7% in May'26



European Industrial Production: 0.3% in Apr'26



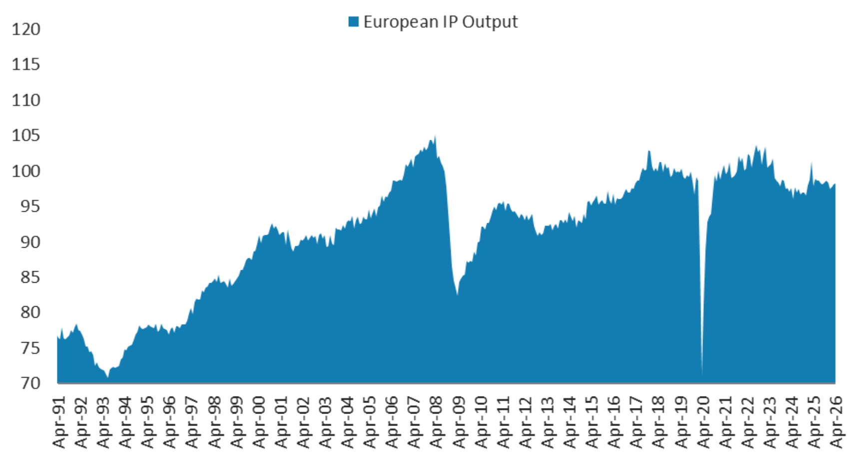
China Industrial Production – Slower growth in each new cycle



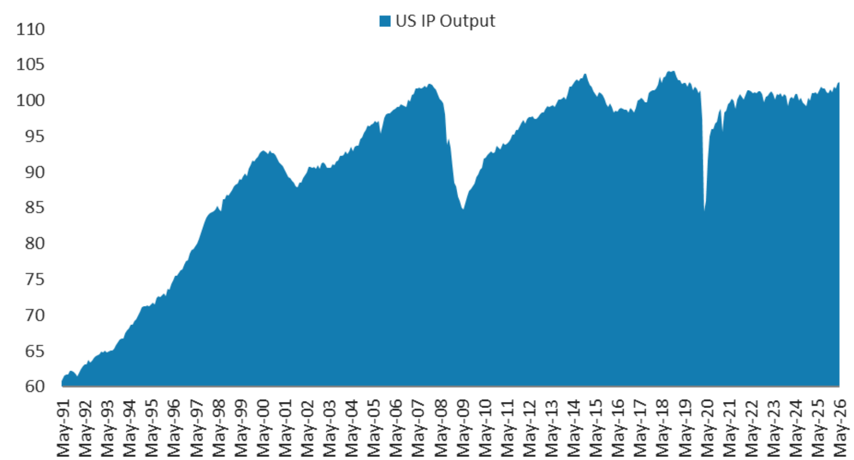
Source: Haver, Datastream, Morgan Stanley Research

Long-Term Manufacturing Output: Back towards long-term peaks in the US – stocks relying on pure EU Industrial Production have a weak mid-term outlook.

Europe – still slightly below 2007 levels

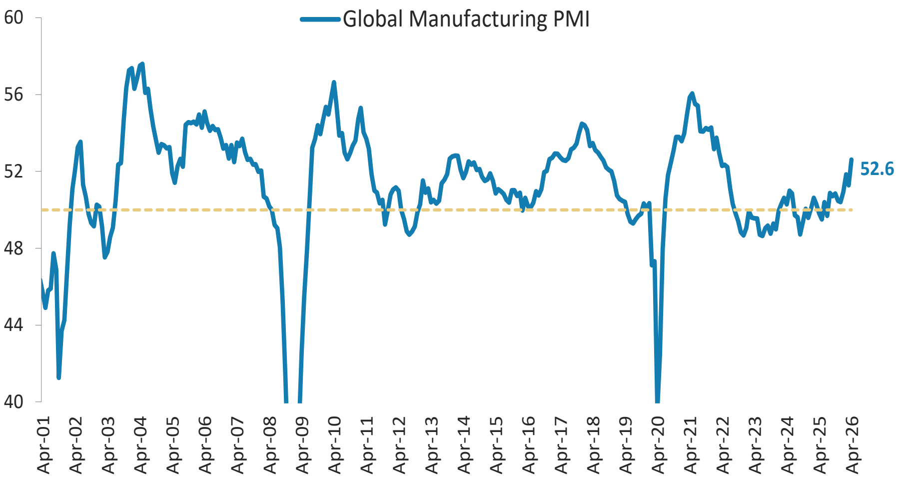


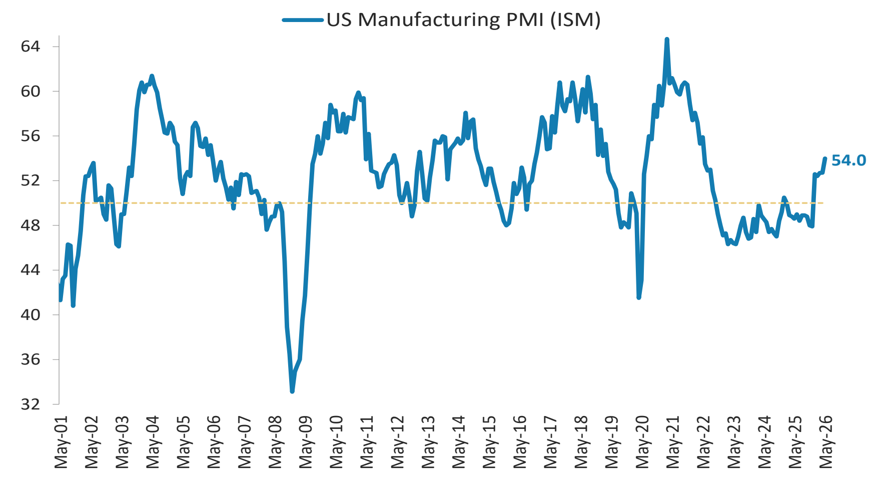
US – still slightly below 2018 levels

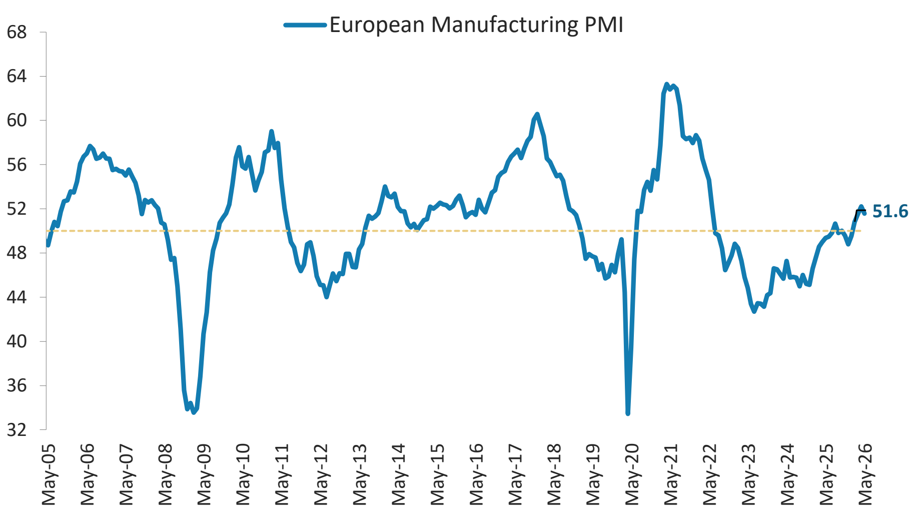


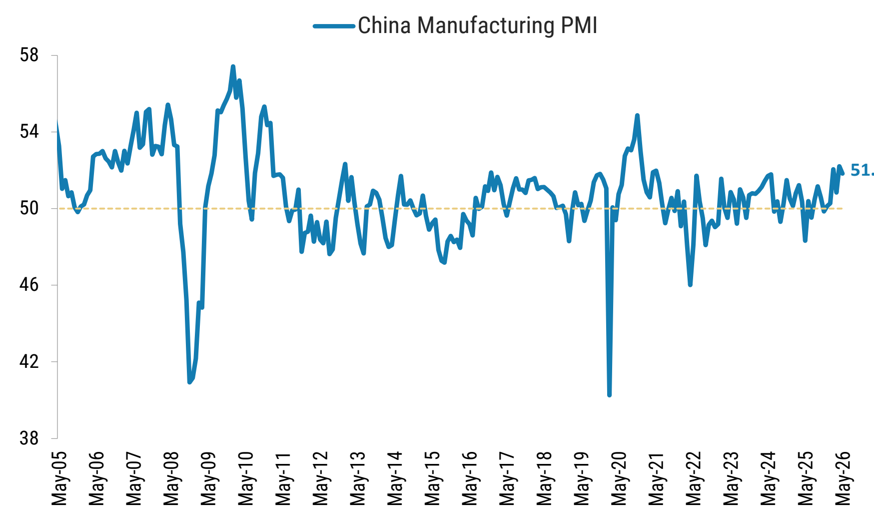
Source: Haver, Datastream, Morgan Stanley Research

Global PMI – Excluding crisis moments, closer to a trough than a peak.





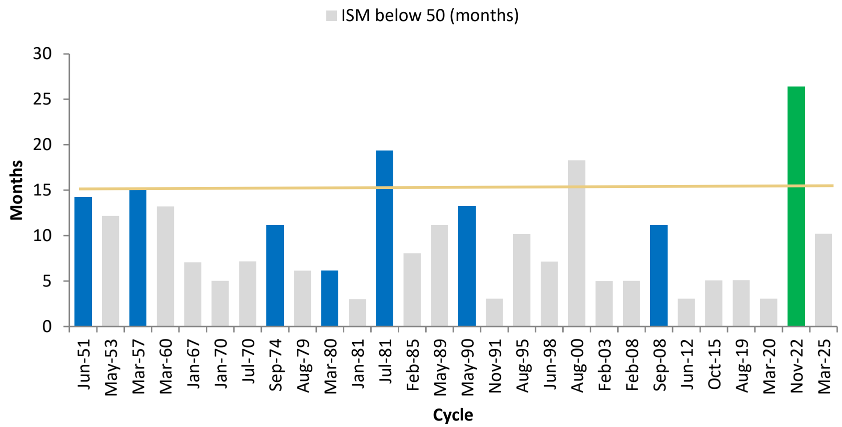




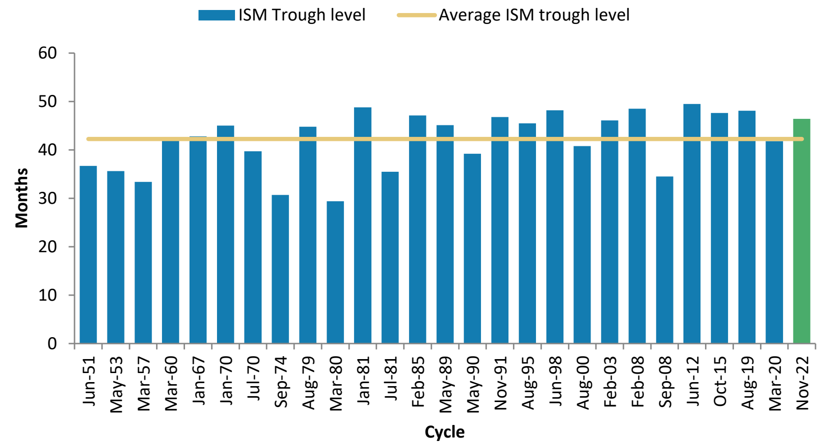
Source: Haver, Datastream, Morgan Stanley Research

"PMI Classic": The PMI playbook.

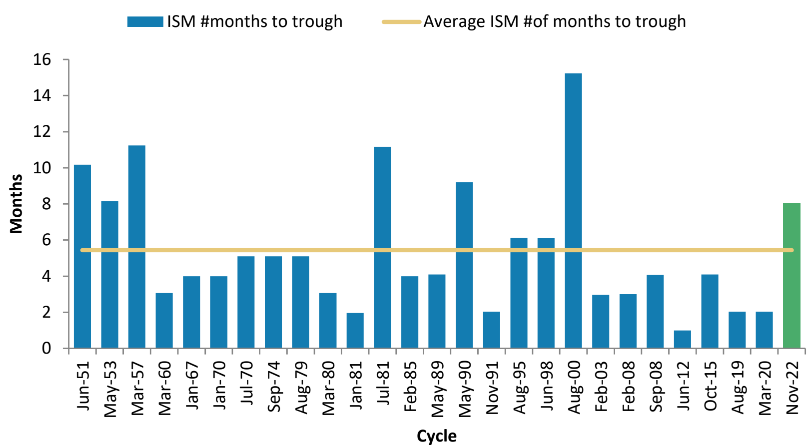
Classic PMI Playbook: Duration – the ISM spends ~9.0 months below 50-threshold



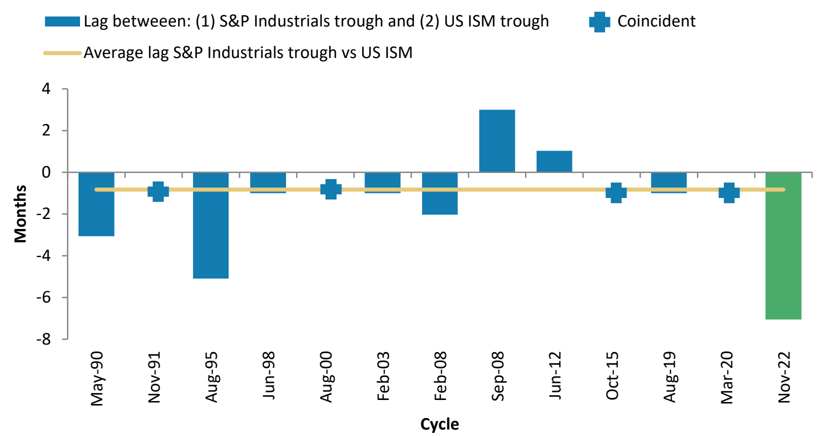
Classic PMI Playbook: Trough level – the average trough is ~42.2



Classic PMI Playbook: Time to trough – average is ~5.4 months after falling below 50

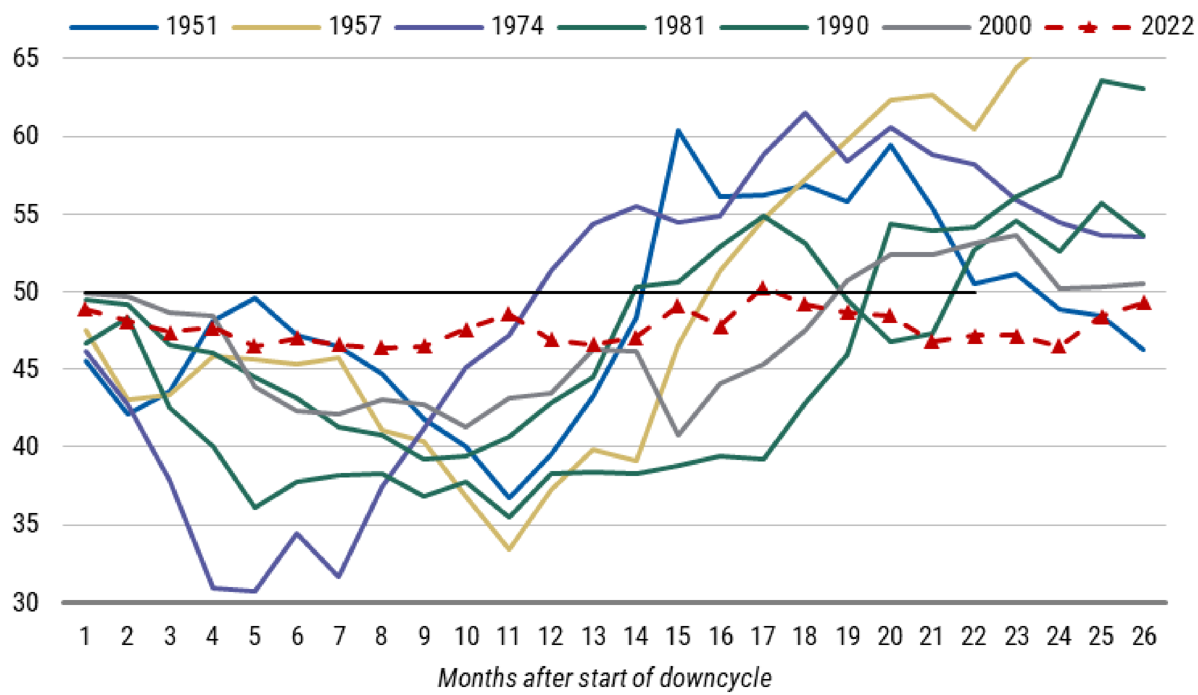


Classic PMI Playbook: Capital Goods – sector trough compared with ISM – 0.8 months before



Source: Haver, Datastream, Morgan Stanley Research

US ISM: Coming off the back of a long but shallow ISM down-cycle.



Source: Datastream, Haver, Morgan Stanley Research

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	COVERAGE UNIVERSE		INVESTMENT BANKING CLIENTS (IBC)			OTHER MATERIAL INVESTMENT SERVICES CLIENTS (MISC)	
STOCK RATING CATEGORY	COUNT	% OF TOTAL	COUNT	% OF TOTAL IBC	% OF RATING CATEGORY	COUNT	% OF TOTAL OTHER MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
TOTAL	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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